



FIRST المطاحن
MILLS الأولى

Annual Report
2025

Our Growth
Our Commitment



King Salman bin Abdulaziz Al Saud

Custodian of the Two Holy Mosques,
The King of the Kingdom of Saudi Arabia



**His Royal Highness Prince Mohammed
bin Salman bin Abdulaziz Al Saud**

Crown Prince and Prime Minister of Saudi Arabia and
The Chairman of the Council of Economic and
Development Affairs

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First Mills advanced in 2025 with disciplined execution and a clear commitment to long term value. Across strategy, operations and governance, the Company reinforced its role in national food security and long term value creation.

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Theme of the Year

Our Growth. Our Commitment.

In 2025, First Mills demonstrated what it means to grow with purpose. Across the organization, we focused on turning strategy into action, advancing with discipline while ensuring every step forward strengthened the foundations of the business. Growth was not pursued for its own sake, but directed toward areas where we could build resilience, enhance relevance and deliver long-term value in a sector that matters deeply to the Kingdom.

Throughout the year, we expanded our capabilities and reinforced our responsibilities. Investments in capacity, portfolio breadth and operational excellence reflected a clear belief that scale must be matched by reliability and trust. As we grew, we remained focused on consistency, quality and execution, making sure our products, systems and teams could support rising demand without compromising standards. This balance between ambition and accountability shaped how we approached every major decision.

Our progress was equally defined by commitment beyond performance. We continued to strengthen national food security, advance innovation across our core categories and embed sustainability into how we operate. From enhancing efficiency and resource use to accelerating digital and AI-enabled solutions, we aligned growth with stewardship, ensuring today's achievements contribute meaningfully to tomorrow's needs.

Above all, 2025 reaffirmed who we are as a company. We invest with purpose, execute with discipline and remain accountable to our Stakeholders and the communities we serve. The year stands as a reflection of confidence earned through action and a clear signal of our readiness to carry this momentum forward, building a stronger, more resilient First Mills for the future.

At a Glance

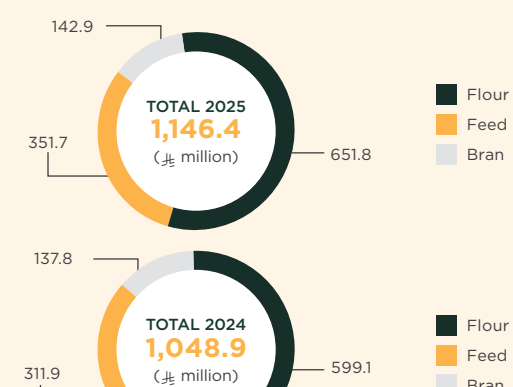
Financial Highlights

Revenue Highlights

Revenue (S million) **+9.3%**



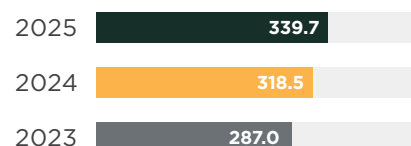
Revenue by Product Type



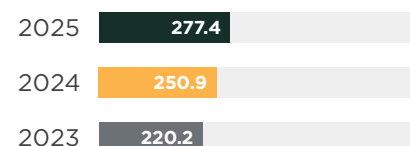
Gross Profit (S million)



Operating Profit (S million)

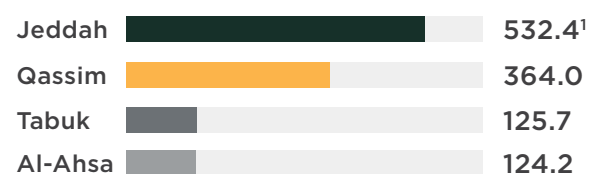


Net Profit (S million)



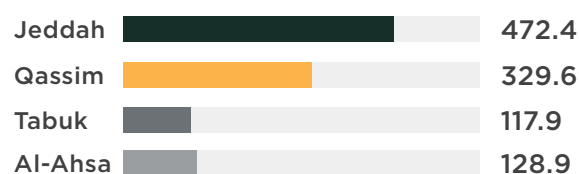
Revenue by Geographical Regions (S million)

2025



TOTAL 1,146.4

2024



TOTAL 1,048.9

¹ Includes Al Manar plant revenues.

Operational Highlights

5
No. of Plants

Acquired **Al Manar Feed Co. Ltd.**, adding **450 tons** of daily feed production

Production capacity utilization rates reached **94%**

Acquired a **60%** stake in Kenan Al-Arabia Trading Company

15
No. of Mills

Capacities

Silos Total Storage Capacity
250,000 tons

Daily Wheat Milling Design Capacity
5,150 tons

Daily Feed Production Capacity
1,350 tons

Daily Durum Milling Design Capacity
300 tons

Market Share

First Mills holds a leading position in Saudi Arabia's flour market

30%

Number of Customers

(Direct and Indirect)

+7,500

Product and Sales Overview

Cash Sales

65%

Number of Products (main products)

+90

ESG Highlights

First-of-its-kind chemical-free pest control solution in Saudi Arabia

Signed a contract for a **9.3 MWp** solar power project, with installation in Tabuk and Al-Ahsa scheduled for Q2-Q3 of 2026.

Invested approximately **S 230,000** in community initiatives

Recognized with two Silver Employee Happiness Awards for Best Induction Program and Best Recruitment Strategy



Awards and Certifications



FSSC 22000 V6 Certification

By the Global Food Safety Initiative (GFSI), a corporate-wide food safety management accreditation covering all production sites.



Best Induction Program – Silver Category

Presented by Employee Happiness Awards (KSA), celebrating standout onboarding practices that accelerate new-hire engagement in Saudi Arabia.



Best Recruitment Strategy – Silver Category

Granted by Employee Happiness Awards (KSA), for an innovative and effective talent-attraction approach within the KSA market.



Best Investor Relations Film – 2nd place

Awarded by the Middle East Investor Relations Association.



Appreciation Award – Local Host and Platinum Sponsor

Acknowledged by the International Association of Operative Millers (IAOM) – MEA Region, in recognition of hosting and financially supporting the 35th IAOM MEA Conference and Expo in Jeddah.



Appreciation Award Conference Organization and Contribution

Acknowledged by the International Association of Operative Millers (IAOM) – Middle East and Africa Region, for significant contribution to the planning and execution of the 35th IAOM MEA Conference and Expo, Jeddah.



Industry Awards and Recognitions

Awarded by Saudi Agricultural Expo, a sector-level commendation highlighting excellence in feed and animal-nutrition products.



Overview

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First Mills operates at the center of Saudi Arabia's food ecosystem, combining nationwide scale, diversified assets and a quality-led culture.



About First Mills

Quality that leads the market

With deep roots stretching back to 1972 when it operated as part of the General Food Security Authority, First Mills was launched in 2016 as a closed joint stock company and a stand-alone entity.

Headquartered in Jeddah, we supply essential flour, feed, bran and wheat derivatives to customers across Saudi Arabia. Our operations span five high-capacity mills in Jeddah, Al-Qassim, Tabuk and Al Ahsa; with the Al Manar plant providing broad geographic coverage across the Kingdom.

We put quality at the center of every decision. Our identity, captured in our “Quality is First” logo, reflects our commitment to produce consistent, trusted products that support the Kingdom’s food system and meet the expectations of industrial, commercial and consumer clients. This focus guides how we operate our mills, how we develop our product portfolio and how we serve customers who rely on us for precision, safety and performance.

Our ambition is clear. We aim to be the preferred partner for premium food and feed products in Saudi Arabia and the wider region, supported by a disciplined operating model, a resilient asset base and a culture that prioritizes quality in all aspects of our business.



Our Vision

To be the first partner of choice in the food and feed sectors and a credible source of vital products for communities and markets across the region.



Our Mission

We are a reliable source of innovative, high-quality products in the food and feed sectors and are fully committed to enabling food availability and sustainability.

Our Core Values



Integrity | We uphold integrity and ethical principles by developing a professional conduct code to guide transparent and ethical decision-making in its operations.



Passion | We focus on developing a diverse range of products to meet the needs of a growing customer base, considering the anticipated population growth in various cities across the Kingdom.



Teamwork | We work to promote teamwork and pursue shared objectives with all Stakeholders.



Transparency | We ensure transparent communication with all Stakeholders and have recently updated our customer complaints protocol for effective and timely resolutions.



Accountability | We are dedicated to supporting and developing our employees by enhancing productivity, increasing awareness and improving both personal and job-related skills.



Well-being | We prioritize employee well-being, safety and a positive work environment while reducing harmful emissions through a thermal treatment project eliminating chemical pesticide use.

Our Business Activities

First Mills’ primary business activities focus on milling and packing wheat, maize, barley and their derivatives, as well as producing semolina, bulgur and oats. We also manufacture flour and dough for bakeries, along with a broad range of concentrated and non-concentrated animal and livestock feed products.

Our activities extend to the preparation, milling and pressing of feed, wholesale distribution of grains and feed additives and retail sale of barley. We manage storage facilities and silos for grain, flour and agricultural products, supported by dedicated dry food and animal feed stores.

We serve a wide customer base that includes industrial producers, commercial bakeries, restaurants, hospitality operators, catering companies, wholesalers, flour traders, retailers, farms and feed distributors.

Our Brands



First Mills | The master brand under which the Company provides high-quality flour, bran, semolina and wheat derivatives to industrial, bakery and food service clients.



Aloula | A distinguished retail brand offering premium flours, semolina, cake mixes and wheat-based products designed for home baking and everyday cooking.



Naffa'a | A specialized animal-nutrition brand delivering complete crushed feeds and pellets for camels, sheep, goats, horses, poultry and dairy cattle.



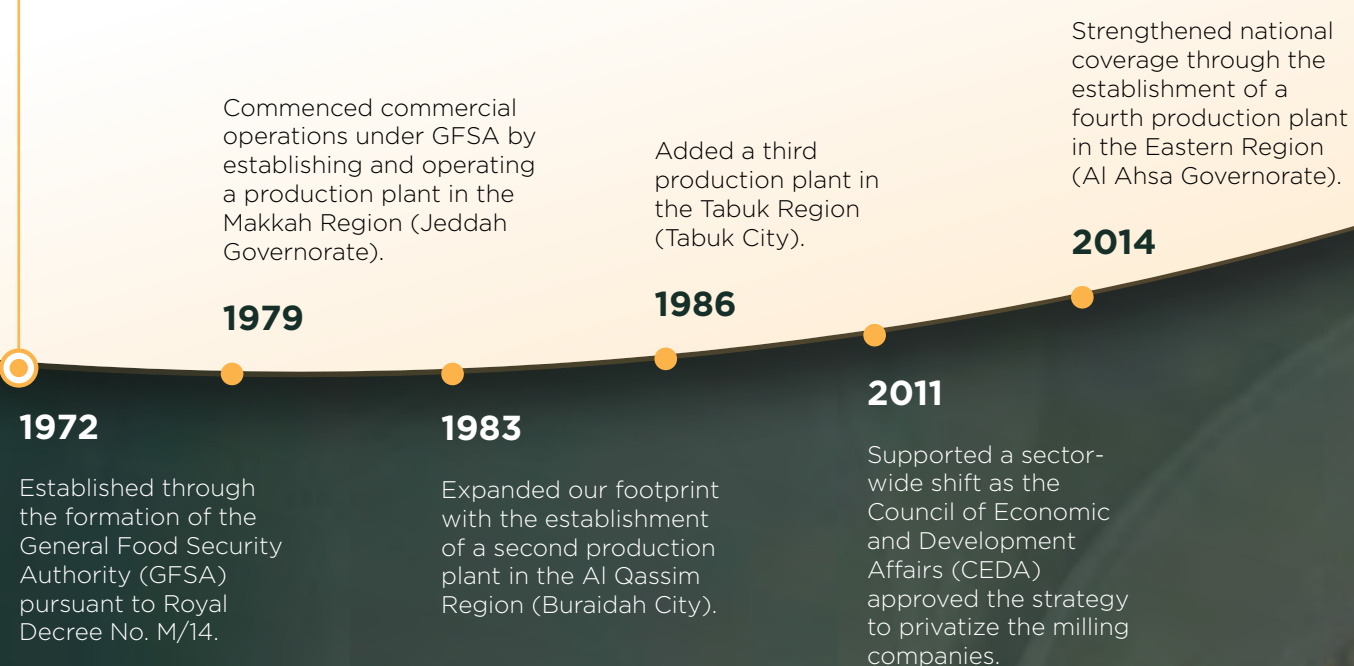
First Food Supply Co. | A wholly-owned distribution and supply subsidiary established in 2024 to guarantee swift, efficient distribution of First Mills’ food products across Saudi Arabia and beyond.

Growth Journey

Elevating excellence across Saudi Arabia's milling sector

Our journey reflects the transformation of Saudi Arabia's food security system, progressing from the early development of state-owned milling assets to the creation of a modern, competitive enterprise with nationwide reach. Each milestone deepened our capabilities, broadened our presence and strengthened the foundation for sustainable growth. We continue to advance with a clear strategy and an expanding portfolio that supports national priorities and market needs.

Laying strong foundations



Transitioning toward historic privatization



Promoting excellence and advancing market leadership



Year in Review

A year of progress shaped by scale, discipline and strategic ambition

First Mills advanced its growth agenda through disciplined execution, targeted investments and continued leadership across flour, feed and value-added categories.

The year brought meaningful steps forward in capacity expansion, portfolio diversification, customer engagement and organizational excellence, supported by a strengthened market position and a clear commitment to sustainable value creation for all Stakeholders.

January

Mill C announced at Al-Qassim Plant

We approved the construction of a new flour milling unit, Mill C, at Al-Qassim plant with an investment of ﷲ 123 million, increasing daily wheat-milling capacity by 600 tons to reach a total of 1,500 tons.



April

30% flour market share confirmed

We reaffirmed our leadership with a 30% market share in Saudi Arabia's flour market, as highlighted by the CEO in an interview with Argaam, referencing the latest GFSA data.

30%

market share in Saudi Arabia's flour market

August

Acquisition of Al Manar Feed Company

We completed the acquisition of Al Manar Feed Co. Ltd. for ﷲ 77 million, adding 450 tons of daily feed production capacity and expanding our portfolio and market reach.

Two Silver Awards at the Employee Happiness Awards

We earned Silver Awards for Best Induction Program and Best Talent Acquisition Strategy, reflecting our strong commitment to building a high-performance, employee-centered workplace.

December

Hosting the 35th IAOM MEA Conference and Expo

We sponsored and welcomed the IAOM MEA Conference and Expo to Saudi Arabia for the first time, bringing global expertise, innovation and industry collaboration to Jeddah.

Completion of the Al-Kenan Al-Arabia acquisition

We finalized the acquisition of a 60% stake in Al-Kenan Al-Arabia Trading Company, completing regulatory approvals and strengthening our integrated feed operations.

February

Platinum sponsorship of Capital Markets Forum 2025

We participated as a Platinum sponsor at the Capital Markets Forum 2025 in Riyadh, reinforcing our role in shaping conversations about Saudi Arabia's capital markets.

May

Launch of WhatsApp live chat service

We introduced live customer support through WhatsApp, providing faster, more convenient service and strengthening real-time engagement with customers across the Kingdom.

July

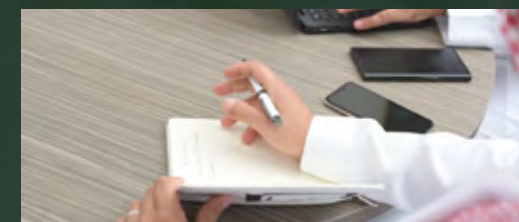
FSSC 22000 V6 certification achieved

All First Mills plants received FSSC 22000 V6 certification, recognized by GFSI, underscoring our commitment to food safety and operational excellence.

September

Acquisition of 60% of Kenan Arabian Trading Company

We signed a binding agreement to acquire a 60% stake in Kenan Arabian for ﷲ 36 million, strengthening our position in the feed sector through expanded trading and distribution capabilities.



Geographic Presence

Nationwide reach with strategic regional strength

Our four primary production plants – in Jeddah, Al Qassim, Tabuk, Al Ahsa and Al Manar – give us a strong presence across the Kingdom. This expansive network allows us to serve a wide and diverse customer base with reliable coverage in every major region.

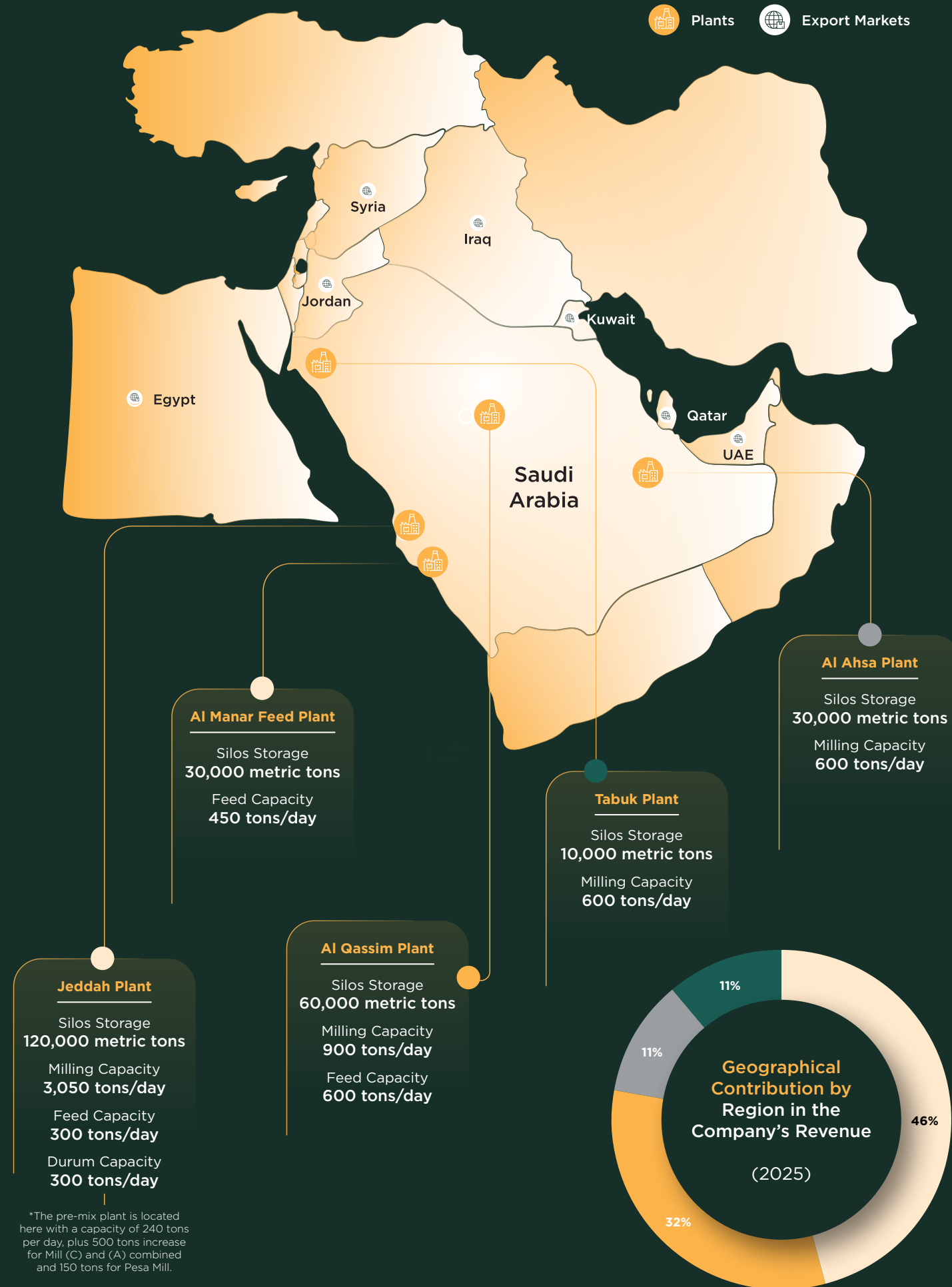
Each plant brings distinct capacity strengths. Our Jeddah mill holds 120,000 metric tons of wheat storage, the largest in our network. Al Qassim follows with 60,000 metric tons, Al Ahsa with 30,000 metric tons and Tabuk with 10,000 metric tons. Al Manar Feed Mill, the newest addition to our footprint, adds a further 30,000 metric tons of dedicated feed storage.

Our reach extends well beyond our mill locations. We supply customers across the Kingdom through our sales and distribution warehouses and through authorized distributors, confirming consistent access to our products in every region.

We are now expanding this reach to regional markets. Following the recent approval for Saudi milling companies to export, we have begun exporting to markets, including the UAE, Qatar, Kuwait and Egypt, with additional opportunities under evaluation.

Our geographic diversification reflects our performance profile. The Jeddah mill, which serves the Western and Southern regions, contributed 47% of our revenues at the end of 2025, demonstrating the scale and importance of our presence in high-demand areas.

Export Markets and Volumes			
UAE	Jordan		
1,968 tons	193 tons		
Qatar	Iraq		
288 tons	776 tons		
Kuwait	Syria		
111 tons	34 tons		
Egypt			
1,340 tons			



Investment Case

A resilient growth platform in Saudi Arabia's food ecosystem

First Mills offers a compelling investment opportunity built on scale, quality and consistent value creation. Our nationwide footprint, diversified portfolio, resilient operating model and strong financial fundamentals position us to capture long-term growth in a strategically important sector for Saudi Arabia. We continue to expand capacity, advance technology and strengthen our leadership across flour, feed and value-added products, creating a balanced platform with enduring competitive advantages.



Market leadership with nationwide scale

- We hold a leading share of the Saudi flour milling market at around 30% of flour production and sales, with FY2025 flour volumes increasing by 9% year-on-year.
- We operate five mills across all major regions, enabling broad national coverage and reliable supply, with total daily wheat milling capacity of 5,150 and daily feed capacity of 1,350 and a capacity utilization rate of 94% in 2025.
- We serve more than **7,500** direct and indirect customers across industrial, food service, trade and retail channels.
- We are the only Saudi milling company with dedicated production capability for durum semolina and related durum-based products.

Diversified, high-quality portfolio supported by innovation

- We offer more than **90 products** across flour, feed, bran, semolina, mixes and specialty categories under the First Mills and Aloula brands, with a gross margin of 22% in 2025.
- We operate the Kingdom's only durum mill for semolina production, using advanced technology that strengthens our position in high-growth pasta and bakery markets.
- Our products meet the highest global quality standards and are backed by **seven** ISO certifications, with zero major quality incidents recorded in 2025.
- We maintain a disciplined product development program focused on quality, innovation and market needs, delivering notable program achievements in 2025.

Efficient, technologically advanced operations

- Our operations use advanced global milling and feed technologies that enhance efficiency, consistency and competitiveness.
- We deploy modern digital solutions to improve production planning, manufacturing efficiency and quality control, with +90% of our operations digitalized in 2025.
- Our strong fixed-asset base and logistics network, valued at more than **ﷲ 820.3 mln** support scale and dependable market reach.
- We apply robust risk management practices aligned with leading global standards.

Strong financial fundamentals and experienced leadership

- Our financial indicators reflect a solid position supported by efficient operations, strong liquidity and access to financing, as demonstrated by FY2025:

Revenue	EBIDTA	Net profit
ﷲ 1,146.4 mln	ﷲ 402.2 mln	ﷲ 277.4 mln
ROE	CAPEX	Cash balance
25.9%	ﷲ (184.2) mln	ﷲ 93.3 mln
Operating cash flow		
ﷲ 342.1 mln		

- We generate high returns through disciplined execution and a resilient business model, supported by a dividend payout ratio of 63%.
- Our management team brings more than 200 years of combined experience across milling, manufacturing, supply chain and food industries.
- We operate in a supportive Saudi economic environment backed by rising demand, a growing population and diverse consumer preferences.

Investor Relations and Shareholders' Information

Strengthening investor engagement, transparency and long-term value

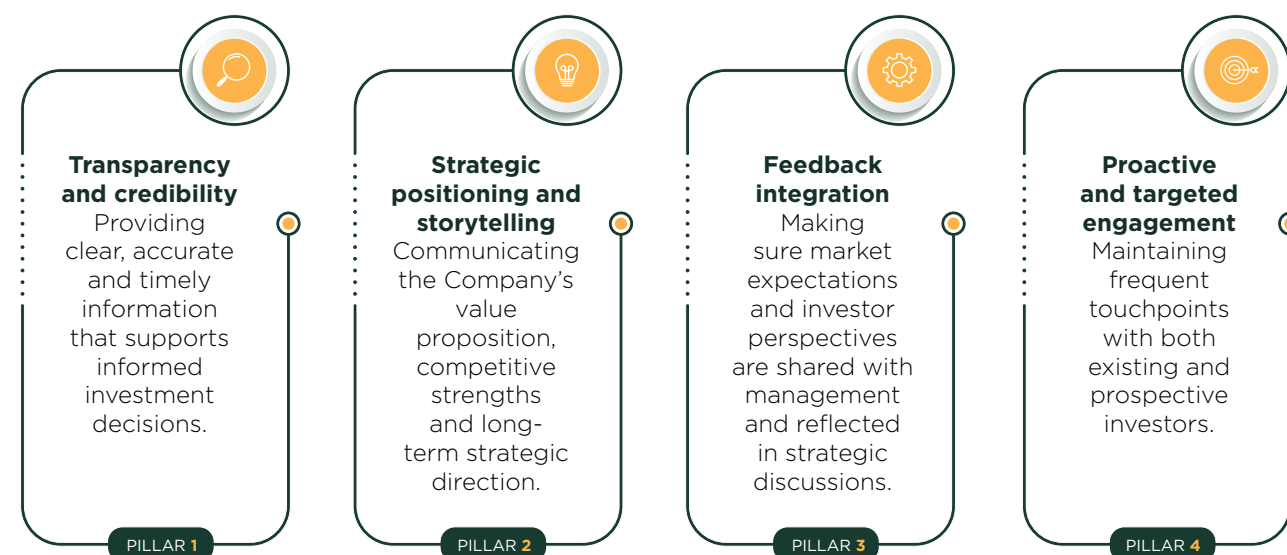
First Mills continued elevating its Investor Relations (IR) function in 2025, reinforcing its commitment to transparency, disciplined communication and proactive market engagement. The Company advanced its reporting quality, expanded its outreach and strengthened its governance frameworks to guarantee investors have a clear, consistent and timely understanding of its strategy, performance and long-term value proposition. These enhancements reflect First Mills' position as a responsible, high-growth listed company and its ambition to remain a trusted partner to Shareholders and the wider investment community.

Evolving in Line with Global Best Practices

The IR function has undergone meaningful development in recent years as First Mills aligned its reporting and engagement approach with leading international standards. The Company strengthened the clarity and consistency of its financial and non-financial disclosures and integrated ESG considerations more explicitly into its communications. It enhanced two-way dialogue by seeking investor perspectives through structured feedback loops and incorporating those insights into senior management discussions and Board reporting. Coordination across IR, Finance, Strategy, Sustainability, Corporate Communications and business units improved further, enabling unified messaging and faster internal preparation.

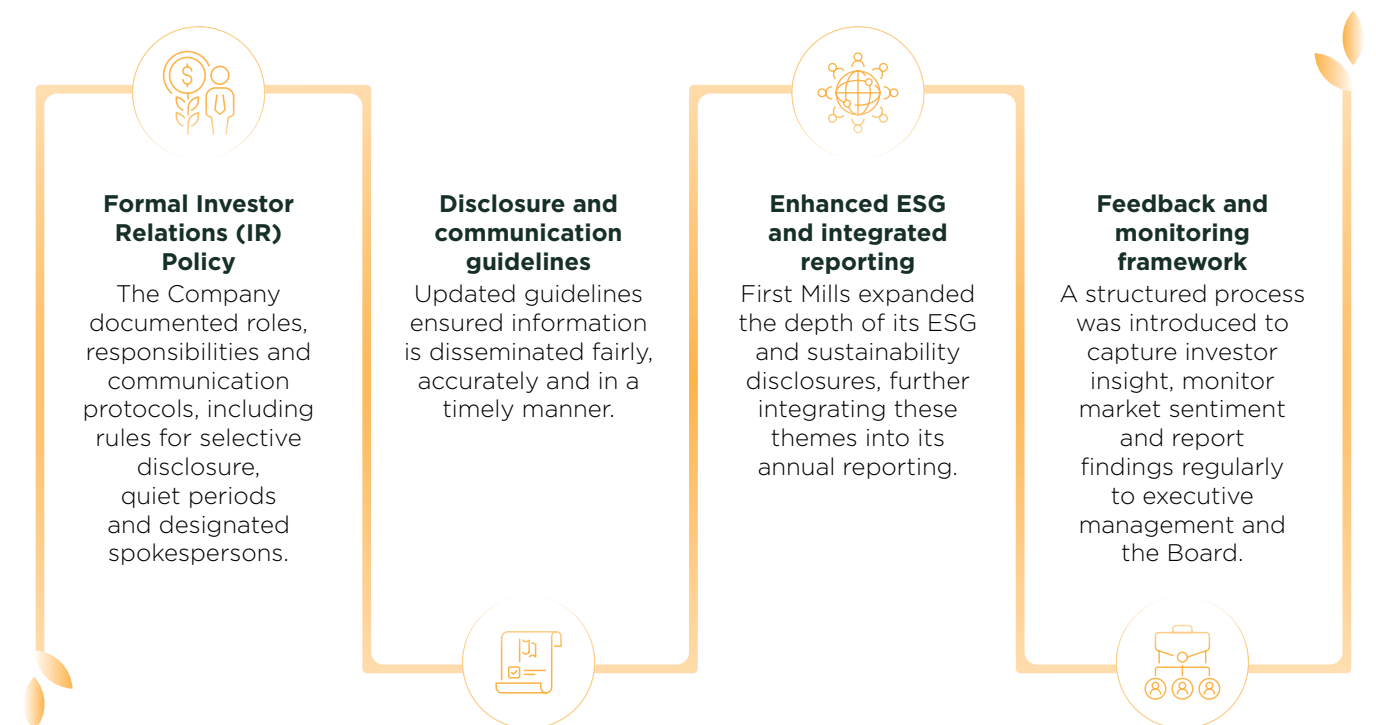
Strategic Pillars of the Investor Relations Approach

First Mills' IR strategy is anchored in four core pillars.



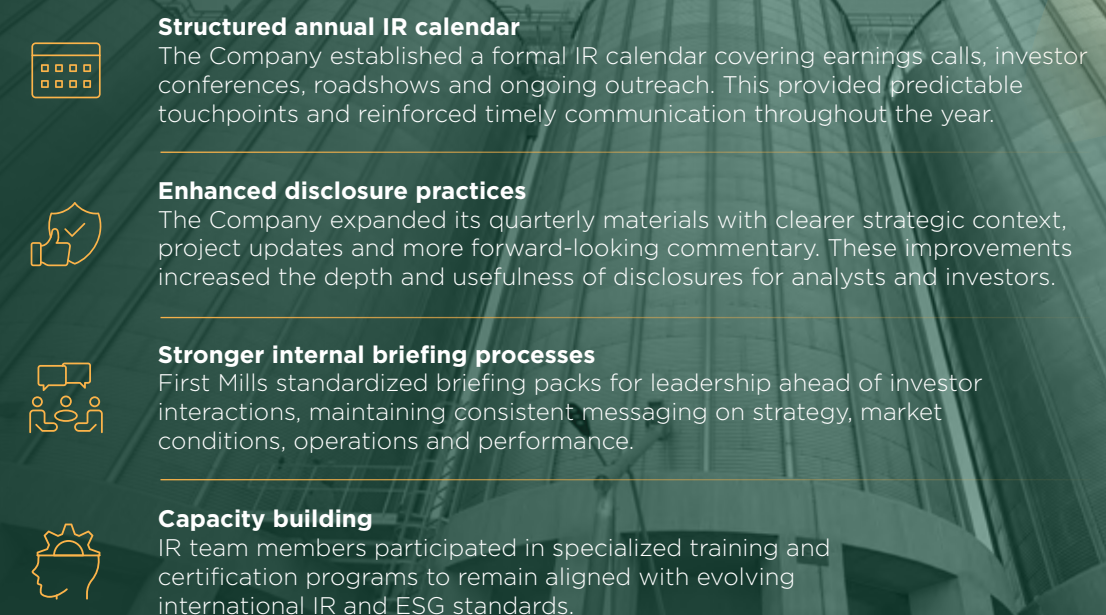
Reinforced Governance and Reporting Frameworks

To support its enhanced practices, First Mills strengthened several IR governance elements during the year.



Key Initiatives Introduced in 2025

In 2025, First Mills introduced several initiatives to mature the IR function and deepen its engagement with capital markets.



Investor Relations and Shareholders' Information continued

Investor Engagement and Events in 2025

First Mills participated in major conferences and forums this year to expand its visibility and deepen investor understanding of the Company, including:

- **Capital Market Forum** | February 2025
- **HSBC MENAT Future Forum** | February 2025
- **EFG The 19th One-on-One Conference** | April 2025
- **HSBC GCC Exchanges Conference** | June 2025
- **EFG Hermes 11th Annual London Investor Conference** | September 2025

Through these events and ongoing outreach, First Mills conducted **35** meetings, engaging with more than **100** investors across local, regional and international institutions.

Objectives of these interactions included strengthening understanding of the Company's business model, financial performance and long-term strategy; broadening the investor base by reaching new institutional and international Shareholders; and reinforcing the Company's equity story and strategic priorities with existing investors.



Recognition for Best Practice Investor Relations

Reflecting the progress of its evolving IR program, First Mills received “Best Investor Relations Program in the Small Cap Sector for 2024” at the Capital Market Forum in February 2025. The Company also received 2nd place for “Best Investor Relations Film”, awarded by the Middle East Investor Relations Association in recognition of its investor-communication film as one of the leading productions in the region. These accolades reinforce the Company's commitment to high-quality disclosure, disciplined engagement and continuous improvement in investor communications.

Shareholders' Information

Listing date: 22nd June 2023

Exchange: Saudi Exchange – Main Market - (Tadawul)

Symbol: 2283

Industry:
Food and Beverages

ISIN: SA15QGU13LH9

Number of shares issued: 55.5 million

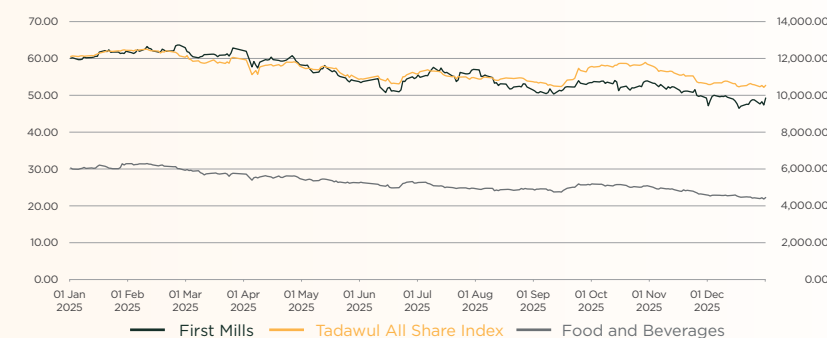
Par value/share: ﷲ 10

Closing price as of 31st December 2025: ﷲ 49

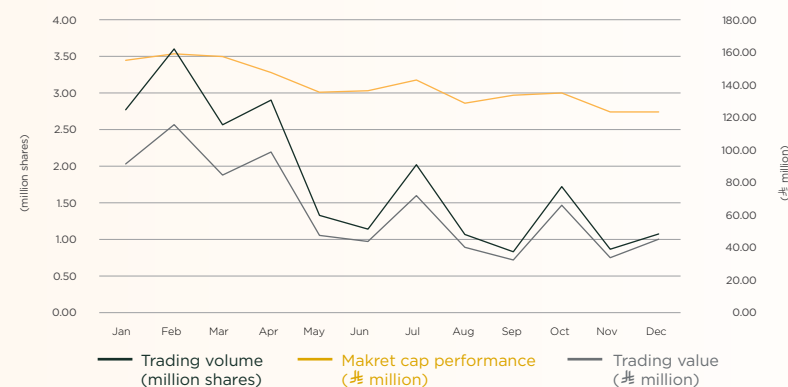
Market cap as of 31st December 2025: ﷲ 2.7 billion

Free float: 30%

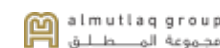
Share Price Performance vs. Benchmark Equity Indices (ﷲ)



Trading Value and Volume



Major Shareholders



AlMutlaq Group for Industrial Investment Company

30%



Abdullah Abunayyan Trading Corp

21%



Al Safi Advanced Investment

12%



Essa Al-Ghurair Investment

7%

Investor Relations Calendar 2025

March 2025

- **13th March 2025**
Announcement of Annual Financial Results for the year ended 31st December 2024
- **13th March 2025**
Announcement of the Board of Directors' decision to distribute cash dividends of H2 2024
- **19th March 2025**
Earnings conference call for Q4 and Full-Year 2024 Financial Results
- **27th March 2025**
Publication of the Annual Report 2024

April 2025

- **07th April 2025**
H2 2024 Dividend eligibility
- **22nd April 2025**
H2 2024 Dividend distribution
- **24th April 2025**
Announcement of Interim Financial Results for the three-month period ended 31st March 2025 (Q1 2025)
- **01st May 2025**
Earnings conference call for Q1 2025 Financial Results

June 2025

- **24th June 2025**
Ordinary General Assembly Meeting
- **24th July 2025**
Announcement of Interim Financial Results for the six-month period ended 30th June 2025 (Q2/H1 2025)
- **24th July 2025**
Announcement of the Board of Directors' decision to distribute cash dividends of H1 2025
- **30th July 2025**
Earnings conference call for Q2/H1 2025 Financial Results

Aug 2025

- **3rd August 2025**
H1 2025 Dividend eligibility
- **20th August 2025**
H1 2025 Dividend distribution
- **Oct 2025**
- **28th October 2025**
Announcement of Q3/9M 2025 Financial Results
- **Nov 2025**
- **04th November 2025**
Earnings conference call for Q3/9M 2025 Financial Results

Investor Relations Department Contact

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For more information, please visit our [Investor Relations page](#) or the Company's [page](#) on the Saudi Exchange (Tadawul)



Stakeholder Engagement

At First Mills, we believe our success is strengthened when our Stakeholders succeed alongside us.

We actively engage our Shareholders, employees, suppliers, customers, communities and government partners through continuous dialogue, transparent communication and shared action. By listening to their priorities and aligning them with our strategic goals, we create mutual value, strengthen trust and support meaningful outcomes across our ecosystem. This approach enables us to maintain strong governance, elevate service and product quality, drive social and economic impact and reinforce our role as a national food security champion whose progress benefits everyone we serve.

Shareholders and Investors

How We Engage	How Often We Engage	Key Topics Discussed	Key Actions	Value Created
- Annual General Meetings (AGM) - Earnings conference calls with analysts and investors - Regular investor meetings - Investor relations conferences and forums - Disclosure of financial statements, performance reports and material announcements - Investor Relations (IR) channels - Dividend distribution	- Annual General Meeting (AGM) - Quarterly earnings calls - Periodic and Financial Results - Investor meetings throughout the year - Annual investor relations conferences - Dividend distribution	- Financial results and performance - Dividends and payout decisions - Market developments and expansion - Corporate governance and regulatory compliance - Strategic direction and Shareholder value - Material disclosures	- Distributed dividends for H1 and H2 of 2025 - Ensured transparency and compliance with disclosure regulations - Strengthened relationships between Board and Shareholders - Enhanced investor communication channels (IR tools) - Shared financial updates via meetings and reports	- Strengthened trust and transparency - Timely and accurate information for investment decisions - Improved access to management and corporate strategy - Enhanced Shareholder confidence - Supported share performance and market reputation

Employees

How We Engage	How Often We Engage	Key Topics Discussed	Key Actions	Value Created
- Training and development programs - Workshops and skill-building courses - Employee stock purchase (ESP) plan - Employee support programs (psychological, family, educational) - Performance appraisals - Medical examinations at accredited health facilities - Rewards and recognition - Social event	- Ongoing throughout the year - Periodic training sessions - Regular performance reviews	- Employee well-being and satisfaction - Engagement and motivation - Career development and retention - Workplace safety - Anti-harassment and non-discrimination policies	- Provided +7,200 training hours - ESP plan to enhance retention - Delivered support programs for employees' well-being - Provided medical checks at workplace - Analyzing feedback to maintain a professional environment	- Improved employee retention and performance - Safer, healthier and more supportive work environment - Highly skilled and compliant workforce - Attraction of best market competencies - Diverse and inclusive professional environment - Compliance with women's empowerment goals

Stakeholder Engagement continued

Customers

How We Engage	How Often We Engage	Key Topics Discussed	Key Actions	Value Created
- Market research across Saudi Arabia - Customer segmentation targeting different regions and categories - Building strategic partnerships with key customers in each sales channel - Ongoing communication and service support	- Continuous throughout the year - Periodic customer alignment meetings	- Product quality and consistency - Pricing and availability - Customer satisfaction and expectations - Market share expansion - Service and delivery performance - Supply chain stability - Collaboration	- Strengthening relationships and partnerships with suppliers and vendors - Expanded customer reach across multiple regions - Enhanced customer service and responsiveness - Developed tailored strategies for major customer segments - Guaranteeing no prejudice to legal rights of any party	- Improved customer loyalty and satisfaction - Enhanced brand reputation - Expanded market presence and revenue growth - Strengthened long-term customer relationships

Regulatory and Government Authorities

How We Engage	How Often We Engage	Key Topics Discussed	Key Actions	Value Created
- Meetings and continuous cooperation with regulatory bodies (GFSA, SFDA, ZATCA, HRSD) - Compliance reporting and submissions - Alignment with quality and safety standards, including ISO	- Regularly throughout the year - As required by regulatory cycles and inspections	- Compliance requirements - Fair competition - Food safety standards - Economic development - Sustainability regulations - Best practice sharing - National goals - Food security	- Complying with all regulations from GFSA and SFDA - Adhering to General Authority for Competiton (GAC) rules - Cooperation with the Ministry of Human Resources (HRSD) to support employment goals - Partnering with the Culinary Arts Commission and Monsha'at - Participating in numerous local and international events in cooperation with government entities	- Retained full regulatory compliance - Achieved recognition and certifications - Strengthened standing with authorities - Zero penalties or violations - Alignment with National Vision 2030

Community

How We Engage	How Often We Engage	Key Topics Discussed	Key Actions	Value Created
- Corporate social responsibility (CSR) programs - Environmental initiatives - Donation programs - Sustainability projects	- Throughout the year - Annual environmental and CSR initiatives - Periodic community events	- Environmental responsibility - Social well-being - Health, safety and nutrition awareness - Community development - Sustainability - Ethical sourcing - Energy and water conservation	- Reduced energy and water use through rationalization - Supported local communities via donations - Implemented CSR programs - Adopted heat-treatment technology to cut operational environmental impact - Commitment to community investment - Upheld ethical material sourcing and responsible marketing	- Positive social impact - Increased environmental sustainability - Strong community relationships - Recognition for CSR excellence - Reduced environmental footprint

Suppliers

How We Engage	How Often We Engage	Key Topics Discussed	Key Actions	Value Created
- Strengthening relationships with suppliers and vendors - Contractual and legal compliance communications - Procurement coordination	- Regularly throughout the year - As required for supply chain and procurement cycles	- Procurement compliance - Pricing and delivery performance - Innovation and sustainability - Ethical and fair dealing - Supply quality and safety	- Positioning First Mills as the preferred partner for suppliers - Maintained compliance with legal and contractual obligations - Strengthened vendor partnerships - Improved supply chain reliability	- Reliable, high-quality supply of raw materials - Long-term supplier trust - Operational stability - Ethical and responsible sourcing supporting sustainability

Strategic Review

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First Mills' strategic progress focused on targeted expansion, portfolio diversification and investments that support long term returns.

2



Chairman's Statement

2025 marked a defining chapter in First Mills' journey. It was a year in which strong execution translated strategy into tangible progress across operations, portfolio diversification and market reach.

Tariq Mutlaq Al-Mutlaq
Chairman of the Board



Our Growth. Our Commitment.

As a publicly listed company, we moved forward with clarity and confidence, strengthening our role as a trusted food producer while remaining deeply committed to the Kingdom's long-term priorities. Our progress during the year reflects a balanced approach to growth, combining operational discipline, targeted investment and a clear focus on creating sustainable value for all Stakeholders. Notably, this progress was underpinned by solid financial fundamentals and a prudent capital structure, enabling continued strategic investments without compromising resilience.

A year of strategic progress

In 2025, we reinforced the Company's long-term platform for sustainable value creation. Our priorities were clear; strengthen resilience, maintain disciplined capital allocation and ensure robust governance and risk oversight as we advanced the Company's strategic direction.

We continued to build a more future-ready business by investing in the capabilities that protect quality, safeguard continuity of supply and strengthen efficiency over the long term, while progressing our diversification agenda to broaden earnings resilience across the food value chain. Together, these efforts support the development of a more integrated operating model and positions First Mills to pursue sustainable returns and value creation over the years ahead.

Advancing Vision 2030 and national food security

Our growth in 2025 was closely aligned with Saudi Arabia's Vision 2030 and national food security objectives. By expanding production capacity across flour and feed, we contributed to a stable and high-quality domestic supply of essential food products. We accelerated innovation in value-added and fortified categories, increasing the contribution of non-subsidized products while responding to evolving consumer needs. These efforts support the Kingdom's goals of a secure, self-reliant food system and demonstrate our role in furthering those national priorities.

Resilience across our supply chain remained a priority. Investments in advanced planning systems, local sourcing initiatives and coordinated operations strengthened our ability to manage volatility and ensure continuity of supply. Beyond operations, we expanded our community engagement initiatives focused on nutrition

awareness and youth development, reinforcing our role as a responsible contributor to social well-being. In doing so, we maintained our alignment with the broader Vision 2030 framework, which emphasizes not only economic growth but also social responsibility and sustainable development.

Strategic focus and market expansion

During the year, we advanced our long-term strategic roadmap to reflect changing market dynamics and emerging opportunities. Product diversification gained further momentum, particularly across specialized flours, bakery mixes and health-focused products, including gluten-free offerings. These higher-value categories broaden our relevance across consumer and commercial segments.

Geographically, we deepened our presence across high-growth regions within Saudi Arabia and began selectively expanding into regional export markets following regulatory approval. This approach allows us to optimize capacity utilization, reduce seasonality and build a more balanced revenue profile. These strategic shifts were driven by evolving consumer preferences, adjacent market opportunities and our commitment to sustainable, long-term growth.

Investing for scale, integration and resilience

Capital investment and selective acquisitions were central to our progress in 2025. In the feed sector, we completed the acquisition of 100% of Al-Manar Feed Company, adding meaningful daily production capacity and strengthening our reach in the Western region. We also completed the acquisition of a 60% majority stake in Al-Kenan Al-Arabia Trading Company, enhancing distribution capabilities and supporting vertical integration across the feed value chain.

Chairman’s Statement continued

In flour milling, we advanced the construction of Mill C at our Al-Qassim site, a ~~٥~~ 123 million investment that will significantly expand capacity upon completion in 2026. Mill C will add 600 tons of daily milling capacity. To support these initiatives, we secured a ~~٥~~ 150 million financing facility, reflecting strong institutional confidence in our strategy. Together, these investments position First Mills to scale efficiently while maintaining operational resilience.

Enhancing governance, risk and accountability

As First Mills continues to grow, governance and risk management remain foundational to our approach. In 2025, we strengthened Board oversight across strategy, risk and sustainability, reinforcing accountability at the highest level. The Board and its committees played an active role in guiding the Company’s strategic initiatives and ensuring robust risk mitigation measures. We implemented advanced enterprise risk management tools to enhance visibility and control over supply chain, market and operational risks.

Our Internal audit and compliance programs were further strengthened, alongside expanded employee training on ethics, governance and responsible business conduct. These efforts support transparency, consistency and trust, ensuring that growth is underpinned by strong institutional discipline and sound decision-making.

Ensuring responsible growth and sustainability

Sustainability continued to be fully integrated into how we operate and invest. During the year, we advanced energy efficiency initiatives across our mills and made measurable progress in reducing emissions intensity, reinforcing our commitment to responsible and efficient operations. On the social side, we strengthened workplace safety programs and invested in employee capability development through targeted training and skills enhancement. We also published enhanced sustainability metrics aligned with

international standards, improving transparency and enabling clearer measurement of progress. These actions reflect our belief that responsible growth is essential to long-term value creation.

Looking ahead with confidence

We enter 2026 with confidence in our direction and readiness to build on the momentum we achieved in 2025. Our strategic priorities for the coming year include expanding our presence in high-growth product categories, increasing automation and digitalization across operations and advancing sustainability targets, particularly in energy and resource efficiency. We will continue to deepen partnerships across the food ecosystem, including retailers, bakeries and foodservice providers, while selectively evaluating new expansion opportunities within Saudi Arabia and the region.

With a strengthened asset base, diversified portfolio and disciplined operating model, First Mills is well positioned to navigate market complexity and capture future growth opportunities. We remain vigilant against risks but optimistic about the prospects ahead in a growing, evolving food sector. By maintaining our commitment to excellence, innovation and sustainability, we are confident that 2026 will see First Mills continue on its trajectory of profitable growth and value creation for all Stakeholders.

Acknowledgements

On behalf of the Board, I would like to thank our executive management team for their leadership and our employees across all locations for their dedication and professionalism. We also extend our appreciation to our government partners and regulators for their continued support and to our customers, investors and Shareholders for their trust and confidence. Together, we continue to build a stronger First Mills, delivering growth with commitment and purpose.

Tariq Mutlaq Al-Mutlaq
Chairman of the Board

CEO's Message

2025 was a year defined by execution. Across First Mills, our focus was to deliver on our strategy, strengthen operational performance and scale the business responsibly in line with long-term priorities.

Eng. Abdullah Abdulaziz Ababtain
Chief Executive Officer



Executing with clarity. Scaling with commitment.

I am proud of how the organization translated ambition into measurable progress, while remaining grounded in discipline, quality and accountability. The year reinforced my confidence in our people, our operating model and our ability to create enduring value in a dynamic market environment.

A year of momentum and decisive progress

The defining story of 2025 was momentum built through focus and follow-through. The business delivered sustained growth across all quarters, supported by strong demand, improved capacity utilization and disciplined execution across flour, feed and value-added categories. Our five-year strategy continued to advance ahead of plan, driven by targeted investments, portfolio diversification and expanding customer reach.

A major contributor to this progress was the strengthening of our feed segment. For much of the year, demand for feed products exceeded available capacity - underscoring both the depth of the market and the importance of timely expansion. The acquisition of Al Manar Feed Company materially enhanced our production footprint and enabled faster response to customer demand, while the stake in Al-Kenan Al-Arabia Trading Company strengthened downstream distribution in the feed segment and expanded market access. These actions reflected a deliberate approach to growth, combining strategic expansion with selective inorganic opportunities that reinforce strategic positioning.

Financial performance and value creation

Financial performance in 2025 reflected the underlying strength of the business and the benefits of disciplined execution. Revenues increased by 9.3% to ₪ 1,146.4 million, supported by volume growth, portfolio mix improvement and steady demand across core categories. EBITDA reached 402.2, reflecting improved operating leverage and continued focus on efficiency, while attributable to Shareholders of the Issuer rose to 277.4 million, demonstrating the scalability of the operating model. Earnings per share reached ₪ 4.99, supported by resilient margins and consistent performance throughout the year.

The balance sheet remained strong, enabling continued investment while preserving financial flexibility. Capital expenditure totaled (85.1), directed primarily toward capacity expansion, modernization of facilities and technology upgrades. Liquidity remained solid, supported by prudent working capital management and access to long-term financing. These results provide a stable foundation for continued growth while maintaining the financial discipline expected of a listed company.

Building strength across our brands

Operationally, 2025 marked a step change in performance across all three brands, each playing a distinct role in the Group's growth.

The **First Mills** brand continued to anchor the portfolio, delivering strong volume growth supported by consistent high quality. Operational performance across mills remained robust, with efficiency sustained above targeted thresholds and improved extraction rates supporting both cost control and product consistency. Expanded distribution and deeper partnerships with key customers strengthened the brand's presence across B2B, Traditional Trade, Modern Trade, breeders and Feed Distribution portfolios.

Aloula advanced its position as a value-led growth engine. The brand focused on premium segments and higher-margin categories, refining its channel strategy and strengthening execution in modern trade and feed distribution. Innovation remained central, with progress in ready-mix solutions and several customer portfolios that expand usage occasions and reinforce brand relevance. Aloula's performance demonstrates the importance of differentiation and disciplined portfolio management in driving sustainable value creation.

CEO's Message continued

Naffa'a delivered one of the strongest growth profiles within the Group. Demand for specialized feed products continued to rise, supported by expanded product ranges and manufacturing upgrades. Production lines operated at near-full utilization, reflecting strong market acceptance and effective execution. Investments in quality control, R&D and digital customer tools strengthened Naffa'a's positioning as a solutions-oriented partner for breeders and feed distributors.

Technology and innovation as enablers

Technology and innovation remained critical enablers of performance in 2025. Across operations, digital tools enhanced visibility and efficiency. Advanced analytics supported production planning, quality monitoring and resource optimization, while predictive maintenance capabilities reduced downtime risk and improved asset utilization.

Innovation extended beyond internal processes. The continued use of heat treatment technology for pest control, unique within the Kingdom, supported food safety objectives while reducing reliance on chemical treatments. Progress was also made in renewable energy planning, with a solar power project developed in partnership with TotalEnergies to support future energy efficiency and emissions reduction targets. R&D initiatives across flour, bakery solutions and feed formulations reinforced our ability to respond to evolving customer needs with tailored, high-performance products.

People and culture at the core

Our performance in 2025 was driven first and foremost by our people. Across all functions and locations, teams demonstrated resilience, adaptability and a strong performance mindset. Productivity gains achieved during the year reflected not only process improvements and technology adoption, but also a culture that values accountability, collaboration and continuous improvement.

We continued to invest in talent development, as training programs, leadership engagement and clear performance frameworks supported capability building and succession planning. The organization

continued to attract and retain diverse talent, aligned with national objectives for workforce participation and development. Recognition as a strong employer reflects the environment our teams have built, one that supports safety, inclusion and professional growth.

Looking ahead to the next phase of growth

As we look into 2026, our focus remains on execution and disciplined growth. Key priorities include commissioning new capacity, particularly at the Al-Qassim site, expanding into high-growth product categories and advancing automation and digitalization across operations. Sustainability initiatives will continue to progress, with emphasis on energy efficiency, resource management and responsible production.

We will also continue to evaluate selective investment opportunities that strengthen the portfolio and enhance market access, both within Saudi Arabia and in regional markets. With a diversified platform, strong financial position and proven execution capability, First Mills is well positioned to navigate complexity and capture emerging opportunities.

Acknowledgements

I would like to thank our employees across all locations for their dedication and commitment, our leadership team for their focus and accountability and our Board for its guidance and support. A special thanks to our customers, partners, regulator and suppliers for their continued trust and to our Shareholders for their confidence in our direction.

First Mills enters the next phase of its journey with clarity of purpose, strength in execution and confidence in its ability to deliver sustained value in the years ahead.

Eng. Abdullah Abdulaziz Ababtain

Chief Executive Officer



Business Model

Powering value through strength, scale and trust

First Mills' business is built on the strength of its nationwide footprint, diversified product portfolio and deep operational capabilities, creating consistent value for Shareholders, customers, partners and other key Stakeholders. With leading market presence, advanced production assets and a resilient supply chain anchored by strong relationships with raw-material suppliers, the Company converts its resources into high-quality products that support national food security and deliver sustainable returns. A disciplined governance framework, an experienced leadership team and a commitment to innovation reinforce this model, enabling First Mills to meet rising demand, adapt to market shifts and expand into new opportunities with confidence.

Inputs

- Leading local market position
- Solid base of logistics and production facilities
- Risk management capabilities

Strengths and Competitive Advantages of the Company

- Product diversification and geographical spread
- Commitment to provide quality products
- Experienced and highly efficient team

Added Value To All Relevant Authorities and Stakeholders

- A diverse product portfolio with more than 90 main products of food and feed products.
- Five plants located in strategic locations, including two facilities in Jeddah in the Makkah Province, one of which is the newly acquired Al Manar feed plant with a daily capacity of 450 tons per day, as well as Al Qassim in Buraidah, Tabuk in Tabuk City and the Eastern Province Al-Ahsa.
- Sale and distribution warehouses belong to the Company or its distributors spread all over the Kingdom.
- Close and strong relationships with all raw material suppliers, including the General Food Security Authority (GFSA).
- Completed the acquisition of 60% of Al-Kenan Al-Arabia Trading Company.
- Professional constant monitoring and rigorous testing of raw materials and final products.
- High responsiveness and flexibility to address local market changes and global market trend aiming to meet the evolving customer needs.
- High capacity for expansion and penetration into new geographical areas by offering high-demanded products with superior quality.
- Obtaining a number of accreditations and certificates recognizing the quality of the Company's products and enhancing its position as a reliable and important partner for many major clients.
- Independent Board members with the highest level of experience, working for a number of prominent local and international companies in the same field and sector.
- A highly skilled executive team with wide experience in the milling and food sector of more than 200 years of related accumulated experience.
- The Company is supported by a comprehensive governance structure and strong internal control procedures and policies.
- Motivating work environment that managed to gain the highest levels of loyalty and satisfaction backed by premium job incentives and initiatives.

Outputs

- Reaching more than 30%* in the local flour market as a market share.
- Achieving attractive profit margins and sustainable growth that exceeds the average market rates and targets.
- Maintaining current leadership in the feed sector and expanding the bran production in alignment with the growth in flour volumes.
- Cash sales, which are immediately collected, account for 65% of the Company's product sales.
- Owning the first-of-its-kind durum mill for producing semolina with a production capacity capable of meeting local market demand with the possibility of exporting to regional markets.
- Fixed asset base with a book value of more than ₪ 820 million, backed by the latest modern technologies for flour and feed production.
- Ongoing follow-up on increasing the production capacity and constantly expanding and renovating plants to achieve the best possible returns and to meet the increasing market demands.
- Leveraging cutting-edge systems and technologies across all production processes to guarantee the highest quality.
- Building strategic, high-value partnerships with both the public and private sectors.
- A specialized team handles all potential risks at all levels.
- Raw materials supply agreements with the Company's suppliers, which contribute to mitigating and managing any risks associated with the fluctuations in the international market prices.
- Comprehensive review and assessment to mitigate risks and align with regulatory development in Saudi Arabia.
- A specialized team to manage the supply of raw materials and other purchases to ensure optimal business sustainability.



Shareholders and Investors

The Company is committed to protecting its Shareholders' rights, guaranteeing fairness and transparency in the provision of information and strengthening relations through diversified distributions. During 2025, First Milling Company distributed dividends totalling ₪ 173,880,000 for H1 and H2 2025. The Company also adheres to financial regulations, according to the instructions governing First Milling Company's Investor Relations (IR) Department operations, which is dedicated to efficiently addressing Shareholders' inquiries.



Customers

The Company adopts a client-centric principle to make certain customers' needs are met with the utmost quality. The process of quality verification and the provision of superior products are continuously assessed by the General Food Security Authority (GFSA), based on a comprehensive assessment of their production capacity.



Employees

The Company actively develops its human resources and management approach. It was recognized as Second Place – Best Induction Program, Silver Category from Employee Happiness Awards 2025 KSA; and First Place – Best Recruitment Strategy, Silver Category from Employee Happiness Awards 2025 KSA and is listed among the Employees Stock Incentive Plan as a program to attract and retain top talents.



Communities

The Company's programs with non-governmental organizations aim to support social responsibility, enhancing "sound and healthy life", especially towards youth programs and the fight against hunger and job fears. Additionally, First Milling Company plays an important role in food security, affirming its status as an inclusive workplace that meets employment and social needs.



Regulatory and Government Authorities

The Company works in full compliance with the disclosure and cooperative standards with regulatory authorities such as the Capital Market Authority (CMA), Zakat, Tax and Customs Authority (ZTCA) and the Food Security Authority along with the national food security strategy and the Saudi Vision 2030. Furthermore, First Milling Company participates in multiple government efforts in collaboration with the Ministry of Human Resources and Social Development (HRSD).



Partners

The Company provides sustainable value to all partners by delivering a high standard of experience and ensuring they receive the best quality products, while enabling the possibility of customization and forming the product mix according to the required specifications.

* According to GFSA

Strategy and KPIs

Strategic progress driving long-term value

First Mills maintains a flexible strategic vision, adapting to the continuous developments in the food and feed sectors in local and global markets. The Company's strategy and objectives are centered on providing high-quality premium products. This focus supports its aspirations in becoming the first partner of choice across the Kingdom and the credible source of vital products for both the market and community.

The Company has set strategic targets to guarantee it maintains its leading role in the market and contributes to the provision of sustainable sources of food. This is done through four main pillars.



Strategy and KPIs continued



Pillar 1 Enhancing Market Leadership

Strengthen First Mills' position as a top player in the food products sector by expanding market share, increasing brand recognition and continuously improving competitiveness across all key markets.

Target

To be the first choice for customers and industry leaders in terms of sales volume, revenue and market share in flour products.

Success Metrics and KPIs

1. Maximizing Company value
2. Increasing revenues and profits sustainably
3. Expanding into new products and sectors
4. Improve distribution and sales channels

2025 Achievements

Revenue growth by **9%** to reach

ﷲ 1,146.4 mln

Acquired Al Manar Feed Co. Ltd, adding

450 tons
of daily feed
production

Net profit grew by **10%** to reach

ﷲ 277.4

Implemented the highly secured **IT infrastructure for First Mills and rolling it to all its locations across the Kingdom**

Increased SKUs to

90 products



Pillar 2 Creating Outstanding Products and Providing Exceptional Services

Deliver high-quality, innovative milling and food ingredient products that meet evolving customer needs, while also offering superior customer service and technical support to strengthen long-term partnerships with clients.

Target

To have the most powerful brand, the best-in-class customer service and be well-known for its products innovation.

Success Metrics and KPIs

1. Increasing revenue contribution from the flour new products developed (NPDs)
2. Strengthening brand equity
3. Improving customer service
4. Developing innovation practices

2025 Achievements

First Mills market share goes up to more than

30%

Customer satisfaction NPS reached

93%

Strategy and KPIs continued



Pillar 3

Building an Efficient and Distinguished Operational Framework

Develop highly efficient and reliable operations across the supply chain – covering production, logistics, procurement and quality control – to ensure consistent product excellence, cost optimization and operational resilience.

Target

To produce premium quality products, in the most efficient manner utilizing world-class technology at the ideal competitive cost.

Success Metrics and KPIs

1. Cost optimization across the value chain
2. Developing strategic sourcing
3. Developing integrated business planning (IBP)
4. Increasing production efficiency and capacity and improving product quality

2025 Achievements

The Company's production capacity utilization rates reached

94%

893,520

quality tests conducted, compliant with the highest international standards and ISO



Pillar 4

Building Necessary Capabilities and an Efficient Framework to Achieve the Company's Strategy

Invest in the people, systems, technologies and governance structures required to support First Mills' strategic goals, making sure the Company has the right capabilities, digital tools, talent development plans and internal processes to drive sustainable success.

Target

To be the employer of choice, known for its high safety standards and highly capable team working together within the right culture and systems in place.

Success Metrics and KPIs

1. Improving HSE practices
2. Strengthening organizational structure and governance
3. Enhancing work culture and environment and developing skills and capabilities
4. Improving digitization and automation

2025 Achievements

Introduced new incentive programs and engagement initiatives to motivate employees and strengthen a supportive, high-performance culture.

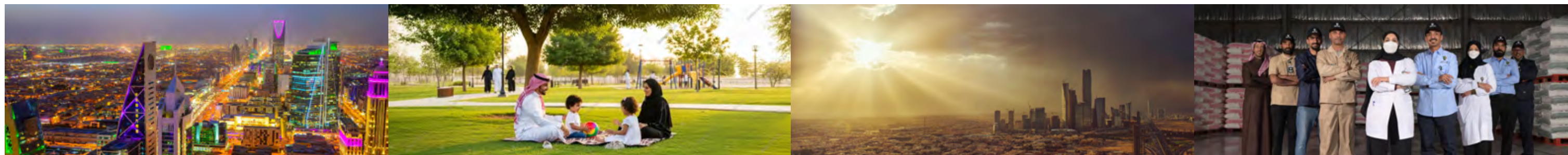
Delivered extensive training and development, with more than

300 employees

trained and over 7200 training hours completed.

Advanced digital transformation by deploying modern systems that enhance efficiency, support collaboration and provide a stronger platform for employees to perform effectively.

Saudi Vision 2030



A vibrant society



First Mills aligns its strategy and operations with the ambitions of Saudi Vision 2030, contributing to a more vibrant society, a thriving diversified economy and an ambitious nation built on strong governance and empowered talent. Through our commitment to food security, innovation, workforce development and community impact, we play an active role in supporting the Kingdom's transformation, creating sustainable value for all Stakeholders.

Empowering Communities and Enriching Everyday Life

First Mills supports the national drive to strengthen social well-being by delivering initiatives that enhance quality of life and empower communities. We advance nutrition awareness and community engagement programs that benefit households, students and local institutions, reinforcing Vision 2030's aspiration for an informed and healthy society.

We continue to improve consumer experience through clearer product information, better usage guidance and responsive digital channels. These efforts enhance daily life for customers while elevating service standards across the food ecosystem.

Women's workforce participation remains an important priority. Female hiring at First Mills increased from 1-2% in 2021-2022 to 3% in 2023 and we aim to continue growing this representation. This aligns with Vision 2030's national objective to expand opportunities for women across the private sector.

A thriving economy



Driving Diversification, Innovation and National Food Resilience

First Mills contributes to the Kingdom's non-oil diversification goals by expanding production capacity, enhancing our portfolio and strengthening the national food and agriculture sector. Our growth supports one of the most strategically important industries for Saudi Arabia's long-term economic resilience.

We continue to invest in research, development and advanced manufacturing capabilities, helping build a knowledge-based, innovation-driven industrial landscape. This includes adopting digital tools and AI to improve efficiency, accelerate product development and strengthen customer-facing services. These advancements reflect Vision 2030's aim to build a modern, digital-first economy powered by data and technology.

Our role in food security is central to the national agenda. By enhancing production, reinforcing distribution networks and strengthening supply chain reliability, we help maintain stable, high-quality food systems that support the Kingdom's growing population.

We also engage directly with local farmers, SMEs and supply chain partners through technical support and knowledge-transfer programs. These initiatives improve productivity, livestock performance and sector-wide capabilities, contributing to Vision 2030's objective of empowering local industries and building national self-sufficiency.

An ambitious nation



Delivering Excellence through Talent, Governance and National Partnerships

First Mills invests in national talent through a structured Saudization program supported by clear targets and strong execution. We have achieved 43.7% Saudization at the head office and aim to reach Platinum level, directly contributing to Vision 2030's goal of expanding private-sector employment opportunities for Saudi nationals.

We strengthen workforce competence through continuous learning, professional certifications and succession planning programs. These initiatives build a skilled, future-ready workforce in line with the national effort to elevate human capital across the Kingdom.

A culture of performance and accountability guides our human resources strategy. Quarterly and annual recognition programs reward excellence and promote merit-based advancement, fostering the high-performance environment envisioned by Vision 2030.

Public-private collaboration is another core area of alignment. First Mills works closely with HRSD programs such as Tamheer and nationalization initiatives to train and recruit Saudi talent, supporting Vision 2030's strategy to deepen cooperation between government and business.

Our governance framework also reflects national priorities. Comprehensive HR and corporate policies on conduct, whistleblowing, conflicts of interest, compensation and compliance ensure we operate with transparency and accountability. This commitment supports Vision 2030's ambition to build institutions that are efficient, ethical and fully aligned with regulatory expectations.

Advancing national priorities with purpose

Technology and Innovation

Driving business value through innovative technologies

Technology and innovation remain essential enablers of First Mills' corporate strategy. The Company was built as a digital-first operation, designed to reach customers more effectively and deliver an integrated, seamless experience across every touchpoint. This vision supports its ecosystem-based approach, making certain that technology strengthens value creation for customers, partners, employees and Stakeholders and enabling scale, efficiency and long-term competitiveness.

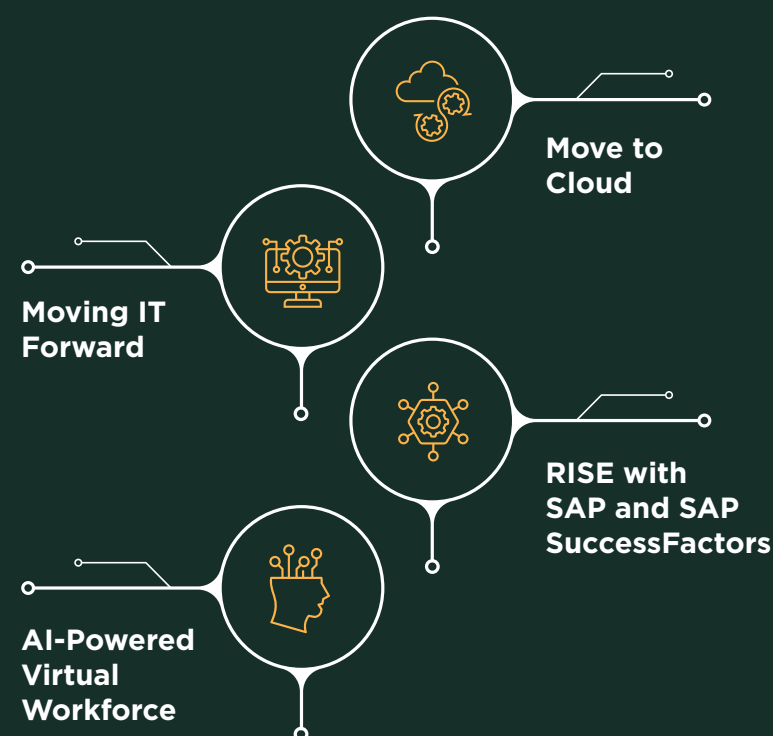
Technology and Innovation Vision

To be the First Mills' business capability engine, powering solutions through connection, transformation and innovation.

Technology and innovation are core enablers of First Mills' corporate strategy. From its inception, the Company has been designed as a digital-first organization, enabling broader market reach and a seamless, integrated customer experience. This approach supports First Mills' ecosystem-based business model and ensures technology consistently drives value creation for customers, partners, employees and Stakeholders.

Technology and Innovation Strategy

First Mills' technology and innovation strategy reflects a commitment to using advanced tools and digital capabilities to modernize operations and support the Company's ambition to build a fully integrated, future-ready ecosystem. The strategy is structured around four transformation pillars.



Together, these pillars drive scalability, elevate customer experience and embed operational excellence across the organization.

Move to Cloud

The Move to Cloud initiative represents the next generation of First Mills' technology infrastructure. It establishes a secure, scalable and flexible foundation that supports current business requirements while preparing the organization for future growth. By consolidating applications and migrating core systems to an in-country private cloud environment, this initiative enhances performance, strengthens cybersecurity, improves cost efficiency and equips IT teams with modern tools to better support evolving business needs.



Moving IT Forward (MITF)

Moving IT Forward defines First Mills' IT operating model and provides a standardized organizational framework for IT governance, policies and processes. This pillar guarantees consistency in how technology services are delivered, managed and optimized across the organization. Its success depends on fostering a unified IT culture that follows shared standards, adheres to best practices and supports continuous improvement in service delivery and operational effectiveness.



RISE with SAP and SAP SuccessFactors

RISE with SAP and SAP SuccessFactors represent one of the most significant transformation programs in First Mills' history. These platforms harmonize processes, automate manual activities, improve data accuracy and accelerate digital deployment across core business functions including finance, human resources, operations and the supply chain. Together, they provide a unified digital backbone that enhances efficiency, enables faster decision-making and differentiates First Mills' operational capabilities in the market.



AI-Powered Virtual Workforce

The AI-Powered Virtual Workforce establishes the foundation for an intelligent, adaptive and increasingly automated enterprise. AI agents enable advanced analytics, predictive insight and the creation of a digital twin of First Mills' operations. This transformation supports a model of working that delivers more outcomes faster, more intelligently and with reduced reliance on manual intervention, while improving accuracy, consistency and responsiveness across the organization.



Technology and Innovation continued

Achieving more, faster and smarter through existing resources.

Driving Progress Throughout the Year

In 2025, First Mills achieved major milestones that strengthened its digital infrastructure and advanced its transformation agenda. The Company completed the rollout of a highly secure and resilient IT environment across all locations, ensuring operational continuity and stronger protection against evolving threats. It deployed RISE with SAP and SAP SuccessFactors, automating manual processes and improving data reliability across finance, HR, operations and supply chain activities.

Advanced analytics dashboards and performance indicators were introduced to enhance visibility, support data-driven decision-making and optimize production planning. First Mills also migrated its core systems to an in-country private cloud environment, improving scalability, enhancing cybersecurity and reducing long-term operating costs.

Technology Achievements in 2025

During 2025, First Mills achieved significant milestones that strengthened its digital foundation and advanced its transformation agenda.

Successfully implemented a highly secure and resilient IT infrastructure across all locations, maintaining operational continuity and robust protection against evolving cyber threats.



Introduced advanced analytics dashboards and key performance indicators to improve visibility into production performance, support data-driven decision-making, predict market trends and optimize resource allocation.



Deployed RISE with SAP and SAP SuccessFactors to automate manual processes, enhance data reliability and improve efficiency across core business functions.



Migrated core IT systems to an in-country private cloud environment, improving scalability, enhancing security and reducing long-term operating costs.



Technology and Innovation in 2026

Looking ahead to 2026, First Mills will continue advancing its technology and innovation strategy with a focus on scaling digital capabilities and reinforcing its competitive position. The Company plans to expand its use of artificial intelligence and machine learning to improve forecasting, automate repetitive tasks and strengthen operational precision.

It will extend end-to-end supply chain traceability to enhance transparency, visibility and trust across logistics and distribution. Continuous optimization of IT infrastructure will support future growth, and additional automation inside processing plants will improve efficiency, reduce variability and enhance consistency across production lines.

Cybersecurity and Data Privacy

First Mills maintains a firm commitment to safeguarding its digital environment and ensuring the confidentiality, integrity and availability of its information assets. Its cybersecurity vision is centered on enabling a secure and reliable technology foundation that supports operational performance, strategic growth and long-term resilience.

The Company's cybersecurity program is built around four world-class pillars: Cybersecurity Governance, Cybersecurity Defense, Cybersecurity Resilience and Third-Party and Cloud Computing Cybersecurity. These pillars guide all security activities and are fully aligned with requirements issued by the National Cybersecurity Authority, including ECC-2:2024 Essential Cybersecurity Controls, as well as other relevant regulatory and legal obligations. This structured framework enables First Mills to address evolving threats with discipline and clarity.

Throughout the year, First Mills continued strengthening its defenses by advancing policies, controls and monitoring capabilities across its technology landscape. The cybersecurity team remained focused on protecting the organization from emerging risks, elevating compliance maturity and guaranteeing all systems and processes adhere to the highest security standards.

Fostering a strong internal security culture remained a priority. The Company expanded its cybersecurity awareness programs and training initiatives to equip employees with the knowledge needed to recognize threats and respond effectively. This reinforces the principle that security is a shared responsibility across all functions and that vigilance is essential to maintaining trust with customers, partners and Stakeholders.

First Mills adopts advanced tools and technologies to detect, prevent and mitigate cyber threats in real time. Its zero-tolerance stance toward misinformation and disinformation further strengthens the integrity of its digital ecosystem and supports secure, uninterrupted operations.

Looking ahead, First Mills will continue advancing its cybersecurity strategy with a particular focus on enhancing its Business Continuity Management System, including IT disaster recovery capabilities, deepening cyber-awareness and training initiatives and expanding the deployment of robust security controls. The Company will maintain continuous monitoring for vulnerabilities and uphold rapid-response processes to strengthen resilience and maturity in the years ahead.

Cybersecurity and Data Privacy Vision

To enable First Mills to reach a secure and reliable technology environment able to sustain and grow.



CFO's Review

2025 was a year defined by measured expansion, operational strength and disciplined financial execution. Across First Mills, growth was pursued with clear financial intent, supported by robust demand, capacity investments and a continued focus on efficiency.

Alaaeldin Mohamed Shousha
Chief Financial Officer



Financial discipline. Scaled performance. Sustained value creation.

As Chief Financial Officer, I am pleased to report that the Company delivered strong financial performance while maintaining balance sheet resilience, strengthening cash generation and investing to support long-term value creation.

Our financial outcomes reflect a consistent approach. We expanded capacity where demand supported returns, strengthened portfolio mix toward higher-value products and maintained cost discipline across operations. These actions reinforced profitability, enhanced cash flow generation and positioned the Company for continued expansion in strategically important segments.

Financial performance and profitability

First Mills delivered solid financial results in 2025, reflecting both operational momentum and effective cost management. Total revenue for the year reached ₪ 1,146.4 million, an increase of 9.3% year-on-year, supported by volume growth, product mix improvements and expanded market reach across core and adjacent categories. Revenue performance was underpinned by steady demand across flour and feed segments, alongside continued portfolio diversification.

Profitability strengthened in line with operational scale and efficiency gains. EBITDA reached ₪ 402.2 million, up 7.5% year-on-year, with an EBITDA margin of 35.1%, reflecting improved operating leverage and disciplined cost control. Operating profit totaled ₪ 339.7 million, up 6.7%, while net profit attributable to shareholders reached ₪ 277.4 million for the full year, an increase of 10.6%, demonstrating the scalability of the Company's operating model and its ability to convert revenue growth into bottom-line performance. Gross margin stood at 42.1%, supported by stable direct costs, improved extraction efficiency and enhanced operational performance across production facilities.

Margin performance was further supported by portfolio optimization and higher capacity utilization, particularly in core milling operations and specialized product categories. These structural improvements continue to reinforce profitability resilience across market cycles.

Statement of Profit or Loss

₪	2021	2022	2023	2024	2025	YoY %
Revenue	801.0	913.7	964.3	1,048.9	1,146.4	9.3%
Cost of Revenue	(469.5)	(515.7)	(551.1)	(591.8)	(664.2)	12.2%
Gross Profit	331.5	397.9	413.1	457.1	482.2	5.5%
General and administrative expenses	(93.94)	(102.34)	(78.06)	(81.88)	(74.97)	8.4%
Operating (selling and distribution) Expenses	(17.8)	(39.3)	(47.8)	(55.6)	(67.8)	22.1%
Operating Profit	213.3	255.6	287.0	318.5	339.7	6.7%
EBITDA	-	-	-	374.2	402.2	7.5%
Net Profit	198.5	217.5	220.2	250.9	277.4	10.6%

CFO's Review continued

Revenue drivers and operational performance

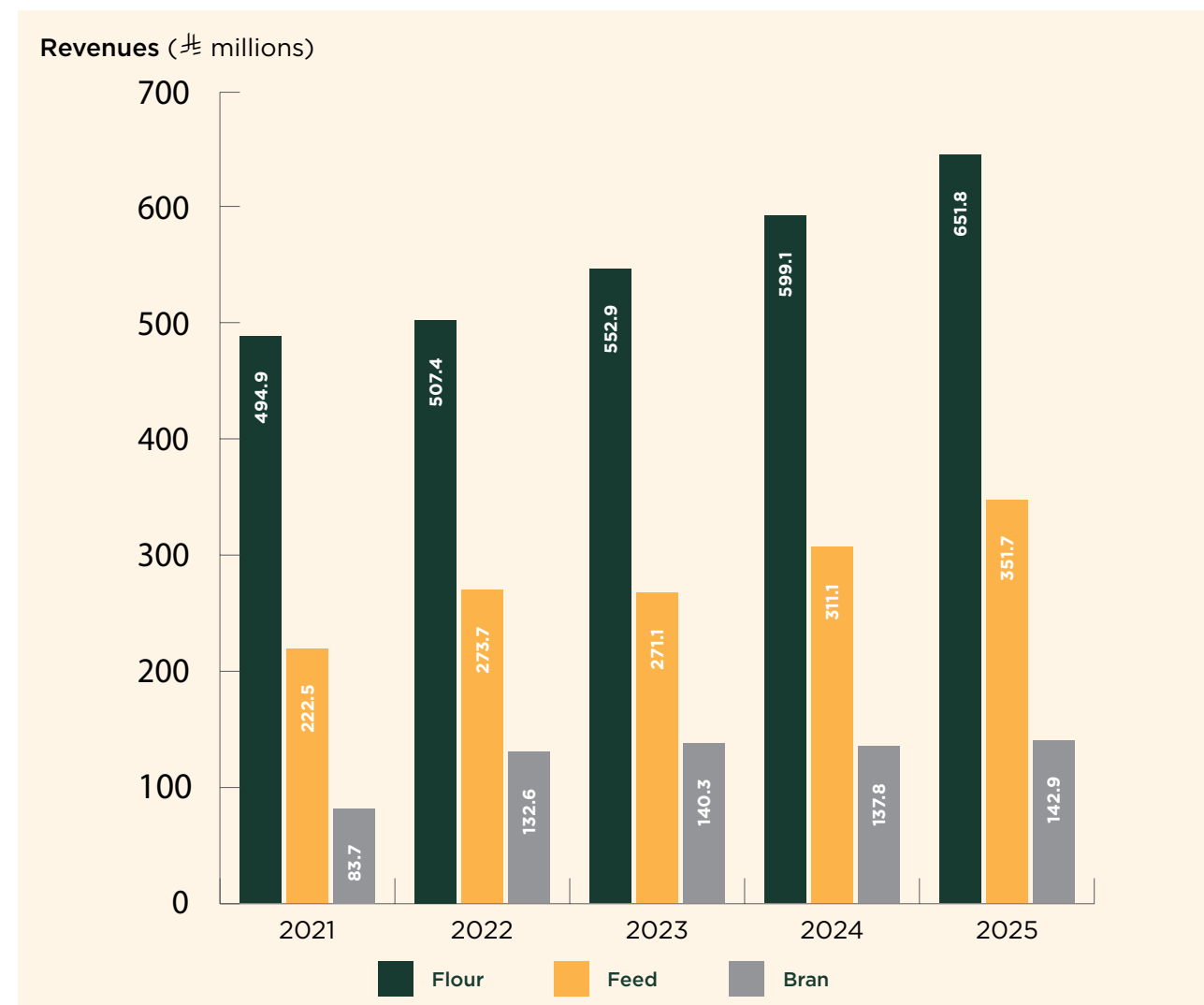
Financial performance in 2025 was supported by strong execution across the Company's operating platform. Growth reflected a combination of increased production volumes, improved product mix and sustained demand across key customer segments.

From a product perspective, diversification continued to strengthen revenue resilience. Flour remained the primary contributor at ₪ 651.8 million (56.9% of revenue), up 8.8% year-on-year, while feed revenues expanded 12.8% to ₪ 351.7 million (30.7% of revenue), reflecting strategic investment in higher-growth segments, including the Al-Manar and AATC acquisitions that scaled the Company's integrated feed platform. Bran revenues rose 3.6% to ₪ 142.9 million. This balanced product mix supports more stable revenue generation and reduces dependence on any single category.

Our 9.3% revenue growth was driven primarily by volume and mix expansion of 9.1%, with pricing

contributing 0.2%. The Flour segment achieved 8.6% volume growth despite a 0.6% pricing headwind, while Durum products delivered an exceptional 57.9% sales growth (+56.1% volume/mix), reinforcing their strategic importance. The Feed segment posted a robust 12.8% growth (+13.0% volume/mix, -0.3% pricing), supported by the Al-Manar and Al-Kenan Al-Arabia Trading Company (AATC) acquisitions. Bran volumes declined 0.4% as we strategically prioritized higher-margin feed production, demonstrating disciplined portfolio optimization.

Revenue expansion was supported by capacity additions, operational efficiency improvements and continued demand for both staple and specialized products. Production utilization remained high across major facilities, enabling the Company to meet market demand while maintaining consistent product quality and cost discipline.



Cash flow and working capital discipline

Strong profitability translated into robust cash generation throughout the year. Operating cash flow reached ₪ 342.1 million, up 11.8% year-on-year, reflecting improved earnings performance and disciplined working capital management. Free cash flow totaled ₪ 257.0 million, supporting continued investment while maintaining financial flexibility.

We maintained a strong and resilient balance sheet throughout 2025. Net debt stood at ₪ 1,247.8 million at year-end, with leverage ratios remaining within targeted levels. Net debt-to-EBITDA, with net debt excluding lease liabilities, improved to 2.1x from 2.2x in FY2024, reflecting prudent capital management and strong earnings performance. Interest coverage strengthened to 4.9x from 3.9x in the prior year, demonstrating the Company's enhanced capacity to comfortably service financing obligations.

Working capital remained tightly managed across inventory, receivables and payables. Inventory optimization and supply chain coordination supported efficient production planning and reduced holding costs, while disciplined receivables management ensured timely cash collection. These measures strengthened liquidity and supported sustainable funding of growth initiatives.

The year-over-year decline in net working capital from ₪ 43.1 million to negative ₪ 58.6 million reflects our deliberate capital allocation strategy in support of transformational growth initiatives. During 2025, we strategically deployed cash reserves toward the successful completion of two accretive

acquisitions—Al-Manar and AATC—which immediately strengthened our Feed segment platform and expanded our geographic footprint. Concurrently, we advanced construction of Mill C at Al-Qassim, positioning the Company for enhanced operational capacity and market reach. This disciplined reallocation of working capital toward high-return strategic investments, rather than maintaining excess liquidity, demonstrates our commitment to value creation and long-term shareholder returns. Importantly, our robust operating cash flow of ₪ 342.1 million—representing a 11.8% year-over-year increase—provides ample financial flexibility to support ongoing operations while funding our expansion roadmap. We remain confident that these investments will drive sustainable earnings growth and further strengthen our competitive position as Saudi Arabia's leading integrated milling platform.

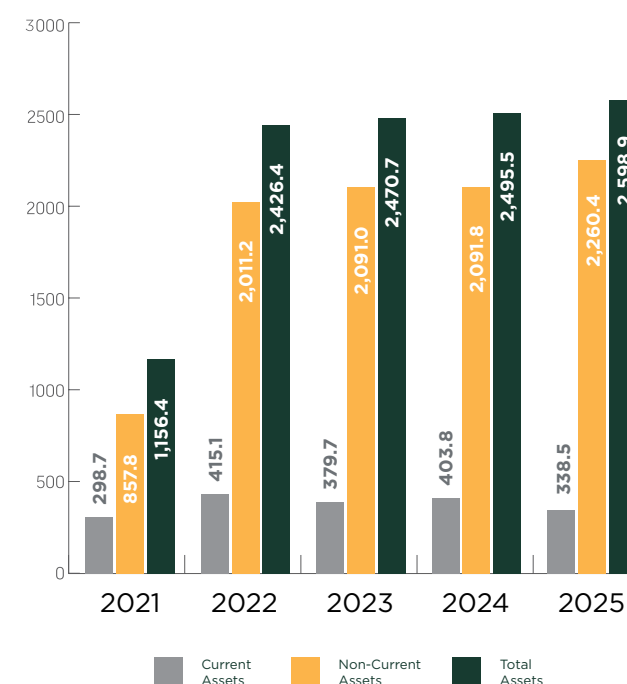
Cash generation remains a central pillar of our financial strategy, enabling continued investment in expansion while preserving balance sheet strength.

To support strategic expansion and capacity development, First Mills maintained access to long-term funding sources, including a ₪ 150 million financing facility from the Saudi Industrial Development Fund. This facility provides stable financing aligned with our growth strategy and reinforces institutional confidence in our long-term prospects.

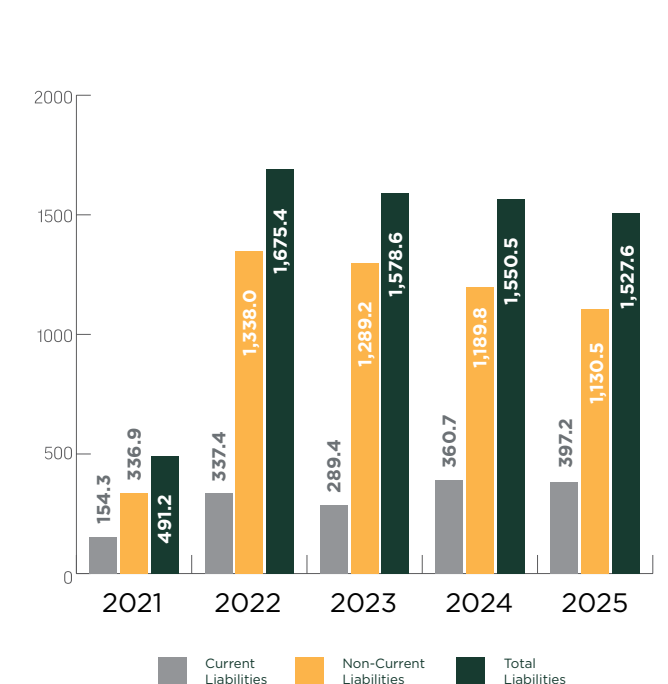
Maintaining financial resilience remains a core priority, ensuring that growth is supported by a strong capital structure and disciplined funding strategy.

Statement of Financial Position

Assets (₪)

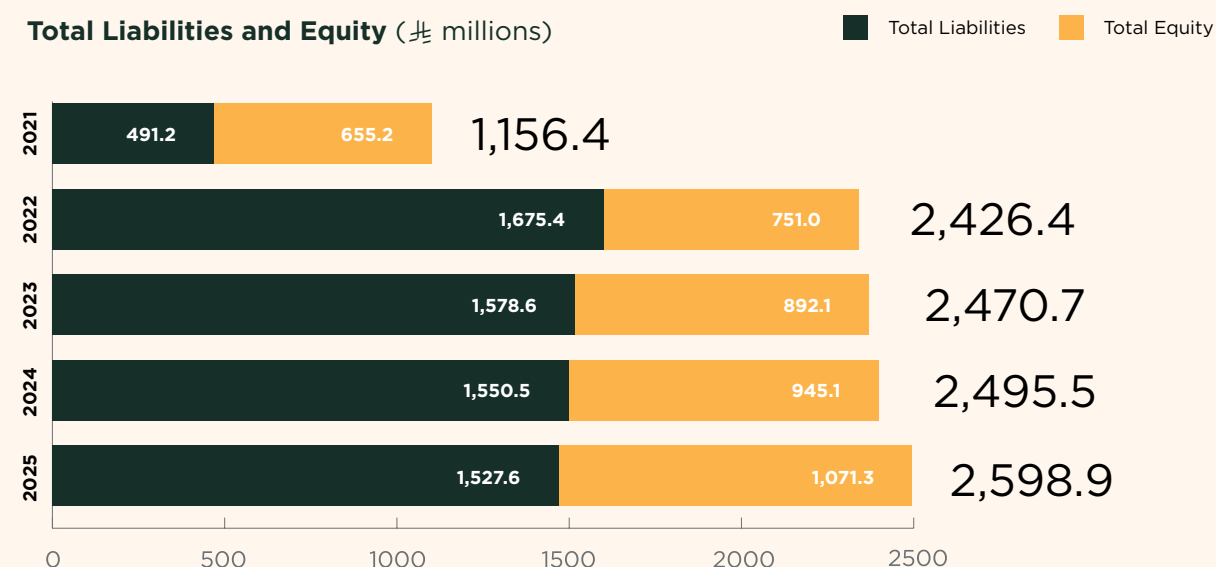


Liabilities (₪)



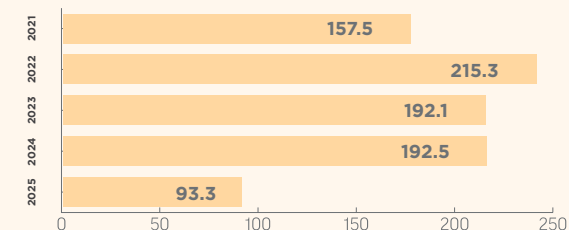
CFO's Review continued

Total Liabilities and Equity (ﷲ millions)

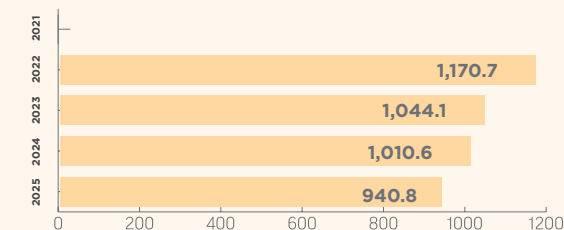


Key Balance Sheet Indicators (ﷲ millions)

Cash and Cash Equivalents



Total Loans



Capital allocation and investment strategy

Capital allocation in 2025 remained focused on projects that enhance long-term productive capacity, improve efficiency and strengthen market positioning. Capital expenditure for the year totaled ﷲ 85.1 million, directed primarily toward capacity, including the ongoing construction of Mill C at Al-Qassim, as well as operational modernization and technology deployment.

Major investments included continued development of Mill C and the strategic acquisitions of Al-Manar Feed Company and a 60% stake in AATC, designed to scale the Company's integrated feed platform. These investments are expected to enhance production capability, strengthen vertical integration and support long-term revenue growth.

Capital deployment decisions continue to be guided by return discipline, with return on equity remaining a key performance metric. ROE for the year stood at 25.9%, reflecting effective allocation of capital toward high-impact initiatives and the scalability of the operating model.

Shareholder returns and dividend policy

Delivering consistent value to Shareholders remains a central objective of the Company's financial strategy. In line with its approved dividend policy, First Mills continued to distribute cash dividends reflecting strong earnings performance and healthy cash flow generation.

Dividend distributions for the year totaled ﷲ 174 million, representing 63% of net profit attributable to shareholders. This approach balances the delivery of Shareholder returns with the need to reinvest in growth opportunities and maintain financial flexibility. First Mills remains committed to sustainable and predictable distributions supported by long-term earnings capacity.

Financial discipline, governance and risk management

Financial performance in 2025 was supported by robust governance, risk management and internal control frameworks. The Company continued to strengthen financial oversight, enhance reporting transparency and improve risk monitoring across operational and financial activities.

Enterprise risk management tools provide visibility across supply chain exposures, market dynamics and operational risks, enabling proactive mitigation and informed decision-making. Internal audit and compliance programs continue to support financial integrity and accountability across the organization.

Maintaining strong financial governance remains essential to preserving Stakeholder confidence and supporting sustainable growth.

Outlook and priorities for 2026

Looking ahead, First Mills enters 2026 with strong financial momentum, a resilient balance sheet and a well-defined investment roadmap. We will continue to prioritize capacity expansion, operational efficiency and portfolio diversification, supported by disciplined capital allocation and prudent financial management. Strategic initiatives over the next three years are expected to further strengthen our competitive positioning and long-term earnings trajectory.

Key financial priorities include sustaining profitability growth, strengthening cash generation, maintaining balance sheet resilience and optimizing returns on invested capital. Continued investment in automation, digitalization and operational optimization will support further efficiency gains, while strategic expansion initiatives are expected to enhance long-term earnings potential.

“
With a strong financial foundation, scalable operating platform and disciplined approach to capital deployment, First Mills is well positioned to deliver sustained financial performance and long-term value creation.

Alaaeldin Mohamed Shousha
Chief Financial Officer

Market Overview

A stable macro backdrop supporting food demand, localization and industrial investment

Saudi Arabia entered 2025 with strengthening macroeconomic momentum, supported by resilient non-oil growth, expanding industrial activity and continued execution of Vision 2030. Moderate inflation, improving trade balances and sustained public and private investment created a supportive environment for essential industries, particularly food production and agricultural processing. Against this backdrop, food security, localization and supply-chain resilience remained national priorities, shaping policy direction and sector dynamics throughout the year.

Saudi Arabia's Macroeconomic Environment in 2025

Economic Growth and Activity

Saudi Arabia recorded solid economic expansion in 2025, with real GDP growing by 4.5% for the year. By year-end, the growth rate reached 4.9% on a year-on-year basis and 1.1% quarter-on-quarter on a seasonally adjusted basis. The oil sector expanded by 10.4% year-on-year, while non-oil GDP grew 4.1%, reflecting continued diversification across manufacturing, logistics, utilities and services. Government activities also recorded a rise of 0.9%.¹

From a production perspective, the strongest contributors included petroleum refining (+11.9%), crude petroleum and natural gas (+7.3%) and electricity, gas and water (+6.4%), highlighting continued industrial momentum and infrastructure demand across the economy.¹

Domestic Demand and Investment

Expenditure-based GDP data pointed to steady domestic demand conditions. Private consumption expenditure increased by 2.7% year-on-year, supported by population growth, urbanization and rising household activity. Gross fixed capital formation decreased 0.7%, reflecting sustained investment in industrial capacity, logistics and infrastructure projects aligned with Vision 2030 priorities.

External demand also strengthened, with exports rising 18.4% year-on-year, significantly outpacing import growth by 4.3%, contributing to a widening trade surplus and reinforcing the Kingdom's external position.¹

Inflation and Cost Environment

Inflation remained contained in 2025, supporting stable consumer purchasing power. As of December, headline inflation stood at 2.0% year-on-year.² Food and beverages inflation remained modest in the second half of the year, with the Food and Beverages Consumer Price Index rising 1.1% year-on-year in December 2025, following 1.1% year-on-year in September.³

Price pressures remained concentrated in essential categories, with housing and utilities increasing 0.3%

and personal care and miscellaneous services up 1.7%, while transport, education and entertainment prices stayed broadly stable, supporting continued demand for staple food products.⁴

Trade and Industrial Indicators

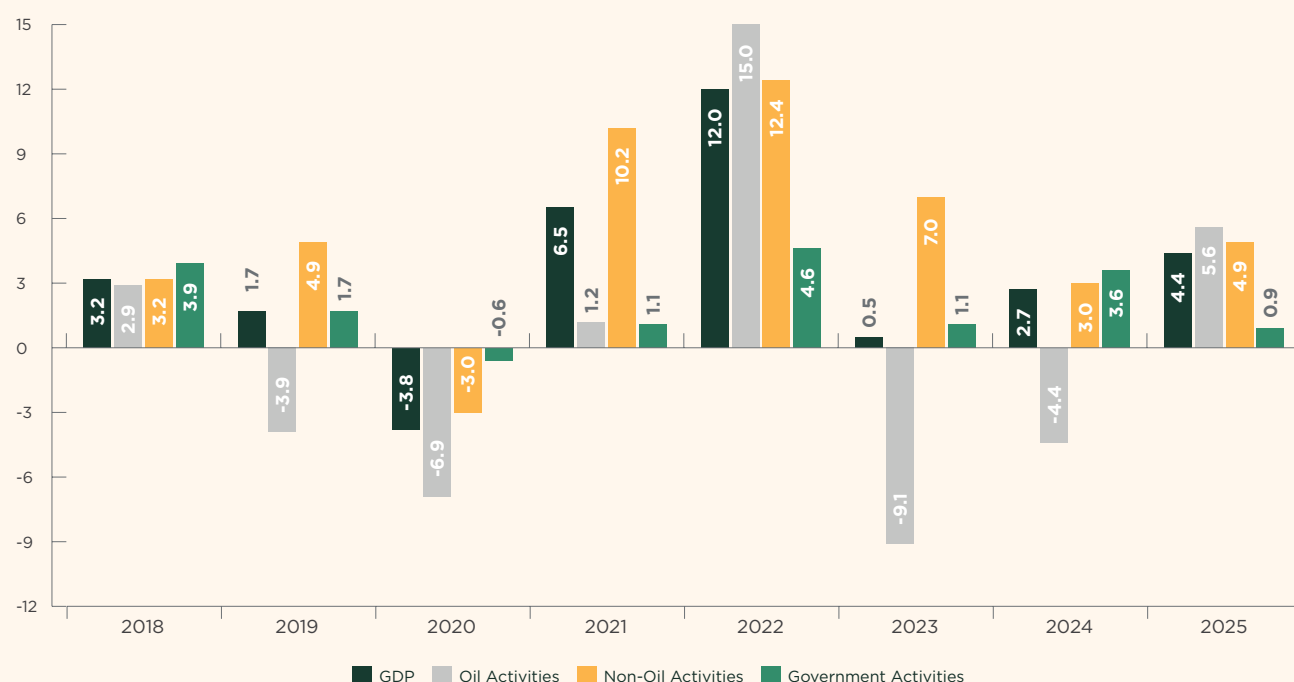
Saudi Arabia's trade performance strengthened during 2025. Total exports rose 10% year-on-year, driven by non-oil exports (+20.7%), re-exports (+53.1%) and oil exports (+5.4%). Imports declined by 0.2%, resulting in a 70.2% expansion in the trade surplus. China remained the Kingdom's largest trading partner for both imports and exports.⁵

Industrial momentum was reflected in the Industrial Production Index, which increased 9.3% year-on-year and 1.9% month-on-month, supported by higher mining and quarrying activity and continued expansion across manufacturing segments.⁶

Consumer Demand and Consumption Trends

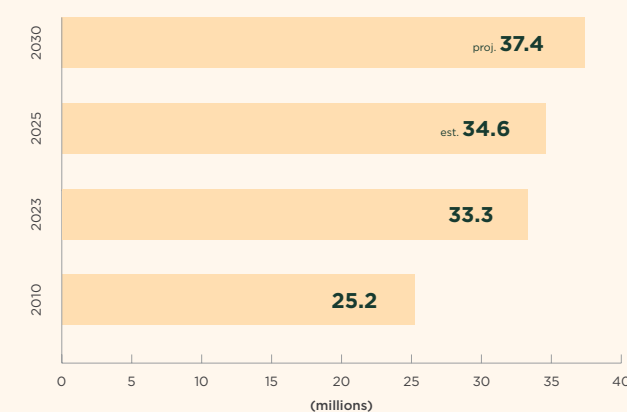
Consumer preferences in 2025 continued shifting toward health-oriented and functional food products. Demand increased for whole wheat, gluten-free and clean-label flour variants, reflecting heightened health awareness and changing dietary habits. These trends were reinforced by steady population growth and urbanization.⁷

Annual Real GDP Growth Rates (%)



Economic growth in 2025 reflected balanced momentum, with non-oil sectors playing an increasingly significant role alongside oil.¹

Population Growth of the Kingdom⁷



Saudi Arabia's population expanded from 25.2 million in 2010 to 33.3 million in 2023 and was estimated at approximately 34.6 million in 2025, with projections indicating continued growth to around 37.4 million by 2030.⁸ Sustained demographic expansion, combined with over 85% urbanization,⁹ supported continued growth in packaged foods, bakery products and ready-to-eat categories.

Household spending patterns underline the structural importance of food consumption. Food and beverages accounted for 18.8% of average household consumption expenditure in 2018 and increased to 27.9% of final monetary consumption expenditure in 2023 at the national level. Although the surveys apply different expenditure concepts, the directional increase highlights a rising share of household budgets allocated to food, reinforcing demand resilience for staple categories.³

Digital commerce and social platforms increasingly influenced purchasing behavior, reinforcing the importance of convenience, transparency and product differentiation across food categories. Saudi Arabia is an almost fully connected, mobile-first market: internet penetration stands at 99%, with 99.4% of users accessing via smartphones. E-commerce is both broad and local, with 74% of users shopping online and food and groceries purchased by 31.5% of online shoppers. The ecosystem is deepening, with Saudi domain names up 25% year-on-year and 21.5% of users already experimenting with AI tools, supporting the continued expansion of digital distribution and direct-to-consumer channels.¹⁰

Market Overview continued

Growth Drivers Shaping Flour and Commodities Demand in Saudi Arabia



Global and Regional Cost Pressures

Global grain markets continued to stabilize in 2025 as supply conditions improved and price pressures eased. The Global Food Price Index averaged 127.2 in 2025, 4.3% higher than its average in 2024 and about 21% below its March 2022 peak, whereas world cereal trade is projected at around 499.5 million tons in 2025/26, supported by a stocks-to-use ratio of approximately 31.1%, the highest since 2017/18.

International wheat prices remained in the mid USD 200s per ton through 2025, reflecting normalization

from 2022-2023 highs. In Saudi Arabia, downstream demand remained resilient, with the animal feed market estimated at roughly USD 6.86 billion in 2025 and expected to grow at mid-single-digit rates over the long term, supporting sustained feed and milling demand.¹¹

At the same time, logistics disruptions in the Red Sea and Suez corridor continued to elevate freight risk and insurance costs, reinforcing the strategic importance of local capacity, inventory management and supply-chain resilience across the Middle East.

Saudi Food, Flour and Commodities Sector

Policy Environment and Food Security Priorities

Food security and localization remained central policy pillars in 2025. Saudi Arabia continued advancing Vision 2030 initiatives aimed at strengthening domestic food production and reducing import dependency. The Ministry of Environment, Water and Agriculture targets include domesticating 85% of the food sector by 2030, with an objective of reducing annual food import costs by **± 70 billion**.¹²

Saudi Arabia has repositioned domestic wheat within its food security strategy by reintroducing

local production under a quota system for small irrigated farms, with the General Food Security Authority (GFSA) purchasing up to 1.5 MMT annually at administered prices while maintaining strategic reserves covering more than six months of consumption. Parallel policies to phase out water-intensive forage crops and gradually transfer wheat import and stock-management responsibilities from GFSA to SALIC and, over time, to private flour mills, which is intended to secure long-term wheat availability, reduce supply risk and support the growth ambitions of millers such as First Mills.¹³

Flour Market Outlook

The Saudi flour market continued its steady expansion in 2025, supported by population growth, urbanization and sustained bakery and food service demand. It is expected to grow to USD 3.03 billion by 2033. Total flour volume was estimated at 4.1 million tons in 2025, with projections indicating growth to 4.2 million tons in 2026 and 4.4 million tons by 2027.

This trajectory implies approximately 5.0% year-on-year growth from 2025 to 2026, followed by around 4.0% growth from 2026 to 2027, representing cumulative growth of about 9.2% over the period. Regulated flour pricing remained broadly stable; competition increasingly centered on operational efficiency, capacity expansion, product differentiation and distribution reach.¹⁴

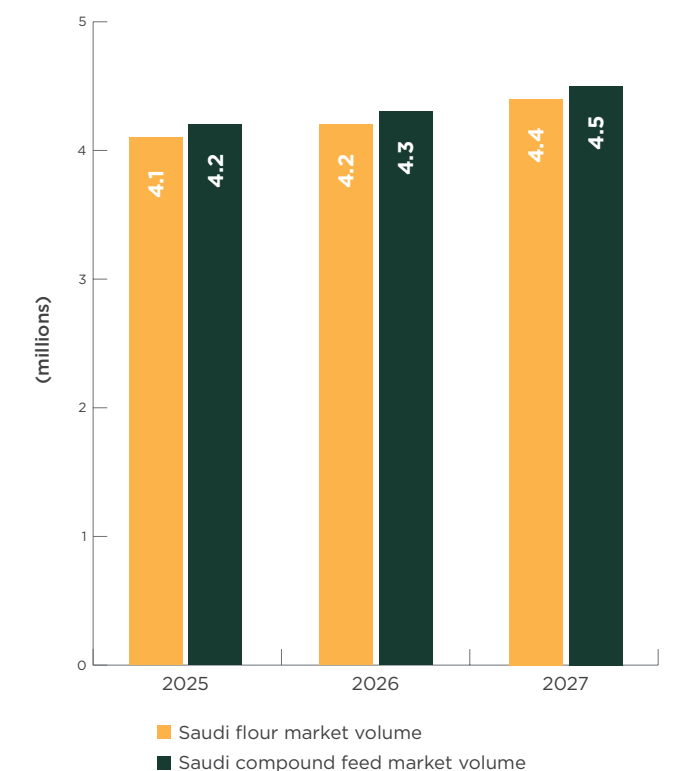
Compound Feed Market Dynamics

The Saudi compound feed market continued to expand in 2025, supported by rising animal protein consumption and the ongoing modernization of livestock production. Market volume reached approximately 4.2 million tons in 2025 and is forecast to increase to about 4.3 million tons in 2026 and 4.5 million tons in 2027, implying cumulative growth of roughly 8.6% over the period. This trajectory reflects year-on-year growth of around 3.8% from 2025 to 2026 and 4.6% from 2026 to 2027, driven by expanding poultry, dairy and meat production, improved feed formulations and continued government support linked to food security objectives.

At the regional level, the GCC compound feed market was valued at USD 14.2 billion in 2025 and is projected to grow from USD 14.9 billion in 2026 to USD 19.3 billion by 2031, representing a CAGR of 5.2%. Saudi Arabia accounted for 56.5% of the GCC market in 2025, reflecting its scale advantage, in which poultry represented

the largest animal segment at 45.6% of market share. Cereals remained the dominant ingredient category at 53.4% of market size, and pellets accounted for 60.4% of revenues, though extruded feeds are expected to record the fastest growth through 2031. Regional demand continues to be underpinned by Vision 2030 food security programs, livestock expansion and investments in higher-value nutrition, with competitive dynamics favoring vertically integrated producers amid ongoing modernization of milling and storage infrastructure.¹⁵

Saudi Flour and Compound Feed Market Growth (2025-2027)



Sources

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- General Authority for Statistics (GASTAT), Statistical news release.
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- General Authority for Statistics (GASTAT), International Trade in Goods - October 2025.
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- Food and Agriculture Organization of the United Nations (FAO), "FAO Food Price Index declines in October, world cereal stocks set to reach record high".
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Risk Management

First Mills continues to advance the maturity of its Enterprise Risk Management (ERM) framework by integrating a proactive and disciplined approach into every part of the business.

The Company recognizes that strong risk management is essential to protecting performance, strengthening resilience and enabling the strategic choices that drive long-term progress. By systematically identifying, assessing and mitigating risks, First Mills creates the clarity and confidence needed to operate in a dynamic market environment, support its growth priorities and reinforce its commitment to safeguarding the Kingdom's food security system.

Enterprise Risk Management Framework

First Mills has developed and implemented a comprehensive ERM Framework aligned with the COSO ERM principles. This framework provides a structured and integrated approach to identifying, assessing, managing and monitoring risks across all business functions to support the achievement of strategic objectives.

It emphasizes governance, accountability and risk ownership at all organizational levels, supported by clear policies, defined risk appetite and systematic reporting mechanisms. The framework also integrates risk management into strategic planning, operational processes and performance management, ensuring risk-informed decisions enhance resilience, optimize resource allocation and safeguard Stakeholder value.

Risk Management Governance

The Audit Committee plays a central oversight role in maintaining the effectiveness, adequacy and continuous improvement of the Company's overall risk management system, including the review of principal risks, mitigation strategies and the alignment of risk management practices with the Company's strategic objectives. In addition, the Governance, Risk and Compliance (GRC) Department plays a key role in providing comprehensive monitoring and supervision of the risk management framework across the organization.

The GRC Department has established the necessary frameworks, policies and risk information systems and regularly organizes periodic workshops and meetings with C-level executives and risk champions

from business units to review the risk process, assess emerging risks and make sure that the risk management practices remain effective and aligned with the Company's strategic goals.

The Company's governance structure reflects a clear division of responsibility, where the Board and Audit Committee provide oversight, the CEO and executive management implement and manage risks and the GRC function enables consistency, monitoring and continuous improvement of the risk management process.

Risk Identification

The Risk Identification process at First Mills is built on a structured and objective-driven approach that ensures comprehensive coverage of all business activities and controls. Risks are identified in alignment with the Company's strategic objectives, as well as its corporate-level policies and unit-level procedures, to make certain both enterprise-wide and operational risks are effectively captured. This process follows a systematic methodology beginning with the assessment of inherent risks, followed by an evaluation of the existing controls, leading to the determination of the residual risks that remain. This layered approach provides a realistic and practical understanding of the organization's risk exposure, enabling management to prioritize areas requiring attention. By clearly distinguishing between inherent, controlled and residual risks, First Mills confirms that the Risk Response Plans are more specific, targeted and effective in mitigating threats and capitalizing on opportunities aligned with the Company's goals and strategies.

Risk Response

The Risk Response Plan at First Mills is developed by the risk owner under the supervision of the Unit Head and the monitoring of the GRC Department to retain alignment with the Company's overall risk management framework. Each plan outlines specific actions to mitigate, transfer, accept or avoid identified risks, ensuring responses are both practical and proportionate to the level of exposure. Risk response plans related to major or strategic risks are escalated to the executive management for review, support and formal approval.

The GRC Department conducts monthly follow-ups to monitor the progress of implementation and verify that response deadlines are met. In cases of delays, the GRC Department requests formal justification from the risk owners and evaluates the adequacy of the revised timelines. Furthermore, the GRC Department makes sure all risk responses are efficient and effective – both in achieving their intended risk reduction objectives and in maintaining cost-effectiveness to support the Company's strategic goals and operational performance.

Risk Management in 2025

This initiative is centered on the implementation of a comprehensive risk register within every operational and support unit, assigning ownership to dedicated risk champions.

For the successful adoption and embedding of best practices, we have conducted multiple targeted workshops for both C-Level Executives (focusing on governance and strategic alignment) and the appointed risk champions (focusing on process execution and register maintenance).

We achieved significant milestones in enhancing the organization's ERM framework.



Risk register implementation and ownership:

We successfully implemented a risk register across every organizational unit. This initiative established clear accountability by mandating that each unit's register be owned and maintained by a designated risk champion. A comprehensive update of the risk register for all units was successfully completed during 2025, which effectively captures current and emerging risks.



Enhanced risk management process:

To ensure effective adoption and integration, multiple targeted workshops were conducted for both C-Level Executives and risk champions. These sessions focused on elevating understanding and performance regarding the new risk management processes.



Framework and methodology development:

We developed a robust, updated Risk Management Framework and introduced a new risk register template. This framework and template incorporate clear methodology aligned with best practices to standardize risk identification, assessment and response across the entity.

Risk Management continued

Risk Response

The Principal Risks Report is prepared quarterly by the GRC Department through a comprehensive analysis of the major risks identified and reported by all departments across the organization. This report consolidates critical information on each key risk, including its description, impact assessment, risk response plan, implementation deadlines and the responsible parties.

The GRC Department continuously monitors the progress of these risk responses throughout the quarter to ensure timely execution and effectiveness. In each reporting cycle, newly identified or emerging risks are also evaluated and incorporated into the upcoming Principal Risks Report to maintain a current and dynamic risk profile. The finalized report is then presented to the executive management, providing them with a clear view of the Company’s principal risk exposures, mitigation progress and areas requiring strategic attention or management support.

Economic and Financial Risks

Mitigation Measures	
Interest rates	Interest rate risk is periodically assessed by a specialized team that analyzes the local and international economy, raw material markets for products and their correlation with interest rates; the team subsequently takes necessary actions to address any potential risks.
Currency exchange rate volatility	Currency exchange rate volatility may affect the Company's obligations owing to conducting some transactions in currencies other than the Saudi Riyal. However, First Mills continuously studies the global exchange rate market and understands the fluctuations in the currencies it deals with, in order to mitigate these risks to their lowest levels.
Credit risks	The Customer Credit Risk Management Department establishes credit limits for each customer and monitors outstanding accounts receivable. The management considers factors that may affect credit risk related to its customer base, including default risks associated with the business activities of its customers. Given the nature of First Mills’ business, a significant portion of revenue is from cash sales; therefore, the Company is not materially exposed to credit risks.
Liquidity deficit and expansion of borrowing	The Company has strong cash liquidity, which helps it face future challenges should it need to inject liquidity. It also benefits from a robust financial position that can mitigate liquidity deficit risks.

Operational Risks

Mitigation Measures	
Increased costs and operating expenses	Periodically reviewing costs and making certain they are appropriately controlled to achieve optimal results
Occupational safety incidents	Committing to local and international safety and health laws, employing highly competent employees and providing continuous training
Technical and technological failures	Relying on advanced systems and developing contingency plans for addressing any potential failures
Poor storage and inventory mismanagement	Managing inventory based on experience and demand forecasts
Production defects	Utilization of best-in-class machinery and equipment and conducting all necessary tests to minimize production defects
Supply chain disruptions and raw material price volatility	Hedging against price fluctuations, maintaining strategic relationships with suppliers and monitoring inventory levels to avoid being affected by any disruptions

Regulatory Risks

Mitigation Measures	
Government subsidies	Purchasing wheat from GFSA, at subsidized prices and under more favorable terms. The Company seeks to expand its portfolio of unsubsidized products to reduce future changes that may impact subsidies.
Regulatory compliance	The Company adheres to numerous regulatory requirements, including those specific to GFSA and the Ministry of Commerce, among other regulatory authorities.
License scope	Renewal of permits and licenses through specialized teams to reduce the risk of license suspension.
Taxes and fees	The Company is subject to zakat and value-added tax (VAT), while considering any government decisions related to taxes and fees preemptively.
Laws and regulations	Compliance with all applicable laws and regulations in Saudi Arabia, with a specialized team in place to monitor new legislation.
Saudization and foreign labor requirements	Commitment to Saudization employment ratios and enhancing training for young Saudi nationals to mitigate risks associated with workforce Saudization.

Risk Management continued

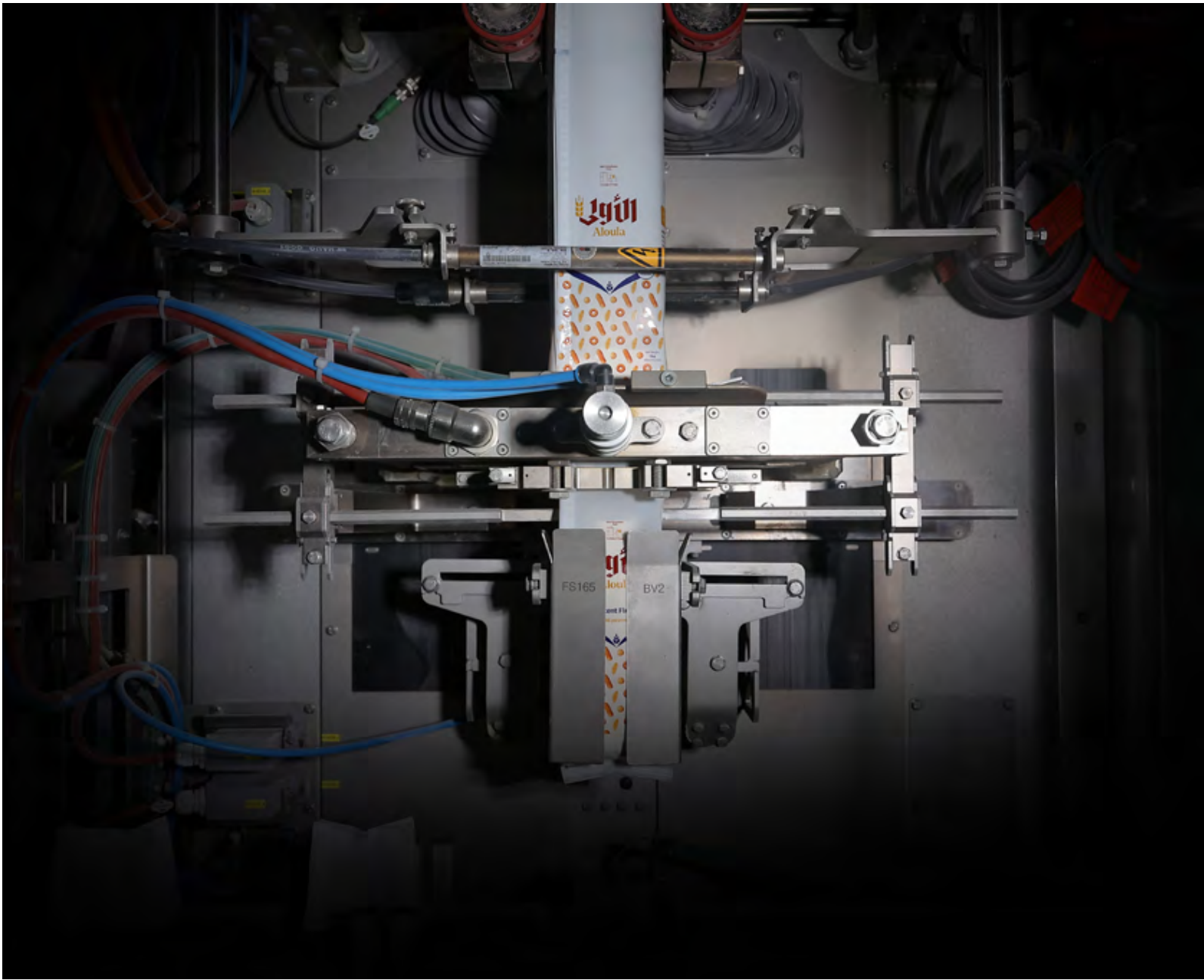
Market Risks

Mitigation Measures	
Competitive environment	First Mills may face increased competition in the local market from domestic and international food and feed companies. However, the Company regularly monitors the market, prices and promotions to enhance its competitive edge, understand challenges and opportunities and adopt strategies to strengthen its brand and continuously improve product quality.
Concentration of Company's revenues in specific geographic regions	The Company studies expansion opportunities and increases penetration in accordance with regulations, through product development and enhanced market share, to reduce geographical revenue concentration.
Changing consumption patterns	First Mills updates production and marketing strategies in line with developments in the food and feed sector to meet consumer expectations to deliver the best quality.
Uncontrollable market conditions	The Company may be affected by prevailing global political and economic conditions, which may lead to increased inflation rates and commodity costs. In this respect, First Mills continuously monitors market variables and assesses their impact on customers and suppliers. To address these risks, the Company employs effective strategies that include improving production, developing storage technologies and flexibly adapting to raw material market fluctuations.
Natural disasters and climate change	The Company continuously develops contingency plans to address natural disasters and climate changes, including rainy seasons that may affect the feed product, with the aim of mitigating potential damages.
Eruption of viruses and infectious diseases	First Mills is committed to developing pandemic preparedness plans, drawing upon the effective procedures implemented by the Kingdom to control viral outbreaks, as was the case in the COVID-19 pandemic.
Cybersecurity	A cybersecurity incident may lead to confidential and sensitive data leaks and disrupt the business continuity and operations, which may eventually result in harming the Company's reputation. First Mills addresses these risks through the following: • Executive management closely monitors the effectiveness of the Company's cybersecurity system. • The Company continuously relies on advanced technologies to identify and mitigate all security threats. • First Mills implements systems to enhance the technical infrastructure to ensure resilience and readiness. • The Company adopts effective business continuity plans to reduce disruptions in the event of a technical failure.

Cybersecurity Audit and Improvement Plan

First Mills conducted a comprehensive cybersecurity audit to assess the effectiveness of its information security controls, data protection measures and overall resilience against cyber threats. The audit was designed to guarantee full compliance with Saudi National Cybersecurity Authority (NCA) regulations and alignment with international cybersecurity standards and best practices.

Based on the assessment, a detailed Cybersecurity Improvement Action Plan has been launched, with clear responsibilities, timelines and monitoring mechanisms to enhance access management, network security, incident response readiness and employee awareness and to safeguard the Company's digital assets.





Operating Review

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Operational progress was driven by high utilization, efficiency gains and continued quality leadership.

3



COO's Review

In 2025, we delivered a year of disciplined execution, sustained efficiency and steady progress against a clear operational agenda. Across our network, we remained firmly focused on running reliable, high-performing assets that consistently meet customer demand while supporting our broader growth ambitions.

Michael Joachim Albers
Chief Operating Officer



Operational discipline powering resilient growth.

Through tight operational control, targeted investments and a strong safety and quality culture, we continued to provide a stable foundation for commercial expansion and portfolio diversification.

Operational excellence remained the defining theme of the year. Across our production network, most sites consistently achieved average efficiency levels above 94%, reflecting stronger asset utilization, fewer unplanned stoppages and improved process stability. We achieved these outcomes through tighter maintenance planning, enhanced technical oversight and closer coordination between our operations, quality and supply chain teams. Strengthened governance around maintenance execution and spare-parts management improved site-level responsiveness, maintaining consistency and reliability across our manufacturing footprint.

Technology continued to play an increasingly important role in supporting our operational performance and quality. During the year, we completed the rollout of integrated digital platforms that provide real-time visibility into production performance, quality indicators and energy usage across all sites. This enhanced transparency strengthened decision-making at both plant and head-office levels, enabling faster interventions, more proactive planning and more consistent quality outcomes. The broader adoption of data-led monitoring and predictive maintenance capabilities advanced our shift toward preventative operations, reducing downtime risk and extending asset life.

Alongside efficiency and digitalization, we further embedded sustainability into our day-to-day operations. Energy-optimization initiatives delivered tangible cost and performance benefits, supported by power-factor improvements, lighting upgrades and smarter energy monitoring across sites. We also enhanced operational resilience and food safety through the expanded use of chemical-free heat treatment for pest control, significantly reducing downtime and lowering environmental impact. In parallel, we signed a long-term solar power agreement with Safeer for our Tabuk and Al-Ahsa sites, representing a major milestone in our sustainability roadmap and laying the foundation for renewable energy integration from 2026.

Capacity expansion and operational readiness remained central to how we plan for future growth. During the year, we advanced several strategic projects designed to support rising demand and greater product diversity. These included progress on the Mill C project in Al-Qassim, which is scheduled to commence operations in 2026 and will incorporate next-generation milling technology and enhanced cooling systems to improve yields and operational efficiency. Additional upgrades across our flour and feed operations strengthened flexibility, logistics efficiency and product performance, ensuring capacity development remains aligned with our commercial and market expansion.

In parallel, we strengthened our operational platform through targeted investments in storage, logistics and feed capabilities. The acquisition of Al Manar Feed plant, with a production capacity of 450 tons per day and silo storage of 30,000 tons, expanded our feed manufacturing capacity and supported a broader operational scale within the Kingdom. Enhancements to bran handling and storage improved density and reduced delivery costs for both customers and internal users, while new cold-storage infrastructure reinforced finished-goods integrity and energy efficiency.

Above all, the year reinforced the importance of our people and process discipline in sustaining performance. Continued investment in technical capability, clearer accountability and cross-functional collaboration strengthened execution across our operating model. By maintaining a clear focus on efficiency, reliability and continuous improvement, we remain well positioned to support growth, manage complexity and deliver consistent value to customers and Shareholders as we move into our next phase of development.

Michael Joachim Albers
Chief Operating Officer

COO's Review continued

Key Activities of the First Milling Company



Grinding and packaging: Wheat, corn, soybean, semolina and durum



Manufacturing: Flour and dough for bakeries; livestock feed, concentrated animal feed, poultry feed, bird feed and plant by-products used as animal feed



Storage: Flour and agricultural products, including food and animal feed and dry foods



Retail and wholesale distribution: Flour, bran, ready mixes, durum and feed

Increasing capacity. Driving scale.

900 t/d in Al Qassim wheat milling

600 t/d in Al Ahsa wheat milling

600 t/d in Tabuk wheat milling

300 t/d in Jeddah feed mill

600 t/d in Al Qassim feed mill

2021

2,100t/d in Jeddah wheat milling

2022

Al Qassim feed mill upgraded with additional 100 t/d

2023

300 t/d in Jeddah, new silo for durum mill

150 t/d in Jeddah, new pesa mill

450 t/d Al Manar Feed factory acquired

2025

Mill A upgraded with an additional 250 t/d (Jeddah plant)

2024

Mill C upgraded with an additional 250 t/d (Jeddah plant)

2026

600 t/d Mill C in Al Qassim to be commissioned

130 t/d pesa mill in Al Qassim to be commissioned

120 t/d feed mill upgrade in Jeddah plant

Product Portfolio | Our Brands and Products



Flour products

We offer an extensive selection of flour products to meet various baking and culinary needs. This includes wholewheat flour, specialty flours and all-purpose flours and these are all marketed under its two leading commercial brands "First Mills" and "Aloula".



Durum wheat products

We rely on the finest quality durum wheat in our semolina, Jareesh and Harees products – essential ingredients used in preparing a wide range of traditional and modern recipes, such as pasta, Arabic desserts and others.



Animal feed products

We offer a range of animal feed products through its distinguished brand "Naffa'a", designed to meet the nutritional requirements of livestock and others. These feeds are characterized by their unique formulation and support optimal health and improve productivity.



Bran and wheat derivative products

We produce bran and wheat germ products that serve as valuable nutritional components for both human consumption and animal feed. These by-products are integral to a balanced diet, whereas oats are stand-alone products or used as key ingredients in food production.



Ready-mixed products

To inspire culinary creativity, we offer Aloula Mixes, a collection of specialty flour-based mixes that simplify the preparation of the most-consumed baked goods at home.



Aloula Gluten Free Flour products

We produce Aloula Gluten Free Flour that delivers a smooth texture across a wide range of gluten-free recipes, while maintaining taste and quality. It serves as a reliable substitute for customers with dietary restrictions.



Pesa Mill products

We also own a specialized mill for producing Chakki Atta flour (100% wholewheat flour) for individual and manufacturing customers in different sizes, which is currently operating at full capacity.

COO's Review continued

Milling Snapshot

Capacity and network

- Mills in operation: 15 (vs. 11 in 2024)
- Silo storage capacity: 250,000 tons (vs. 220,000 tons in 2024)
- Annual installed milling capacity: 1,550,150 tons

Daily production capacities

- Wheat milling (design): 5,150 tons/day
- Flour milling: 3,672 tons/day
- Bran milling: 1,238 tons/day
- Feed production: 1,350 tons/day (vs. 900 tons/day in 2024)
- Durum milling: 300 tons/day

Performance and utilization

- Installed milling capacity utilization: 94%
- Wheat milled during the year: 1,623,024 tons (vs. 1,515,460 tons in 2024)
- Wheat milling efficiency: 106%

Flour product mix

By Volume

Superior flour	70%
Bakery flour	80%
Brown flour	95%

Production and Revenue

Flour	2021	2022	2023	2024	2025
Production (tons)	903.8	987.8	1,031.4	1,125.6	1,219.4
Revenue (ﷲ millions)	494.9	507.4	552.9	599.1	615.8

Feed	2021	2022	2023	2024	2025
Production (tons)	248.6	174.6	249.3	278.6	341.4
Revenue (ﷲ millions)	222.5	273.7	271.1	311.1	351.7

Bran	2021	2022	2023	2024	2025
Production (tons)	259.9	296.4	332.0	385.6	369.7
Revenue (ﷲ millions)	83.7	132.6	140.3	137.8	142.9



Customers and Success Partners

First Milling Company serves a broad and diversified customer portfolio, organized into four primary sales channels.

- **B2B customers**
Large food manufacturers and commercial bakeries, as well as smaller businesses such as restaurants, catering companies and small bakeries that use flour as a core input in their operations.
- **Traditional trade**
Distributors and wholesalers that purchase the Company's products in bulk and resell them to other customers, including flour traders and both large and small wholesalers.
- **Modern trade**
Organized retail outlets serving end consumers, including supermarkets and other modern retail formats.
- **Farms and feed distributors**
Farms, traders and distributors supplying animal feed and bran to livestock and poultry producers.

Success Story

Quality and Assurance at the Core:
Raising the Bar

First Milling Company continued to advance its quality and food safety platform, maintaining multi-standard ISO certifications across all four plants and embedding Good Manufacturing Practices (GMP) and HACCP standards at every stage of production. A dedicated Quality and Safety Sector – supported by advanced laboratories and ongoing capability-building – underpins a robust, science-based control environment that safeguards product integrity and consumer trust.

During the year, the Company strengthened its quality management system by standardizing procedures across plants, tightening supplier qualification and audit processes and using laboratory insight to support faster, more accurate decision-making. Continuous monitoring, corrective action programs and cross-functional quality reviews helped to reduce non-conformities and ensure every product meets First Mills' stringent quality and food safety requirements.



Quality and Assurance Highlights (2025)

05

plants certified
ISO 45001, ISO 9001,
ISO 14001 and ISO
22000, plus FSSC
22000 V6 Certification,
and HACCP and Halal
accreditations

598

physical tests carried out per day (avg.)

893,520

quality tests conducted across materials and finished goods

09

specialized quality training courses delivered

171

employees trained in quality and food safety disciplines

ONE HUNDRED

microbiological tests completed during the year

1,750

chemical tests carried out per day (avg.)

1,200,728

safe operating hours recorded during the year, with 6 accidents and injuries compared to 9 last year



**Consistent quality.
Scaled performance.
Trusted leadership.**

About First Mills Brand

The First Mills brand represents the Company's core flour and wheat-based portfolio, serving retail, wholesale and industrial customers across Saudi Arabia. Anchored by advanced milling capabilities and a nationwide production footprint, the brand delivers a broad range of staple flour, semolina, bran and wheat derivative products. Through disciplined execution, quality assurance and operational efficiency, First Mills remains a trusted supplier to key distributors, retailers and food manufacturers, supporting stable demand, strong market presence and sustained business performance.



In 2025, the First Mills brand delivered strong operational and commercial momentum across its core flour business. Performance was supported by high plant efficiency and consistent product quality, alongside expanded distribution and deeper partnerships with key customers. Focused execution across production, quality control and logistics enabled the brand to capture volume growth, strengthen presence in priority markets and reinforce its leadership position across retail and trade channels.

Accelerating Volume Growth and Market Penetration

The First Mills brand achieved 33% growth in volume sales compared to the previous year, driven by strategic partnerships with key distributors across priority markets. Retail sales increased by 10% year-on-year, reflecting broader geographic expansion across the Kingdom and stronger execution in core channels. Riyadh emerged as a key growth engine, with distribution expanding by 21% compared to last year, reaching the highest distribution level achieved by the brand in this critical market.

Strengthening Retail Leadership and Customer Trust

The brand continued to demonstrate strong performance in highly competitive retail environments. First Mills achieved 10% growth in retail sales in Saudi Arabia in 2025, driven by the Company's geographic expansion across the Kingdom and supported by the strong expansion in Riyadh noted above.

Operational Efficiency Supporting Product Consistency

Operationally, the First Mills brand benefited from high mill efficiency, averaging above 94%, supported by fewer stoppages, improved extraction rates and lower specific energy consumption. Advanced quality control systems, including NIR-based monitoring, enhanced product consistency across flour grades and pack sizes. These operational strengths enabled the brand to meet rising demand while maintaining stable quality and dependable supply to customers.

Core Flour Portfolio anchored by Versatility and Scale

Flour remains the cornerstone of the First Mills brand, serving household, commercial and

industrial applications. Products are offered in formats ranging from 1 kg consumer packs to 45 kg bags and bulk deliveries, ensuring accessibility across customer segments. The breadth of applications and consistent performance of the flour portfolio continued to underpin the brand's contribution to overall Company results.

Durum, Semolina and Wheat Derivatives Extending Value

The brand's durum wheat and semolina products, produced at the dedicated Jeddah mill, continued to serve both retail and industrial demand for traditional foods, specialty breads and pasta manufacturing. Fine semolina, coarse semolina, Harees and Jareesh provide flexibility across customer needs. In parallel, bran and wheat derivatives, including animal bran, edible bran and wheat germ, supported the feed and livestock ecosystem, expanding the Company's customer base and utilization of milling outputs.

First Mills in 2026

In the year ahead, the First Mills brand will remain focused on scaling leadership in core flour categories, reinforcing the operational discipline that underpins performance. The brand aims to lift retail market share to 30% by deepening penetration in priority regions and sustaining double-digit volume growth.

Operational priorities will center on maintaining mill efficiency above 94% while supporting higher throughput, alongside continued strengthening of product quality and consistency across all flour grades.

At the same time, targeted customer expansion will increase the contribution of durum, semolina and wheat derivatives, further diversifying the brand's growth engine and reinforcing its position as a trusted, high-performing staple in the Saudi food market.



About Aloula Brand

Aloula is First Mills' premium consumer brand, positioned at the intersection of quality, innovation and value-added food solutions.

The brand focuses on high-margin flour, mixes and baking products designed for modern households and small bakeries, with a clear emphasis on usability, consistency and performance. Aloula plays a strategic role within the portfolio as the primary driver of customization, innovation and margin enhancement across retail and emerging digital channels.

Premium solutions driving value-led growth

In 2025, Aloula strengthened its role as First Mills' innovation-led growth engine by advancing its shift toward cooking and baking solutions with higher value density. The brand prioritized portfolio diversification, premium channel execution and operational discipline, reinforcing its contribution to profitability and deepening relevance within priority consumer segments. Performance during the year reflected Aloula's ability to translate innovation and focused execution into commercial impact across both physical and digital touchpoints.

Channel Execution and Commercial Focus

During the year, Aloula refined its commercial strategy to prioritize high-potential channels rather than geographic expansion. The brand activated 200 premium modern trade stores nationwide and strengthened its presence across key retail environments through more targeted execution. In parallel, e-commerce was advanced as a core growth channel, delivering a meaningful uplift in online performance and reinforcing Aloula's visibility among digitally engaged consumers.

Innovation through Ready-mix Expansion

Aloula advanced its innovation agenda with the launch of the Tea Cake Mix range in November 2025, introducing vanilla, orange and chocolate variants. This marked the brand's entry into the ready-mix baking segment and expanded usage occasions within the consumer portfolio. While the launch occurred late in the year, it represented a strategic milestone in Aloula's move toward higher value-added solutions, with commercial performance to be assessed in the next reporting period. Additional innovations, including pasta products, remained under development during 2025.

Enhancing Usability and Customer Experience

Customer experience improvements in 2025 focused on clarity, guidance and responsiveness. Aloula upgraded preparation visuals across specialty mixes, expanded its recipe library to support broader usage occasions and improved digital community management processes to guarantee faster response times. These actions strengthened product accessibility and reinforced the brand's service quality standards across consumer touchpoints.

Leveraging AI for Brand Execution

Aloula incorporated AI-enabled tools to improve execution efficiency across content development, recipe ideation and early-stage packaging design exploration. These applications reduced development cycles, improved internal alignment and supported more consistent communication across channels, reinforcing operational discipline while enhancing customer-facing materials.

Aloula in 2026

Looking ahead, Aloula will continue to focus on portfolio diversification, premium channel optimization and digital commerce expansion. Planned priorities include the phased introduction of additional ready-mix innovations, strengthening modern trade execution and the continued enhancement of packaging clarity and product usability to support sustained growth across high-value consumer segments.





Driving growth through specialization and scale

About Naffa'a Brand

Naffa'a is First Mills' specialized feed and animal nutrition brand, serving poultry and livestock producers with high-performance, science-based feed solutions. Built on technical expertise, disciplined manufacturing and close customer engagement, Naffa'a supports farm productivity through tailored formulations and reliable supply. The brand plays a central role in First Mills' portfolio diversification strategy by addressing high-growth, value-added feed segments across Saudi Arabia and selected regional markets.



In 2025, Naffa'a accelerated its evolution from a traditional feed offering into a specialized animal nutrition platform. The brand expanded its product portfolio, strengthened technical capabilities and increased market penetration across new geographies, supported by capacity upgrades and targeted commercial execution. These initiatives positioned Naffa'a as a faster-growing contributor to First Mills' diversified earnings base and reinforced its relevance across intensive poultry and cattle farming segments.

Portfolio Expansion and Product Innovation

Naffa'a significantly broadened its offering during the year with the launch of more than 13 new products designed for intensive poultry and cattle farms. These formulations introduced differentiated nutritional profiles, improved performance characteristics and updated packaging formats. The expanded portfolio strengthened brand visibility, supported market share gains and enabled Naffa'a to address a wider range of farm needs with specialized, performance-driven solutions.

Manufacturing Upgrades and Capacity Enablement

Operational enhancements supported the brand's growth trajectory. Production lines were modified and new manufacturing facilities were added, improving availability, flexibility and the ability to support a broader product mix. From an operational perspective, improvements in pellet cooling, handling efficiency and digestibility enhancement systems contributed to higher feed conversion efficiency and stronger customer outcomes, whereas productivity gains helped protect margins despite market price pressures.

Market Expansion and Technical-led Sales Execution

Naffa'a expanded its geographic reach in 2025, capturing growing market share both within Saudi Arabia and in selected external markets. The hiring of dedicated technical sales teams strengthened customer engagement, enabling deeper technical discussions and more tailored solutions. In

parallel, the acquisition of Al-Kenan Al-Arabia Trading Company enhanced distribution reach and accelerated access to new market segments, reinforcing the brand's commercial momentum.

Data-driven Quality and Customer Support

Quality assurance capabilities advanced meaningfully during the year. Naffa'a strengthened its quality control teams, expanded testing and traceability across feed inputs and outputs and adopted a structured new product development process grounded in scientific evaluation and farm trials. Eleven of the 13 new products were tested directly on farms, with performance data collected and analyzed to validate outcomes. Collaboration with international suppliers enriched R&D capabilities.

Digital Tools and Customer Experience

To support customers more effectively, Naffa'a introduced a dedicated smart application providing technical support tools and guidance aimed at maximizing on-farm product performance. Combined with expanded technical teams across R&D, quality and sales, these initiatives improved responsiveness, knowledge sharing and customer satisfaction, reinforcing Naffa'a's positioning as a solutions-oriented partner rather than a commodity supplier.

Recognition and Industry Presence

Naffa'a received multiple recognitions from formal entities during 2025, including awards at the Saudi Agricultural Expo, reflecting the brand's growing profile and credibility within the agricultural and livestock sector.

Outlook for 2026

In 2026, Naffa'a will continue expanding its specialized product portfolio, with a clear focus on moving further into high-value, specialty feed segments rather than generic offerings. The brand will build on its strengthened manufacturing base, technical capabilities and customer engagement model to deepen market leadership and support First Mills' broader diversification strategy.

Sustainability Review

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At First Mills, sustainability is embedded in how we grow, operate, and create long-term value.

4



Our Sustainability Approach

Sustaining progress through responsible growth

At First Mills, sustainability is embedded in how we grow, operate, and create long-term value. As a company positioned at the heart of the Kingdom's food system, our performance is inseparable from the health of natural resources, the strength of communities, and the integrity of the systems that support responsible production. Through disciplined management, measurable targets, and continuous improvement, we are strengthening resilience across our operations while contributing to national priorities and the broader transition toward a more sustainable and inclusive future.

At First Mills, sustainability begins with a fundamental understanding of our role in the Kingdom's food system. As a leading milling and food company, we operate at the heart of national priorities related to food security, nutrition, and economic development. Our responsibility extends beyond delivering products. It includes safeguarding resources, strengthening communities, and operating with integrity.

Our approach is structured around three core pillars that reflect where we have the greatest impact: protecting the natural environment, creating social value, and upholding responsible governance. These pillars provide a focused framework that aligns our operations with Saudi Vision 2030 and relevant international standards. They guide how we allocate resources, measure performance, and shape long-term strategy.

Sustainability is embedded directly into our operating model. Environmentally, we focus on improving energy efficiency, reducing emissions, managing water responsibly, advancing sustainable packaging, and strengthening circular economy

practices. We maximize the value of by-products, minimize waste, and continuously improve operational efficiency across our sites. Socially, we prioritize food quality and safety, nutrition and health, workforce development, and community engagement. Initiatives such as bakery training programs and targeted food donations reflect our commitment to building capability and supporting local communities. Strong governance frameworks, ISO-certified management systems, and clearly defined accountability structures ensure these priorities are implemented consistently and in full compliance with regulatory requirements.

We are also strengthening our focus on data, measurement, and transparency. Enhancing ESG reporting, refining key performance indicators, and embedding environmental and social targets into business planning are central to this effort. Through closer collaboration with suppliers, customers, employees, and community partners, we are working to generate measurable outcomes that reinforce resilience, promote responsible resource use, and create sustained value over the long term.



Our Sustainability Strategy

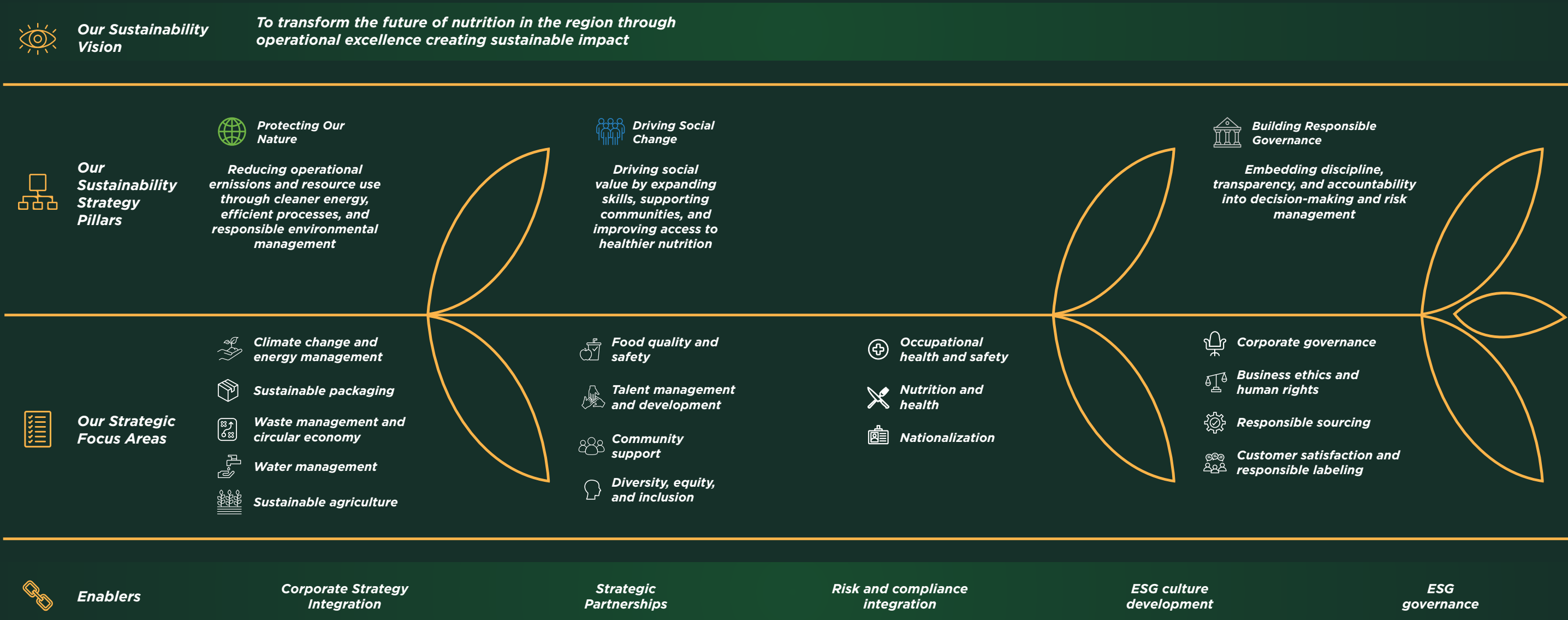
Our sustainability strategy is built on a robust framework that connects our long-term ambitions with everyday operational decisions. We recognize that sustainable performance must be intentional, structured, and embedded into how we run the business.

We organize our strategy around three core pillars that address our most material impacts: protecting the natural environment, driving positive social outcomes, and upholding responsible governance. These pillars shape our priorities, guide our investments, and inform how we measure progress across the organization.

Our strategic framework translates these pillars into defined action areas and enabling capabilities. By linking environmental and social objectives to measurable targets, governance oversight, and clear accountability, we create a structured pathway for progress. This approach aligns our efforts with national priorities and evolving global

standards, while reinforcing our commitment to responsible growth and long-term value creation. For further information on our strategy, please refer to the 2025 Sustainability Report that will be available on our website at www.firstmills.com/en/sustainability.php

Strategic Framework



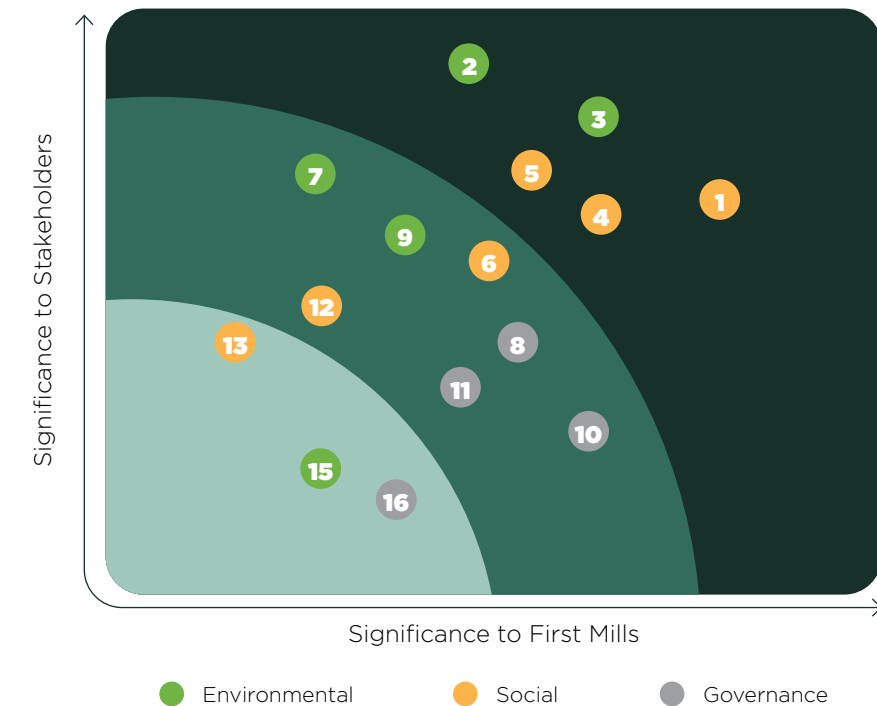
Our Material Topics

Our sustainability efforts are focused on the issues that matter most to our business and Stakeholders. To guide this approach, we conducted a comprehensive materiality assessment aligned with international standards. This process identified and prioritized the ESG topics that have the greatest relevance to our operations, our Stakeholders, and our long-term performance.

Materiality Matrix

The materiality assessment resulted in 16 material topics, grouped across our three ESG pillars. These topics are presented within our materiality matrix, which reflects their relative importance based on both impact and financial materiality. By applying the principle of double materiality, we evaluate not only how our activities affect the environment and society, but also how sustainability-related risks and opportunities influence our financial performance.

A structured three-level evaluation scale was used to assess and rank each topic, providing a clear and consistent basis for prioritization. This framework enables us to focus resources where they matter most, strengthen risk management, and ensure that our sustainability strategy addresses the issues that are most critical to First Mills and our Stakeholders.



Priority 01	Most important 1 Food quality and safety 2 Climate change and energy management 3 Sustainable packaging 4 Talent management and development 5 Occupational health and safety	UNSDGs 2, 3, 8, 12, 13, 17	Vision 2030 - A vibrant society - A thriving economy - An ambitious nation
Priority 02	Very important 6 Nutrition and health 7 Water management 8 Business ethics and human rights 9 Waste management and circular economy 10 Responsible sourcing 11 Corporate governance 12 Community support	UNSDGs 2, 3, 6, 8, 12, 13, 17	Vision 2030 - A vibrant society - A thriving economy - An ambitious nation
Priority 03	Important 13 Diversity, equity and Inclusion 14 Nationalization 15 Sustainable agriculture 16 Customer satisfaction and responsible labeling	UNSDGs 4, 5, 8, 10, 12, 13, 15, 17	Vision 2030 - A vibrant society - A thriving economy - An ambitious nation

Alignment with National and Global Imperatives

Our sustainability priorities are shaped by both national development goals and global frameworks that guide responsible economic and social progress. We recognize that long-term business resilience is closely linked to broader efforts to strengthen communities, protect natural resources, and support inclusive growth.

In 2015, the United Nations General Assembly established the 17 Sustainable Development Goals (SDGs) as part of the 2030 Agenda for Sustainable Development. These goals provide a global framework for addressing key challenges, including poverty reduction, environmental protection, and the promotion of prosperity and well-being.

While we are currently progressing toward a formal mapping of our sustainability programs against these goals, our initiatives already contribute to several priority areas aligned with the SDGs. This alignment reflects our commitment to operating responsibly within both national priorities and the broader global sustainability agenda.

UN SDG

Our Contribution



End hunger, achieve food security and improved nutrition, and promote sustainable agriculture

- Produce high-quality, nutrient-rich flour (including whole wheat and gluten-free) to support balanced diets and prevent malnutrition
- Source high-quality grains from responsible suppliers and, where feasible, increase local grain procurement to strengthen domestic agriculture and food security
- Implement strict quality control and efficient storage/distribution to minimize food loss and reduce food waste
- Repurpose by-products, such as bran, for animal feed to maximize resource use
- Support the community with targeted product donations and partnerships with charities
- Partner with research institutions to explore innovative farming techniques that strengthen local durum wheat practices



Achieve gender equality and empower all women and girls

- Design bakery and vocational programs that are accessible to women and men, expanding opportunities in food and hospitality
- Collaborate with women-focused social development associations so community investments also empower women and girls



Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all

- Support and develop vocational and technical skills programs that help participants meet market needs and start their own businesses
- Strengthen entrepreneurship through initiatives such as the Saudi Bakery program for chefs and small bakers
- Create quality employment opportunities within milling operations and support functions
- Educate employees on sustainability and energy-saving practices that enhance workplace efficiency and resilience



Maintaining sustainable consumption and production patterns

- Support, develop, and promote initiatives to reduce waste across operations, the supply chain, and the community, with a focus on food waste
- Implement efficient inventory, storage, and distribution management to limit product losses
- Promote the 3 Rs (Reduce, Reuse, Recycle), including pallet reuse and by-product utilization
- Advance sustainable packaging through the evaluation and gradual adoption of biodegradable and resealable materials
- Improve sustainability reporting to track progress, enhance transparency and guide responsible production decisions



Climate action

- Invest in energy-efficient technologies, including upgraded milling equipment and low-carbon pest-control solutions, such as heat treatment
- Reduce greenhouse gas (GHG) emissions by optimizing logistics and lowering trip numbers
- Explore and prepare for solar energy and other renewable sources to power operations
- Raise awareness about climate action and energy conservation through employee and community programs
- Strengthen sustainability reporting and KPI dashboards to monitor progress toward emissions-reduction goals



Conserve and sustainably use the oceans, seas, and marine resources

- Transition toward biodegradable and reusable packaging and distribution mechanisms to reduce waste that could reach marine environments
- Encourage bulk purchasing and reuse of items such as pallets to limit single-use packaging
- Promote waste-reduction and recycling practices that lower the risk of packaging leakage into waterways and seas



Protect, restore, and promote sustainable use of terrestrial ecosystems, sustainably manage forests

- Support sustainable agriculture by partnering with research institutions on improved farming techniques for local durum wheat
- Increase responsible and, where feasible, local grain procurement to support long-term soil and land health
- Reduce chemical use through more sustainable pest-control technologies
- Raise employee awareness about water conservation and responsible resource use
- Maintain a commitment to sustainability reporting that tracks progress on responsible land and ecosystem management

Protecting our Nature

Responsible stewardship of the natural environment

Our approach to safeguarding the natural environment reflects the realities of operating in Saudi Arabia, where water scarcity, dust, and high energy demand, require careful and responsible resource management. In response, we focus on a defined set of priorities that address our most significant environmental impacts: climate and energy, sustainable packaging, water stewardship, waste and circular economy practices, and sustainable agriculture. These areas have been identified as material to our operations and are supported by defined targets and performance indicators that are embedded into planning, investment decisions, and operational oversight across all our sites.

Environmental management is integrated into our daily operations through structured processes, clear accountability, and a strong emphasis on prevention and continuous improvement. We work to use energy and materials more efficiently, reduce emissions and waste, and manage water and raw material inputs responsibly, while maintaining the highest standards of product quality and safety.

By strengthening environmental data systems, governance frameworks, and internal capabilities, we aim to progressively reduce our environmental footprint and support the long-term resilience of the ecosystems and communities in which we operate.

Climate Change and Energy Management

At First Mills, addressing climate change is an integral part of how we operate and plan for the future. We recognize the urgency of managing climate-related risks and opportunities, and we integrate sustainable energy practices directly into our operational and investment decisions. Our approach focuses on improving energy efficiency, reducing emissions, and strengthening climate resilience across our facilities.



Climate Change

We incorporate environmental risk considerations into operational planning, preventive maintenance, and site-level performance reviews. Establishing our 2024 GHG baseline provided greater visibility into energy- and emissions-intensive processes, allowing us to prioritize actions with the highest potential impact. Emissions performance is increasingly monitored on an intensity basis, measured per ton of production, ensuring that efficiency improvements keep pace with capacity growth.

Operational transparency plays a key role in managing energy use. Digital monitoring tools such as AdVActory provide real-time process visibility, helping reduce energy losses associated with rework, product loss, and stop-start operations. We have also expanded the use of heat treatment as a chemical-free pest control method, reducing emissions related to fumigation while improving resource efficiency and workplace safety. Packaging specifications are continuously reviewed and optimized to reduce material use where food safety requirements permit, contributing to lower upstream emissions and supporting circular economy objectives.

Our environmental management system remains certified to ISO 14001, reflecting a structured approach to managing environmental performance and embedding climate considerations into governance, risk management, and daily operations.

Approaches and Initiatives

During 2025, we used our 2024 emissions baseline to guide targeted Scope 1 and Scope 2 reduction initiatives, with a particular focus on energy-intensive processes and new capacity additions. Energy-efficiency measures across our mills included power factor optimization, lighting upgrades, and electrical system improvements, supported by AdVActory to strengthen process stability and detect abnormal energy use. We also expanded heat treatment as a chemical free pest control solution and advanced our renewable energy transition by commissioning energy audits and entering into a solar power contract for our Tabuk and Al-Ahsa sites.



Protecting our Nature continued

Energy Management

At First Mills, energy management is a core element of our climate and resource-efficiency agenda. We focus on improving energy productivity and reducing our environmental footprint while maintaining reliable, high-quality production across all facilities.

Optimizing Energy Consumption across our Facilities

We continued optimizing energy consumption across our operations during the year, through a combination of technology deployment, operational discipline, and infrastructure improvements. The expanded roll-out of AdVActory strengthened real-time monitoring of operational and quality parameters, enabling earlier detection of inefficiencies that can lead to unnecessary energy use. This enhanced visibility supports faster corrective action and more stable, efficient production.

We further refined our power factor optimization programs, with most mills achieving power factors

above 95%, reducing reactive power losses and associated utility penalties. Energy-efficient LED lighting with motion sensors continued to be installed across production and warehouse areas, lowering baseline electricity consumption. Preventive maintenance programs were also strengthened to ensure that motors, drives, fans, and other energy-intensive equipment operate at peak performance.

In addition, we commissioned an energy-efficient cooling warehouse designed to minimize electricity demand per pallet stored. This facility supports our broader energy-efficiency objectives while reinforcing our commitment to continuous improvement in operational performance and resource management.

Case Study

Powering Efficiency and Eliminating Chemicals

We operate in an energy-intensive industry where electricity costs, grid exposure, and rising ESG expectations require continuous improvement. At the same time, conventional chemical fumigation created production interruptions, safety considerations, and increasing regulatory pressure. These factors highlighted a clear opportunity to stabilize energy use, reduce emissions, and modernize pest control while protecting product quality and operational continuity.

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By reducing pest-control downtime by more than 50% and contracting a 9 MW solar project, we are strengthening efficiency, safety, and long-term energy resilience across our operations.

A dual transformation in energy and operations

We implemented an integrated solution combining renewable energy transition and chemical-free pest control. A 9 MW solar power project was contracted with Safeer for our Tabuk and Al-Ahsa facilities, establishing a pathway to lower Scope 2 emissions and strengthen long-term energy resilience. In parallel, we deployed Saudi Arabia's first chemical-free heat treatment pest-control system in an industrial flour milling environment, replacing phosphine fumigation with controlled thermal treatment. Both initiatives were embedded into standard operating practices to support long-term scalability.

Measurable gains in performance and sustainability

In 2025, operational efficiency and environmental performance improved significantly. Heat treatment reduced pest-control downtime by more than 50%, improving production availability and eliminating chemical residues in treated areas. Power-factor optimization to above 95%, LED lighting, upgraded electrical systems, and improved process monitoring strengthened overall energy performance. In parallel, solar infrastructure advanced toward implementation starting in Q1 2026, with renewable supply expected to begin in the second half of 2026. Together, these actions enhanced safety, reduced emissions intensity, and reinforced operational resilience.

Protecting our Nature continued

Sustainable Packaging

Sustainable packaging is an important part of our environmental stewardship and our commitment to advancing circular economy principles. We aim to reduce the environmental impact of packaging across the product lifecycle while maintaining the highest standards of product safety, quality, and shelf life. Paper remains the primary material used for most of our retail packaging, offering a lower environmental footprint compared with many plastic alternatives.



Progress and Achievements

During 2025, we continued refining our packaging approach with a strong focus on material efficiency and circularity. Packaging specifications were reviewed and optimized to reduce material use wherever product safety and shelf-life requirements allow, lowering the volume of packaging per ton of product. We maintained a strong reliance on paper-based solutions for retail formats and began assessing opportunities to introduce biodegradable and recyclable materials across both consumer and B2B packaging.

We also identified post-consumer paper packaging waste as a key area for improvement and initiated efforts to enhance recycling and reuse practices. This includes exploring collaboration opportunities with downstream partners, regulators, and customers to support more effective material recovery and reuse, aligned with our broader transition toward a circular economy.



Waste Management and the Circular Economy

We are committed to advancing sustainable practices through effective waste management and circular economy principles. Our environmental management system requires systematic identification of environmental aspects associated with waste generation, including packaging, production losses, dust and maintenance-related waste.



Our Product Life Cycle

We carefully consider environmental impacts across the life cycle of our products, from sourcing raw materials to end-of-life management. Our focus is on optimizing resource use, improving efficiency, and reducing waste where feasible through measures such as:



Raw material sourcing

Considering responsible agricultural sourcing and material efficiency



Distribution and logistics

Using bulk loading and reusable packaging where possible to reduce single-use packaging



Production and packaging

Optimizing process yields, reducing packaging material and using nitrogen-filling technology to extend product shelf life and reduce food waste



Usage and consumption

Providing safe, high-quality products that support efficient use and minimize waste



End-of-life management

Supporting circular practices through recycling, reuse of materials (such as wooden pallets and scrap metal) and exploring biodegradable options

Minimizing Waste Across our Operations

Minimizing waste is a core part of how we manage environmental performance across our operations. We work to reduce material loss, improve resource efficiency, and strengthen circular practices throughout our production and logistics activities.

In 2025, we enhanced oversight of waste management by clarifying responsibilities at the site level, particularly for factory managers, and strengthening training programs focused on material efficiency and environmental awareness. These measures supported more consistent waste monitoring and handling across our facilities.

We also addressed key operational waste streams, including pallets, packaging materials, and scrap metals. Wooden pallets are reused wherever possible, extending their lifecycle and reducing material consumption. Scrap metal generated from operations is recovered and repurposed for equipment maintenance, reducing reliance on virgin materials and reinforcing circularity within our processes.

Protecting our Nature continued

Water Management

Responsible water use is a key priority for First Mills, reflecting both operational efficiency goals and the importance of supporting water resilience in the regions where we operate. We work to optimize consumption, reduce freshwater demand, and expand reuse wherever it is safe and feasible.

Our Al-Ahsa and Al-Qassim plants operate sewage water treatment facilities with a combined capacity of 200 cubic meters. Treated wastewater is stored and reused for irrigating landscaped areas and green roadsides, helping reduce reliance on freshwater resources and lowering the environmental impact of our operations.

In 2025, we strengthened our water stewardship approach by initiating site-level water mapping and identifying gaps in sub-metering to better

understand how water is sourced, used, and discharged across our facilities. These efforts will support the development of targeted reduction goals based on water use per ton of production and enable more precise monitoring of efficiency improvements and reuse initiatives. Ongoing initiatives focus on reducing water intensity through improved operational practices, enhanced housekeeping measures, and expanded safe reuse where appropriate.

Sustainable Agriculture

We support sustainable agriculture through our feed operations and our commitment to responsible sourcing. By providing nutritionally balanced, energy-efficient feed solutions, we help farmers improve productivity while reducing the need to transport animals to distant grazing areas.

This reduces pressure on vegetation and helps limit land degradation, supporting more sustainable livestock management practices in alignment with the Ministry of Environment, Water and Agriculture's objectives to preserve natural resources.

In 2025, we further formalized our approach to sustainable agriculture by linking operational efficiency, energy management, and resource

stewardship with broader national sustainability initiatives, including the Saudi Green Initiative. The continued integration of innovative technologies across our operations, such as heat treatment, planned solar energy adoption, and enhanced water management systems, supports a more efficient and responsible production environment. These efforts contribute to long-term agricultural resilience while reinforcing our role in supporting sustainable food systems.

For more detailed information on our environmental management, including full year-on-year data, calculation methodologies and site-level performance indicators for energy, emissions, water, waste, packaging, and sustainable agriculture, please refer to the 2025 Sustainability Report that will be available on our website at <https://www.firstmills.com/en/sustainability.php>



Looking Ahead

Across First Mills, we will remain focused on strengthening the integration between energy efficiency, renewable energy, and water stewardship to create a more resilient and resource-efficient operating model. We plan to build further on our heat treatment technology to enhance energy performance while maintaining robust pest control standards, and to connect these efficiencies with solar energy deployment and improved water management across our sites.

A key priority is completing a comprehensive energy and GHG baseline for all facilities and implementing a unified monthly KPI dashboard to enhance visibility, accountability, and performance tracking. This will enable more informed decision-making and robust oversight of progress against our environmental objectives.

Operationally, we aim to sustain a power factor of at least 95% across our mills and continue reducing

electricity consumption per ton of output. Planned measures include further lighting upgrades, motion sensor expansion, leak reduction, and motor optimization. We will also complete site-level water mapping and sub-metering to support reductions in water intensity through improved housekeeping and expanded safe reuse practices.

Over the coming years, we intend to increase the share of renewable energy in our overall energy mix as solar projects are implemented, deepen circular economy practices in waste and packaging, and explore opportunities to strengthen collaboration with farmers and partners to advance sustainable agriculture initiatives. In the longer term, our objective is to deliver structured sustainability targets that support low-carbon, resource-efficient operations, reduce reliance on non-renewable energy sources, and enhance resilience across our value chain.



Driving Social Change

Our People

Empowering people and enabling performance

Our people are the foundation of our long-term performance and resilience. We invest in workforce development not simply to strengthen internal capability, but to help shape national talent, support social progress, and contribute to the Kingdom's economic and food system priorities. By building skills, strengthening well-being, and fostering a safe and inclusive working environment, we are creating the conditions for sustained operational excellence while supporting broader societal development. This integrated approach positions human capital as a strategic driver of growth, innovation, and long-term value creation across First Mills.

Talent management and development

We advanced our talent agenda this year through a structured, forward-looking Human Capital strategy focused on closing critical skill gaps and strengthening long-term organizational resilience. A comprehensive leadership development program was implemented across executive, managerial, and supervisory levels, with an emphasis on effective decision-making, people leadership, and values-driven management. This was reinforced by a formal succession planning framework that identifies high-potential employees for key roles and prepares them through targeted development plans, mentoring, and coaching.

Continuous learning remains central to how we build capability across the organization. During the year, we expanded internal and external training programs covering technical, behavioral, compliance, and safety topics, while increasingly using digital and AI-enabled learning tools to personalize development pathways and enhance learning analytics. This approach enables us to align training more closely with identified skill gaps and evolving workforce needs. Programs are delivered through a combination of internal expertise and external partnerships, supported by structured mentoring and coaching to strengthen knowledge transfer and career progression.

We also maintained a disciplined approach to workforce composition, limiting reliance on non-employee workers to short-term or highly specialized requirements while core operations continue to be driven by a stable internal workforce. Recruitment and onboarding processes were further strengthened through psychometric assessments that evaluate both technical capability and cultural alignment, supporting consistently low turnover and high levels of employee engagement.



Development Program – Grow Together (2025)

In 2025, we implemented a comprehensive development initiative titled the “Development Program – Grow Together”. The program was structured into four modules, with one module delivered each quarter.

The initiative covered the entire company, including all plants, and was designed to ensure organization-wide participation and alignment. It also included the engagement of C-suite executives, reinforcing leadership commitment to continuous development. In total, the program delivered over 7200 training hours throughout the year, reflecting our strong focus on employee growth, capability building, and fostering a unified culture of collaboration and performance excellence.

Workforce Development

We are committed to developing our people, supporting our communities, and contributing to economic development and food security across the Kingdom of Saudi Arabia. Our workforce development approach is holistic and closely aligned with Vision 2030, with a strong focus on initiatives that deliver meaningful social value through education, capability-building, and skills development programs that benefit both employees and the wider community. We also play an active role in supporting local entrepreneurship and national talent development, helping to strengthen the broader labor market in which we operate.

We aim to strengthen our position as an employer of choice in the food manufacturing sector, recognized for a strong safety culture, structured professional development, and a supportive working environment. In 2025, this commitment was reflected in the rollout of an organization-wide leadership development program and continued enhancements to core HR processes and systems, designed to improve recruitment, onboarding, performance management, and career progression.

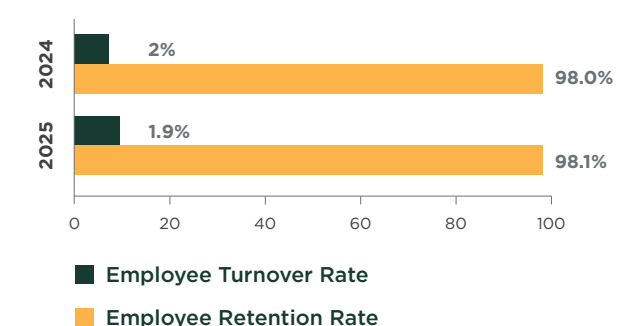
For more details and specific metrics on training, safety programs, and people development performance, please refer to the Sustainability Report published on our website at www.firstmills.com/en/sustainability.php

Turnover and Retention

We monitor turnover and retention as key indicators of workforce stability and organizational health. In 2025, we maintained an exceptionally low turnover rate, well below typical industry benchmarks, reflecting the strength of our work environment, competitive reward structure, clear career pathways, and strong cultural alignment.

Our recruitment process includes psychometric assessments to evaluate both technical capability and alignment with our values and behavioral expectations. This approach supports long-term cohesion, strengthens team performance, and contributes to sustained employee engagement and retention across the organization.

Turnover and Retention Performance



Regular engagement surveys, performance dialogues and open communication channels help management identify and address emerging issues early, contributing to sustained retention levels and reinforcing our position as an employer of choice.

Driving Social Change continued

Diversity, Equity, and Inclusion

We are committed to maintaining a diverse, equitable, and inclusive workplace where hiring and promotion decisions are guided by merit, capability, and performance. In 2025, we reinforced a capability-driven recruitment approach focused on attracting the best talent regardless of gender or background, while continuing to support national priorities to develop Saudi talent across all levels of the organization.

Our equal opportunity, anti-discrimination, and ethical conduct policies remain firmly embedded in day-to-day operations. These are supported by confidential reporting channels and a non-

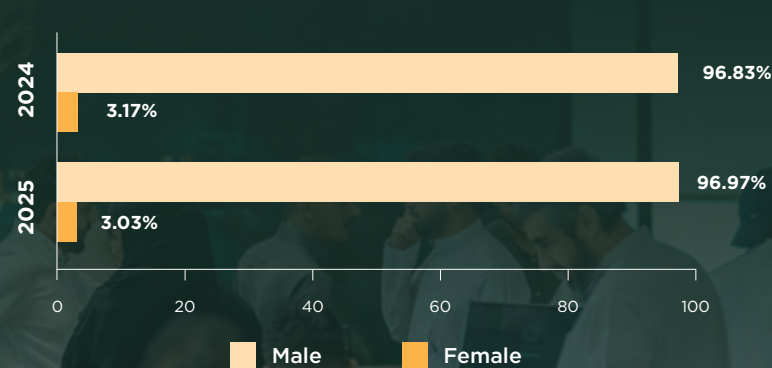
retaliation framework that encourages employees to raise concerns with confidence. No incidents of discrimination were recorded during the year, reflecting the effectiveness of preventive measures and the emphasis placed on fairness and respect across all areas of the business. Structured career pathways, transparent mobility, and clearly defined internal promotion processes further support equitable treatment and professional growth, helping ensure that opportunity and advancement remain accessible to all employees.

Our Workforce

	2024			2025		
	Saudi Employees	Non-Saudi Employees	Total	Saudi Employees	Non-Saudi Employees	Total
Head Office Total	49	19	68	53	20	73
Jeddah Plant*	62	164	226	59	145	204
Al-Qassim Plant	44	73	117	46	75	121
Tabuk Plant	30	59	89	26	50	76
Al-Ahsa Plant	34	67	101	29	58	87
Plants Total	170	363	533	160	328	488
Total	219	382	601	213	348	561

*Includes Al Manar Plant employees.

Gender ratio



Nationalization

We are fully committed to supporting Saudization initiatives led by the Ministry of Human Resources and Social Development (HRSD) and have developed a strategy to empower Saudi talent within the food and feed industries. Our approach focuses on creating meaningful employment opportunities, designing specialized training programs, and fostering a work environment that supports long-term career growth for Saudi nationals.

We collaborate closely with government entities and educational institutions and partner with HRSD through programs such as Tamheer and platforms including Dorooob. These partnerships enable structured training pathways that enhance skills development and contribute to higher

nationalization rates across our operations. In addition, we have established internal Saudization objectives for specific administrative and operational roles to promote balanced national representation across job levels. We actively engage with universities and technical colleges throughout the Kingdom to build strategic relationships and attract qualified graduates and technicians. Through job fairs, career days, internships, and structured training programs, we help young Saudi nationals develop the knowledge, skills, and practical experience needed to transition successfully into the workforce and contribute to the Kingdom's economic development.

Saudization in 2025

	Nitaqat Category 2024	Saudization 2024	Nitaqat Category 2025	Saudization 2025
Head Office	Platinum	42%	Platinum	50%
Plants	High Green	37%	High Green	38%
Average Saudization Percentage	High Green	39.5%	High Green	43.7%



Driving Social Change continued

Occupational Health and Safety

We place the health and safety of our employees, contractors, and visitors at the center of our operations. Our Environmental, Health, and Safety (EHS) management system is certified to ISO 45001:2018 and is supported by structured inspections, regular audits, and ongoing training and awareness programs. Health and safety expectations are communicated from day one through comprehensive induction programs, toolbox talks, targeted campaigns, and continuous communication to ensure clarity and accountability across all sites.

In 2025, we continued strengthening our safety culture through structured EHS training, close monitoring of safe operating hours, and reinforced reporting mechanisms that enable employees to raise concerns confidently and without fear of retaliation. Health and safety governance is supported by joint management-worker engagement structures and full alignment with Saudi regulatory requirements and international standards. Further details on our operational controls and performance are presented in the Operations section of this report.

For more details and specific metrics on occupational health and safety training, safe operating hours, and incident performance, please refer to the the 2025 Sustainability Report published on our website at <https://www.firstmills.com/en/sustainability.php>

Occupational Health and Safety in 2025

Training

	2024	2025
Training sessions	68	11
Training hours	37	272
Safe operating hours	1,440,000	1,200,728

Incidents and Accidents

	2024	2025
Minor incidents	9	6
Major quality incidents	0	0

Well-being and Employee Experience

We operate in a rapidly evolving social landscape, where awareness of health, nutrition, and work-life balance continues to grow, and expectations for corporate support of employee well-being are increasing. In response, we place strong emphasis on employee well-being through a holistic, people-centered approach designed to support both personal and professional resilience.

Throughout 2025, we expanded our Employee Assistance Program to provide confidential emotional, psychological, and social support, complemented by preferential healthcare and financial planning services offered through trusted external partners and local banks. Several well-being initiatives were also extended to employees' families, reflecting our belief that household stability plays an important role in overall well-being and performance. These enhancements built on earlier efforts in 2025 to broaden well-being initiatives for employees and their families across the organization.

We also strengthened recognition and engagement across the Company. A formal Recognition Programs Policy ensures that achievements are acknowledged consistently and transparently, with recognition integrated into town halls and internal communications. Our human-centered communication approach celebrates personal milestones such as promotions, certifications, weddings, and new family arrivals, while also providing compassionate support during challenging life events, including illness and bereavement. Through these efforts, we continue to foster a supportive workplace where people feel valued, connected, and motivated to thrive.

Our people strategy is centered on maintaining a healthy, engaged workforce by strengthening capabilities and ensuring fair, merit-based employment practices. Consistently low employee turnover, well below typical industry levels, reflects the strength of this approach. External recognition further affirmed our progress, including two Silver Employee Happiness Awards for Best Induction Program and Best Recruitment Strategy, highlighting the effectiveness of our recruitment, onboarding, and employee experience initiatives.



Looking Ahead

We will continue strengthening our Human Capital framework as a core driver of business performance and long-term value creation. Our focus is on building robust talent pipelines, developing leadership capability, enhancing well-being and recognition programs, and deepening Saudization across roles and functions. We will also advance the integration of digital HR platforms to support more responsive, data-driven people management across the organization.

In the coming period, we aim to shape a future-ready workforce through more advanced learning and development, strengthened succession planning and governance, and expanded career pathways for Saudi nationals. By sustaining a skilled, engaged workforce, we will continue to support our strategic priorities and contribute meaningfully to the ambitions of Saudi Vision 2030.



Driving Social Change continued

Our Communities

Supporting Health, Entrepreneurship, and Community Well-being

Creating shared value in the communities where we operate is a central part of our social responsibility. We focus on areas where we can make a meaningful and lasting contribution, particularly food quality and safety, nutrition and health, and broader community support. In 2025, these priorities remained key material topics, embedded into our marketing, engagement, and partnership activities to deliver measurable progress and strengthen long-term Stakeholder value.

Through initiatives aligned with Saudi Vision 2030, we concentrated on promoting health awareness, empowering local entrepreneurs, and supporting food security. Our role extends beyond providing essential food products. We actively contribute to community development by working alongside charitable organizations, foundations, and national entities to deliver initiatives that are practical, inclusive, and responsive to local needs.

Ensuring Excellence in Food Quality, Safety, and Nutrition

Our production processes follow globally recognized best practices, including Good Manufacturing Practices (GMP) and Hazard Analysis Critical Control Points (HACCP), reinforcing consumer confidence and ensuring consistent delivery of high-quality products.

Food Quality and Safety

We continued to strengthen our proactive quality assurance processes in 2025. Through systematic testing, supplier oversight, and process controls, we ensured compliance with regulatory standards and maintained strict internal benchmarks across all production facilities.

Quality Assurance in Numbers (across all plants)	2023	2024	2025
Total tests conducted	720,000	817,600	893,520
Daily tests			
Physical	400	420	598
Chemical	1,500	1,720	1,715
Microbiological	100	100	100

To uphold our commitment to excellence, we perform more than **2,000** quality tests daily across our operations, reinforcing food safety, consistency, and product integrity.



Nutrition and Health

We recognize the growing awareness around healthy eating and inclusive nutrition within our communities. In 2025, we continued to prioritize the development and promotion of whole wheat and gluten-free flour products to meet the evolving needs of consumers seeking healthier and specialized dietary options. These product lines support balanced eating habits while providing suitable alternatives for individuals with gluten intolerance.

We strengthened our nutrition awareness efforts through digital engagement initiatives, gluten-free awareness campaigns, and the development of practical gluten-free recipes designed to support safe and accessible meal preparation. Through our Alraha recipe content, we also provided everyday meal ideas aligned with balanced nutrition, helping families make informed and healthier choices.

In addition, we introduced chlorine-free cake mixes in 2025 as part of our commitment to cleaner ingredient profiles and responsible product innovation. By focusing on ingredient integrity, product transparency, and ongoing innovation, we aim to contribute to long-term community well-being and more sustainable dietary practices.

Community Support

We are committed to meaningful community engagement that empowers individuals, supports entrepreneurship, and strengthens food security. Our approach focuses on creating lasting value through initiatives that respond to real community needs while contributing to long-term social development.

In 2025, we concentrated on strengthening and expanding our existing programs rather than introducing entirely new ones. This approach enabled us to deepen impact, improve continuity, and ensure that our initiatives deliver measurable and sustainable outcomes for the communities we serve.

To ensure measurable outcomes, we track community programs using defined KPIs. Our primary KPI is the number of people reached, while the Saudi Bakery Initiative is monitored through graduate outcomes, with a targeted graduate rate of 90%.

The Saudi Bakery Initiative

The Saudi Bakery initiative remained a cornerstone of our community strategy in 2025. The program supports aspiring chefs and small bakers through practical training, capability development, and business readiness preparation, directly contributing to SME development and local employment in line with Vision 2030.

In 2025, the initiative delivered a 100% graduation outcome (20 graduates out of 20 trainees), exceeding the 90% target. By directing funding to a program aligned with national economic diversification and local content objectives, we ensured our community investments generated sustainable, long-term value.

Saudi Bakery in 2025



Driving Social Change continued

Partnerships and Community Outreach

Partnerships with local organizations played a key role in amplifying impact. Collaboration with the Celiac Foundation strengthened awareness and credibility of gluten-free initiatives, supporting inclusive nutrition and expanding outreach to individuals with specific dietary needs.

Throughout 2025, we also supported charitable organizations and community entities through product donations and targeted contributions across the Kingdom, including Al-Qassim, Jeddah, Makkah, Tabuk, and Al-Ahsa. These contributions aligned with national values of solidarity and social support, particularly during key periods such as Ramadan.

Community Contributions in 2025

Total flour products donated:

10,310 (10 kg packs)

Additional category contributions:

100 units

Total value of donations:

﷼ 73,070

In total, we invested approximately **﷼ 230,000** in 2025 to strengthen donations, partnerships, sponsorships, and community initiatives that enhance welfare and sustainable development.

Looking Ahead

We aim to expand the reach and impact of our community initiatives by building on established programs such as the Saudi Bakery Initiative and our gluten-free awareness efforts, extending them to support more trainees, small bakers, and local communities. We will place greater emphasis on education and capability building—particularly in entrepreneurship, nutrition, and inclusive food solutions—delivered in close collaboration with local organizations and charitable partners to maximize impact.

In the near term, we plan to expand the Saudi Bakery Initiative to Al-Qassim and Jeddah in 2026, with an ambition to scale nationwide within three to four years. Our priority is to place community empowerment, health awareness, and inclusive nutrition at the core of our social responsibility agenda. By aligning these efforts with Vision 2030, we aim to deliver meaningful, measurable contributions to national well-being and support resilient, thriving communities over the long term.





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First Mills holds a leading position in Saudi Arabia's flour market.

5



Governance Framework and Regulatory Compliance

First Milling Governance

The Board of Directors of First Milling Company is committed to establishing an effective governance framework that regulates the Company's business administratively and financially. This commitment to applying the highest governance standards reinforces the Company's values of integrity and transparency in its disclosures and reflects its compliance with the regulatory mandates issued by the Capital Market Authority (CMA), to ensure the provision of a clear and fair view of its financial performance and operational results, thereby supporting the sustainability of its success. The Company's Annual Report serves as a key tool for effective communication with Shareholders and Stakeholders and for fostering mutual trust.

Corporate Governance Regulations

Generally speaking, First Milling Company complies with the provisions of the Corporate Governance Regulations issued by CMA and the main governance principles for the companies operating in the Kingdom. First Milling Company is keen to abide by all governance regulations to align with the latest developments thereof and to continuously update related policies and measures in the event of any regulatory updates that require the same.

Corporate Governance Framework

First Milling Company is committed to a robust governance framework aimed at enhancing transparency and ensuring compliance with the best local and international practices. This framework is based on the laws and regulations in force in Saudi Arabia, including:

- The Companies Law issued by the Ministry of Commerce
- The Corporate Governance Regulations issued by CMA
- Environmental, Social, and Governance (ESG) Standards, in line with the Company's aspirations to achieve sustainability targets

This framework is managed through a clear organizational structure that includes the Board of Directors and its specialized committees (such as the Audit Committee, Nomination and Remuneration Committee and Executive Committee), in addition to a dedicated Governance, Risk and Compliance (GRC) Department, to ensure the application of the highest standards and promote corporate sustainability.

Key Governance Principles and Pillars

Governance at First Milling Company is based on a set of fundamental principles and pillars that aim to enhance transparency and build trust with Shareholders and Stakeholders, and includes the following:

Transparency and disclosure: Committing to providing accurate and timely information to all relevant Stakeholders, including Shareholders, through periodic reports and regular disclosures.

Effective risk management: Establishing an integrated risk management system to ensure business continuity and mitigate any negative impacts.

Compliance with laws and regulations: Complying with all local and international laws related to corporate governance, including regulations issued by CMA.

Fairness and equality: Treating all Shareholders and Stakeholders fairly and without discrimination and ensuring the protection of their rights.

Accountability: Establishing clear responsibilities for the Board, its Committees and Executive Management, to ensure accountability for all decisions and actions, and enhance operational efficiency.

Sustainability and social responsibility: Balancing the Company's economic objectives with its social and environmental commitments.

Governance Framework and Regulatory Compliance (Continued)

Key Governance and Compliance Achievements in 2025

First Milling Company achieved a set of significant milestones in governance and compliance in 2025, most notably:

- First Milling Company has consistently complied with all disclosure and transparency requirements, including those related to annual reports, financial and non-financial announcements, and periodic disclosures. This strong commitment to transparency and best practices has enabled the company to receive multiple awards over the past years from the Middle East Investor Relations Association and the Saudi Exchange.
- Risk registers were implemented to monitor risks regularly and effectively.
- The Company introduced an enhanced ERM Framework aligned with the Committee of Sponsoring Organizations of the Treadway Commission (COSO) principles, supported by a standardized methodology that improved the quality and consistency of risk reporting.
- Oversight mechanisms were strengthened through Audit Committee engagement and operationalization of the GRC function, which instituted systematic monitoring and monthly followups.
- Cybersecurity resilience was elevated through an audit and the development of an improvement plan aligned with National Cybersecurity Authority requirements.

Governance and Compliance Outlook

Short term (2026): Sustain and deepen ERM integration through annual and regulatory risk reviews, full operationalization of risk registers and scaled risk and compliance trainings. Enhance adoption of digital tools to strengthen governance, compliance monitoring and reporting.

Medium term (2027-2029): Maintain continuous review and updating of the Bylaws and governance manual in line with evolving regulations and best practices. Further develop ESG performance

measurements and progressively integrate ESG outcomes into remuneration frameworks and key decision-making processes, where appropriate.

Long term (2030+): Position First Mills as a national benchmark for governance excellence through full integration of sustainability considerations, clear alignment and demonstrated contribution to Vision 2030 priorities, and ongoing enhancement of transparency, disclosure quality and Stakeholder engagement.

In parallel, First Mills will continue to develop and implement more impactful, structured initiatives to support local communities in the areas where the Company operates, with a focus on long-term social and economic value creation.

Company's Bylaws

- First Mills Company operates in accordance with its Bylaws, which set out the legal framework and guiding principles for the Company's activities and objectives. The Bylaws define the Company's business, organizational structure and key governance measures and policies, without prejudice to the provisions of the Companies Law and the Corporate Governance Regulations applicable in the Kingdom of Saudi Arabia.
- The current Bylaws consist of consist of 46 (forty six) articles that regulate the Company's internal and external relationships and transactions.
- Under the Bylaws and related internal regulations, policies and procedures, Board members and the CEO are not permitted to vote on any contract or proposal in which they have an interest, nor may they vote on resolutions concerning their own remuneration. In addition, Board members and Senior Executives are prohibited from borrowing any funds from the Company.
- The Company's Bylaws are available to Shareholders and Stakeholders through the Company's website and its dedicated page on the Tadawul website.

Provisions and compliance

First Milling Company acknowledges its application of all provisions stipulated in the Corporate Governance Regulations, with the following exceptions.

No. of Article	Title	Text of Article/Paragraph	Degree of Application	Reason
37	Training	The Company shall pay adequate attention to training and qualifying members of the Board, Committees and the Executive Management, and shall develop the necessary programs for the same, taking the following into account:	Partially applied	Guiding article There is no fixed program, but rather, according to need, as courses and attendance of some specialized international conferences are also arranged, in addition to field visits to improve knowledge and expertise.
		1) Preparing programs for the newly appointed members of the Board and Executive Management to familiarize them with the progress of the Company's business and activities, particularly the following: A. The Company's strategy and objectives B. Financial and operational aspects of the Company's activities C. The obligations of the Board members and their duties, responsibilities and rights D. Duties and competencies of the Company's Committees		
		2) Developing the necessary mechanisms for members of the Board, Committees and the Executive Management to continuously enrol in training programs and courses in order to develop their skills and knowledge in the fields related to the activities of the Company.		

Governance Framework and Regulatory Compliance (Continued)

No. of Article	Title	Text of Article/Paragraph	Degree of Application	Reason
39	Performance evaluation	1) The Board shall develop, based on a proposal of the Nomination Committee, the necessary mechanisms for annual performance evaluations of the Board, its members, Committees and Executive Management annually. This shall be done through appropriate performance indicators. These indicators are linked to the extent of achieving the Company's strategic objectives, the quality of risk management, the adequacy of internal control systems and others. The strengths and weaknesses shall be identified and proposals for addressing them shall be made in accordance with the interests of the Company.	Not applied	Guiding article The Company is working on activating it in the coming period, as the Board has no performance indicators or individual assessments for this year.
		2) The performance evaluation shall be in writing, clear and disclosed to the Board members and parties under evaluation. 3) The performance evaluation shall include the skills and experience that the Board possesses, identify its strengths and weaknesses, and work to address its weaknesses in possible ways, such as nominating professional competencies that can develop the Board's performance. The performance evaluation shall also include an evaluation of the Board's working mechanisms in general. 4) The individual assessment of Board members shall take into account the extent of effective participation of the member and his commitment to performing his duties and responsibilities, including attending the Board and its Committee meetings and dedicating adequate time thereof. 5) The Board shall obtain an assessment of its performance from an independent third party every three years. 6) The Board shall ensure Non-Executive Members carry out periodic assessment of the performance of the Chairman, taking into consideration the views of the Executive members, without the Chairman attending the discussion designated for this purpose. The strengths and weaknesses shall be identified and proposals for addressing them shall be made in accordance with the interests of the Company.		
67	Formation of Risk Management Committee	The Company's Board shall, by resolution therefrom, form a committee to be named the Risk Management Committee. The Chairman and majority of its members shall be Non-Executive members. The members of that Committee shall possess an adequate level of knowledge in risk management and finance.	Not applied	Guiding article The Company did not allocate an independent committee for risk management, but its tasks have been included with the Audit Committee as a single committee.

No. of Article	Title	Text of Article/Paragraph	Degree of Application	Reason
68	Competencies of Risk Management Committee	The competencies of the Risk Management Committee shall include the following: 1) Develop a strategy and comprehensive policies for risk management that are consistent with the nature and volume of the Company's activities, monitoring their implementation, reviewing and updating them based on the Company's internal and external changing factors. 2) Determining and maintaining an acceptable level of risk that may be faced by the Company and ensuring the Company does not go beyond such level. 3) Ensuring the feasibility of the Company's continuation, the successful continuity of its activities, and determining the risks that threaten its existence during the following 12 (twelve) months. 4) Overseeing the Company's risk management system and assessing the effectiveness of the systems and mechanisms for determining and monitoring the risks that threaten the Company in order to determine areas of inadequacy therein.	Not applied	Guiding article The Company did not allocate an independent committee for risk management, but its tasks have been included with the Audit Committee as a single committee.
		5) Regularly reassessing the Company's ability to take risks and be exposed to such risks through stress tests as an example. 6) Preparing detailed reports on the exposure to risks and the recommended measures to manage such risks and presenting them to the Board. 7) Providing recommendations to the Board on matters related to risk management. 8) Ensuring the availability of adequate resources and systems for risk management. 9) Reviewing the organizational structure for risk management and providing recommendations regarding the same before approval by the Board. 10) Verifying the independence of the risk management employees from activities that may expose the Company to risk. 11) Ensuring that the risk management employees understand the risks threatening the Company and seeking to raise awareness of risk culture. 12) Reviewing any issues raised by the Audit Committee that may affect the Company's risk management.		

Governance Framework and Regulatory Compliance (Continued)

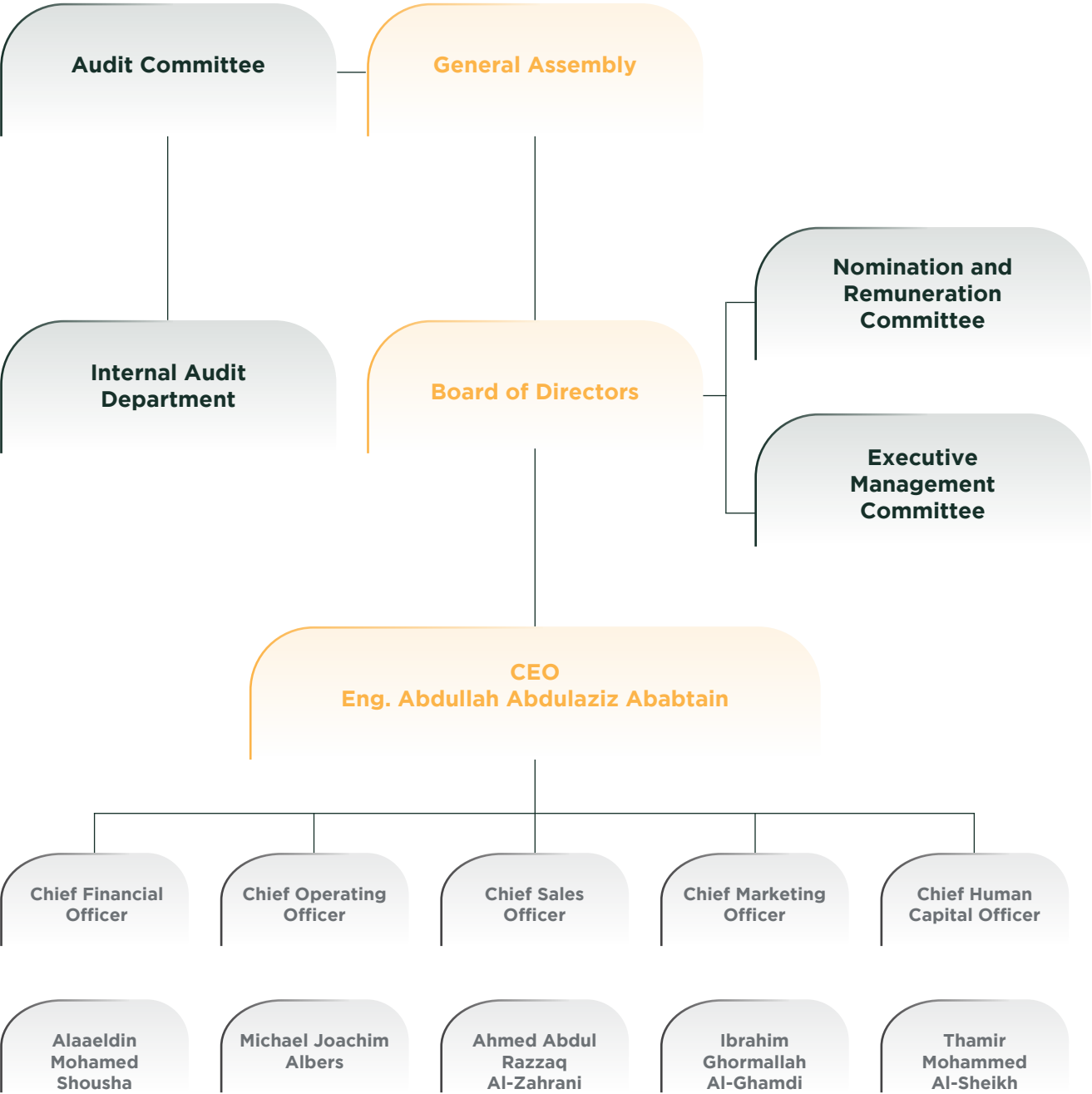
No. of Article	Title	Text of Article/Paragraph	Degree of Application	Reason
69	Meetings of the Risk Management Committee	The Risk Management Committee shall convene periodically at least once every six months and as may be necessary.	Not applied	Guiding article The Company did not allocate an independent committee for risk management, but its tasks have been included with the Audit Committee as a single committee.
		The Company shall establish programs for developing and encouraging the participation and performance of the Company's employees. The programs shall particularly include the following: 1) Forming committees or holding specialized workshops to hear the opinions of the Company's employees and discuss the issues and topics that are subject to important decisions. 2) Establishing a scheme for granting Company shares or a percentage of the Company profits and pension programs for employees, and setting up an independent fund for such program. 3) Establishing social organizations for the benefit of the Company's employees.		Guiding article The Company establishes other programs to develop and motivate the participation and performance of the Company's employees.
82	Employee incentives		Partially applied	
85	Social initiatives	The Board shall establish programs and determine the necessary methods for proposing social initiatives by the Company, which include: 1) Establishing indicators that link the Company's performance with its social initiatives and comparing it with other companies that engage in similar activities.	Partially applied	Guiding article The Company shall focus on promoting participation in social activities in order to sustain them and achieve the desired goals.
		2) Disclosing the objectives of the Company's social responsibility to its employees and raising their awareness and knowledge of social responsibility. 3) Disclosing plans for achieving social responsibility in the periodical reports on the activities of the Company. 4) Establishing awareness programs within the community to familiarize them with the Company's social responsibility.		

No. of Article	Title	Text of Article/Paragraph	Degree of Application	Reason
92	Formation of Corporate Governance Committee	If the Board forms a Corporate Governance Committee, it shall assign to it the competencies stipulated in Article (94) of these Regulations. Such a committee shall oversee any matters relating to the implementation of governance and shall provide the Board with its reports and recommendations at least annually.	Not applied	Guiding article The Board shall ensure compliance with the Company Corporate Governance Regulations and review and update them. The Board shall also review and develop the Code of Professional Conduct and other internal policies and procedures. The Board shall further keep the Board members informed of developments in the field of governance, as the Company currently does not see the need to form an independent committee for this purpose.

Company Organizational Structure

Level	Entity/Position	Name
Governance	Audit Committee	-
Control Function	Internal Audit Department	-
Shareholders	General Assembly	-
Governance	Board of Directors	-
Board Committee	Nomination and Remuneration Committee	-
Board Committee	Executive Management Committee	-
Executive Management	CEO	Eng. Abdullah Abdulaziz Ababtain
Executive Management	Chief Financial Officer	Alaaeldin Mohamed Shousha
Executive Management	Chief Operating Officer	Michael Joachim Albers
Executive Management	Chief Sales Officer	Ahmed Abdul Razzaq Al-Zahrani
Executive Management	Chief Marketing Officer	Ibrahim GhorMallah Al-Ghamdi
Executive Management	Chief Human Capital Officer	Thamir Mohammed Al-Sheikh

Governance Framework and Regulatory Compliance (Continued)



Board of Directors

Article (18) of First Milling Company's Bylaws stipulated that the Company shall be managed by a Board of Directors consisting of seven members elected by the Ordinary General Assembly of Shareholders for a period not exceeding four years. The membership of the Board shall expire upon the expiry of the Board or upon the expiry of the member's term in office, in accordance with any law or instructions in force in the Kingdom.

The Board shall assume responsibility for overseeing the management of the Company and is primarily accountable to the Shareholders. The Board shall direct and monitor the Company's business to act in their best interests. The Board shall also undertake to define the overall strategic direction and establish the general policy framework that guides the Company's business.

Powers of the Board of Directors

- Making key decisions which require the Board's approval, such as decisions concerning the Company's strategy, annual financial statements, operational plans, major capital expenditures and transactions, financial results and dividend distributions.
- Formation of the necessary committees deemed essential by the Board to ensure effective governance and oversight of the Company's operational processes or delegating some of its powers to third parties. The Board Committees are also entitled to engage external consultants and independent professional advisors.
- The Board of Directors is vested with complete powers required to manage the Company's business and oversee its affairs while delegating responsibility for the day-to-day management of the Company to the Executive Management.

Classification of Board members

Name	Current Position	Executive	Non-Executive	Independent	Non-Independent
Tariq Mutlaq Al-Mutlaq	Chairman of the Board		✓		✓
Abdullah Ahmed Al-Shehri	Vice Chairman		✓		✓
Rakan Abdullah Abunayyan	Board member		✓		✓
Essa Abdulla Al-Ghurair	Board member		✓		✓
Ahmad M. Al-Ghamdi ¹	Board member		✓	✓	
Massimo Ambrosio	Board member		✓	✓	
Murad Ahmed Al-Katib	Board member		✓	✓	
Yazeed Abdullah Al-Othman ²	Board member		✓	✓	

1) Appointed by a decision of the Board of Directors dated on 01/10/2025. Please note that this appointment is not yet officially approved and will be formalized during the Extraordinary General Meeting (EGM).

2) Resigned on 30/09/2025.

Board of Directors (Continued)

Board Members' Biographies



Tariq Mutlaq Al-Mutlaq

Position: Chairman of the Board

Appointment Date: 31/12/2020

Nationality: Saudi

Academic Qualification

- Bachelor's degree, Commerce, the American University, Washington, 1986.



Abdullah Ahmed Al-Shehri

Position: Vice Chairman

Appointment Date: 31/12/2020

Nationality: Saudi

Academic Qualification

- Master's degree, Professional Accounting, University of Miami, USA, 1990.
- Bachelor's degree, Accounting, King Abdulaziz University (KAU), KSA, 1986.



Rakan Abdullah Abunayyan

Position: Board member

Appointment Date: 31/12/2020

Nationality: Saudi

Academic Qualification

- Master of Science, Finance, University of Illinois, Urbana, Champaign, 2005.
- Bachelor's degree, Accounting, King Saud University (KSU), KSA, 2001.
- Fellowship, American Institute of Certified Public Accountants (AICPA), California Board of Accountancy, USA, 2006.



Essa Abdulla Al-Ghurair

Position: Board member

Appointment Date: 31/12/2020

Nationality: Emirati

Academic Qualification

- Bachelor's degree, Business Administration, San Diego State University (SDSU), USA, 1984.



Ahmad M. Al-Ghamdi³

Position: Board member

Appointment Date: 01/10/2025

Nationality: Saudi

Academic Qualification

- Bachelor's degree, Industrial Systems Engineering, King Fahd University of Petroleum and Minerals, Dhahran, KSA, 2004.
- Master's degree, Business Administration (Executive MBA), Hull University, United Kingdom, 2009.



Massimo Ambrosio

Position: Board member

Appointment Date: 31/12/2020

Nationality: Italian

Academic Qualification

- Bachelor's degree, Business Administration, International Finance, Georgetown University, USA, 1985.



Murad Ahmed Al-Katib

Position: Board member

Appointment Date: 31/12/2020

Nationality: Canadian

Academic Qualification

- Bachelor's degree, Commerce, University of Saskatchewan, Canada, 1994.
- Master's degree, International Management, Thunderbird School of Global Management, Arizona State University, USA, 1995.
- Honorary Doctorate, Laws, University of Regina, Canada, 2018.



Yazeed Abdullah Al-Othman⁴

Position: Board member

Appointment Date: 31/12/2020

Nationality: Saudi

Academic Qualification

- Mechanical Engineering Technology degree, Yanbu Industrial College (YIC), Yanbu, KSA, 2002.

3) Appointed by a decision of the Board of Directors dated on 01/10/2025. Please note that this appointment is not yet officially approved and will be formalized during the Extraordinary General Meeting (EGM).

4) Resigned on 30/09/2025.

Board of Directors (Continued)

Current and previous positions of Board members in companies, inside or outside the Kingdom

Tariq Mutlaq Al-Mutlaq						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
First Milling Company	Listed joint stock Company	✓	-	Chairman	✓	-
Daikin KSA	Limited liability company	✓	-	Chairman	✓	-
Galaxy Holding	Limited liability company	-	✓	Board member	✓	-
IPLAST Company	Limited liability company	✓	-	Board member	✓	-
TAKEEF	Limited liability company	✓	-	Chairman	✓	-
Masarrah Investment Co.	Limited liability company	✓	-	Chairman	✓	-
Madar Investment Company	Limited liability company	✓	-	Managing Director	✓	-
NBK Wealth Management	Listed joint stock Company	✓	-	Chairman	✓	-
Almutlaq Group Company	Listed joint stock Company	✓	-	Board member	-	✓
Almutlaq Real Estate Investment Company	Limited liability company	✓	-	Chairman of the Board	-	✓
Napco Industrial Company	Listed joint stock Company	✓	-	Executive Manager	-	✓
AlWaha Petrochemical	Limited liability company	✓	-	Chairman	-	✓
SHUAA Capital Saudi Arabia	Listed joint stock Company	✓	-	Chairman	-	✓
United Feed Manufacturing Company	Limited liability company	✓	-	Chairman and Board member	-	✓
Arabia Insurance Company	Listed joint stock Company	✓	-	Vice Chairman	-	✓
Ajyad Knowledge Company	Limited liability company	✓	-	Chairman	-	✓
Acwa Power Company	Listed joint stock company	✓	-	Board member	-	✓
Sahara Petrochemicals Company	Listed joint stock Company	✓	-	Board member	-	✓

Tariq Mutlaq Al-Mutlaq (Continued...)						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
Gas Industry Company for Industrial Services	Limited liability company	✓	-	Board member	-	✓
Arabian Qudra Company	Limited liability company	✓	-	Vice Chairman	-	✓
Gas Integrated Company Ltd	Limited liability company	✓	-	Chairman	-	✓
Jazan Integrated Gasification and Power Company	Limited liability company	✓	-	Board member	-	✓

Abdullah Ahmed Al-Shehri						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
First Milling Company	Listed joint stock company	✓	-	Vice Chairman	✓	-
Al Faisaliah Group	Closed joint stock company	✓	-	Chief Strategic Investment Portfolio Officer	✓	-
Tamkeen Company	Closed joint stock company	✓	-	Chairman	✓	-
RIYMAR Real Estate Company	Closed joint stock company	✓	-	Board member and Chairman of ARC and NRC	✓	-
Saudi Industrial Investment Group	Listed joint stock company	✓	-	Board member and member of ARC and NRC	✓	-
Riyad Bank	Listed public shareholding company	✓	-	Audit Committee member	✓	-

Board of Directors (Continued)

Rakan Abdullah Abunayyan						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
First Milling Company	Listed joint stock company	✓	-	Board member	✓	-
Abdullah Abunayyan Investment Holding Company	Closed joint stock company	✓	-	Board member	✓	-
Alistithmar Capital	Closed joint stock company	✓	-	Chairman	✓	-
Mediterranean and Gulf Cooperative Insurance and Reinsurance Company	Listed joint stock company	✓	-	Vice Chairman	✓	-
Lendo Saudi Arabia for Financing	Closed joint stock company	✓	-	Vice Chairman	✓	-
Venture Capital Company	Limited liability company	✓	-	Board member	-	✓
Abdullah Abunayyan Trading Corp.	Limited liability company	✓	-	Board member	-	✓
Abdullah Abunayyan Electric Company	Limited liability company	✓	-	Board member	-	✓
Jobar International Contracting Company	Limited liability company	✓	-	Board member	-	✓
Electronic & Electrical Industries Corporation (EEIC)	Limited liability company	✓	-	Board member	-	✓
Water and Environment Technologies Company	Limited liability company	✓	-	Board member	-	✓
Middle East Agriculture Company	Limited liability company	✓	-	Board member	-	✓
Saudi Meters Company	Limited liability company	✓	-	Board member	-	✓
Industrial Instrumentation & Control Systems Company	Limited liability company	✓	-	Board member	-	✓
Arabian Qudra Company	Limited liability company	✓	-	Board member	-	✓

Rakan Abdullah Abunayyan (Continued...)						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
Abdullah Abunayyan Investment Holding Company	Limited liability company	✓	-	Board member	-	✓
American Express Saudi Arabia Company	Closed joint stock company	✓	-	Board member	-	✓
AlRaha AlSafi Food Company	Limited liability company	✓	-	Board member	-	✓
Ashmore Investment Saudi Arabia Company	Closed joint stock company	✓	-	Board member	-	✓
International Vision Investment Company (Holding)	Holding company	✓	-	Board member	-	✓

Essa Abdulla Al-Ghurair						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
First Milling Company	Listed joint stock company	✓	-	Board member	✓	-
Majid Al Futtaim Capital	Listed joint stock company	-	✓	Board Director	✓	-
AWQAF Dubai Government of Dubai	Government body	-	✓	Chairman	✓	-
Essa Al Ghurair Investment	Limited liability company	-	✓	Chairma	✓	-
Advisory Board, Tharawat Family Business Forum	Limited liability company	-	✓	Chairman	✓	-
Binladin Contracting Group	Limited liability company	-	✓	Chairman	✓	-

Board of Directors (Continued)

Ahmad M. Al Ghamdi						
Company name	Legal entity	Company location		Member position	Type of membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
Saudi Telecom Group (stc)	Listed joint-stock company	✓	-	Group Chief Human Resources Officer	✓	-
First Milling Company	Listed joint-stock company	✓	-	Board Member	✓	-
ACWA Power	Listed joint-stock company	✓	-	Member of NRC Committee	✓	-
SPIMACO Addwaeih	Listed joint-stock company	✓	-	Member of NRC Committee	✓	-
stc channels	Limited Liability Company	✓	-	Board member, member of Executive Committee and member of NRC Committee	✓	✓
GOSI	Government Entity	✓	-	Member of NRC Committee	✓	-
SAMI	Closed joint-stock company	✓	-	Member of NRC Committee	✓	-
ECZA	Government Entity	✓	-	Member of NRC Committee	✓	-
Contact Center Company	Limited Liability Company	✓	-	Chairman of the Board	-	✓

*Eng. Ahmad Musfer Al-Ghamdi was appointed by a decision of the Board of Directors dated on 01/10/2025. Please note that this appointment is not yet officially approved and will be formalized during the Extraordinary General Meeting (EGM).

Massimo Ambrosio						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
First Milling Company	Listed joint stock company	✓	-	Board member	✓	-
Itagran USA	Limited liability company	-	✓	Board member	-	✓

Murad Ahmed Al-Katib						
Company name	Legal entity	Company location		Member position	Type of membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
First Milling Company	Listed joint stock company	✓	-	Board member	✓	-
AGT Food and Ingredients	Publicly listed company on the Toronto Stock Exchange	-	✓	Board member, President and CEO	✓	-
Canadian Pulse and Special Crops Trade Association (CPSC)	Industry association	-	✓	Chairman and President	✓	-
Protein Industries Canada	Limited liability company	-	✓	Board member	-	✓
Plant-Based Foods of Canada	Industry association	-	✓	Board member	✓	-
Saskatchewan Trade & Export Partnership (STEP)	Government company	-	✓	Senior Manager	-	✓
Canada's Strategic National Agriculture Service, Canadian Government	Government initiative	-	✓	Chairman	-	✓

Board of Directors (Continued)

Yazeed Abdullah Al-Othman						
Company Name	Legal Entity	Company Location		Member Position	Type of Membership	
		Inside the Kingdom	Outside the Kingdom		Current	Previous
First Milling Company	Listed joint stock company	✓	-	Board member	-	✓
Al-Anson Trading Company	Closed joint stock company	✓	-	CEO	-	✓
Rabi AlMarifah for Trading	Limited liability company	✓	-	Board member	-	✓
Emdad Alkhebrat Ltd.	Limited liability company	✓	-	Advisor	-	✓
Al Khumasia for Feed and Animal Products	Limited liability company	✓	-	CEO, General Manager and Deputy General Manager	-	✓
General Food Security Authority (GFSa)	Government authority	✓	-	Head of Administrative Development and Training Department	-	✓
Riyadh Chamber of Commerce	Government institution	✓	-	Poultry Products National Committee member	-	✓
Federation of Saudi Chambers	Government institution	✓	-	Member of the National Committee for Feed Manufacturers	-	✓
Al-Raha Al-Safi Food Company	Limited liability company	✓	-	Board member	-	✓
Al Khomasia for Food Industries	Limited liability company	✓	-	Board member	-	✓
Agricultural Gulf Layer Breeder Company (GLBCO)	Limited liability company	✓	-	Board member	-	✓
Tarhal Al Gharb Trading Company	Limited liability company	✓	-	Board member	-	✓

*Mr. Yazeed Abdullah Al-Othman resigned on 30/09/2025.

Board Meetings and Attendance Record

Name	First Meeting 23/04/2025	Second Meeting 23/07/2025	Third Meeting 01/09/2025	Fourth Meeting 27/10/2025	Total
Tariq Mutlaq Al-Mutlaq	✓	X	✓	✓	3
Abdullah Ahmed Al-Shehri	✓	✓	✓	✓	4
Rakan Abdullah Abunayyan	✓	✓	✓	✓	4
Essa Abdulla Al-Ghurair	✓	✓	X	✓	3
Eng. Ahmed Musfer Al-Ghamdi ¹	-	-	-	✓	1
Massimo Ambrosio	✓	✓	✓	✓	4
Murad Ahmed Al-Katib	✓	✓	✓	✓	4
Yazeed Abdullah Al-Othman ²	✓	✓	X	-	2

1) Appointed by a decision of the Board of Directors dated on 01/10/2025. Please note that this appointment is not yet officially approved and will be formalized during the Extraordinary General Meeting (EGM).
2) Resigned on 30/09/2025

Board performance assessment

The Board of First Milling Company shall prepare an appropriate assessment policy for the performance of the members of the Board and the Board Committees. The aim is to ensure the members of the Board and its Committees shall continue to meet the criteria and conditions set forth in the procedures specified for membership in the Board and continue to meet all requirements of laws, regulations and instructions issued by the Ministry of Commerce and CMA. This policy is part of the important guidelines that the Company seeks to activate in the coming period. This is because the Board has not set any performance indicators or individual assessments for this year.

Board Committees

The Company’s Board, in accordance with the Company’s Bylaws and the Corporate Governance Regulations issued by CMA, and based on the best practices in the sector, has reformed its Committees to effectively and comprehensively support the performance of its functions, structured as follows:

- 1. **Nomination and Remuneration Committee**
- 2. **Audit Committee**
- 3. **Executive Management Committee**

The following is a summary of the functions, responsibilities, number of meetings, meetings’ schedules and attendance records of their members.

Nomination and Remuneration Committee

The main function of the Nomination and Remuneration Committee is to determine policies and procedures related to the nomination of the Board members, the Committees members, and the Executive Team members, and to determine policies and procedures related to their remunerations. The functions of the Committee are as follows.

(A) Nominations:

1. Suggest clear policies and standards for membership of the Board and its Committees.
2. Set procedures to be followed if the position of a member of the Board becomes vacant.
3. Support the Board in filling vacant positions on the Company’s Board or Committees, including the CEO position.
4. Follow sound nomination practices to improve the quality of recruitment.
5. Supervise the appointment, performance assessment and dismissal of Senior Executives.
6. Ensure that an effective business model and an effective and high-level organizational structure are in place.
7. Oversee the development of succession plans for the Board and Executive Management; set clear plans and study challenges and risks associated therewith; while taking into consideration the candidates’ skills, knowledge, experience, independence and background diversity. The succession planning program shall be studied at least annually and reports thereon shall be submitted to the Board.

8. Prepare a description of the qualifications required for membership of the Board positions, and determine the amount of time that the member must allocate to the activities and functions of the Board.
9. Determine the expected roles to be discharged by the Board Committees and Board members.
10. Maintain a record of the skills and qualifications of each member of the Board and Board Committees that will qualify them for such roles in order to ensure their ability to fulfil the responsibilities and tasks assigned thereto.
11. Review the structure and formation of the Board and the Executive Management and provide recommendations regarding changes that may be made.
12. Provide an assessment tool that enables the Chairman of the Board to evaluate the performance of the Board members year-on-year, according to a set of skills required for such members.

(B) Remuneration:

1. Draw clear policies regarding the remunerations of the Board members, Board Committee members and Senior Executives (CEO, Deputy CEO, CFO and COO) and submit the same to the Board for approval and signature.
2. Review the remuneration policy and compare it with the remuneration policies adopted by other similar companies. The Committee may seek the expertise of an external consultant to ensure appropriate remuneration plans are in place. The Committee shall also seek to attract, motivate, reward and retain members of high integrity and superior ability who are focused on enhancing long-term Shareholder value.
3. Review and clarify the relation between remunerations being paid and the applicable remuneration policy and highlight any material deviation from that policy. Board approval is required for any exceptions in this regard.
4. Provide recommendations to the Board in respect of the remuneration of its members, the Committees members and Executive Management, among others, in accordance with the approved policy.

5. Periodically review grades and salary ranges adopted by the Company to ensure that internal and external propriety risks are preserved at all times.
6. Recommend to the Board total amounts and annual cash rewards, the Employee Stock Purchase Plan (ESPP), and proportions of their allocation and distribution among the Company’s employees and Executive Management.
7. Determine a balanced and appropriate ratio between fixed, performance-related, immediate and future bonuses.

Nomination and Remuneration Committee Members and Meeting Details 2025

Name	Member Position	Type of Membership	Attendance Record					Total
			First Meeting 09/04	Second Meeting 01/07	Third Meeting 31 /07	Fourth Meeting 01 /10	Fifth Meeting 08 /12	
Massimo Ambrosio	Committee Chairman	Independent	✓	✓	✓	✓	✓	5
Abdullah Ahmed Al-Shehri	Member	Non-Executive	✓	✓	✓	✓	✓	5
Rakan Abdullah Abunayyan	Member	Non-Executive	✓	✓	✓	✓	✓	5
Ahmed Nasr Al-Homoud	Member	Independent	✓	✓	✓	✓	✓	5
Eng. Ahmed Musfer Al-Ghamdi	Member	Independent	✓	✓	✓	✓	✓	5

*To view the biographies of the Committee members, you can explore it as part of the Company’s offering prospectus.

Board Committees (Continued)

Audit Committee

The main function of the Audit Committee is to verify the adequacy and effective implementation of the internal control system and to make any recommendations to the Board that would actuate and develop the system to achieve the Company's objectives. The functions of the Committee are as follows.

A. Financial Statements

- Oversee the arrangements for the completion of the year-end financial statements and compare them to the financial audit plan of the External Auditor (specifically proposed audit scope and approach), including coordination of the financial statements' audit work with the Internal Auditor.
- Review the audited financial statements covering the External Auditor, and recommend improving the internal controls and any other significant audit findings to the Board. Review the External Auditor's comments on the financial statements and monitor the actions taken regarding them.
- Review the interim and annual financial statements prior to presenting them to the Board. In addition, the Auditor must study any significant and extraordinary matter included in the financial statements.
- Review with the Management and the External Auditor the effect of regulatory and accounting initiatives on First Milling Company's financial statements, and check the accounting estimates in significant and material matters mentioned in the financial statements.
- Regularly report to the Board any issues that arise with respect to the quality or integrity of the Company's financial statements, compliance with legal or regulatory requirements, and the performance and independence of the External Auditor.
- Prepare and present an annual report to Shareholders that includes the structure and responsibilities of the Committee and any other information required, including its approval of services outside the scope of reviewing the financial statements.

- Review the Company's interim and annual financial statements, including the impact of any unusual items.
- At the request of the Board, provide an opinion as to whether the Board's report and financial statements are fair, balanced, and understandable and include information that allows Shareholders and investors to evaluate the Company's financial position, performance, business model and strategy.

B. Auditors

- On an annual basis, recommend to the Board the appointment, dismissal and remuneration of the Company's External Auditors as well as report their independence and any other relevant matter.
- Review and confirm the independence of External Auditors by obtaining statements from the External Auditors on relationships between the External Auditors and the Company, including non-audit services, and discuss the relationships with the External Auditors.
- Review External Auditor's reports; work with and support the External Auditors where practical and provide an alternative communication link between External Auditors and the Board as and when needed; and review the actions taken in relation to what the External Auditors report included.
- Annually review and evaluate the External Auditor's qualifications, performance, independence, objectivity, fairness and effectiveness of the annual audit activities, including a review and evaluation of the lead partner, taking into account the opinions of the Company Management and External Auditors, and present its conclusions to the Board. The Audit Committee shall assure the regular rotation of the External Auditor as required under applicable laws and shall consider the regular rotation of the lead audit partner to assure continuing independence that should be present.
- Review the terms, specifications and remunerations and provide feedback regarding any special audit or consultancy assignment performed by the External Auditors.

- On a regular basis, meet with the External Auditors to discuss specific matters in private or to discuss any other matters that the Auditors deem necessary to discuss in private and in confidential manner.
- At least once per year, review the performance of the Internal Auditor and concur on the annual compensation and salary adjustment, if required.
- Review the findings of any examinations done by regulatory authorities or any Auditor observations, and verify that the Company has taken necessary measures in this regard.

C. Internal Audit

- With the Company's Management and Internal and External Auditors, review the Company's general policies and procedures to reasonably assure the adequacy of financial accounting principles and practices applied by the Company.
- Monitor and oversee the performance and activities of the Internal Auditor and the Internal Audit Department in the Company to ensure the availability of the necessary resources and their effectiveness in performing the tasks assigned to them.
- Review and analyze the internal control system and prepare a report about the adequacy of the Company's internal control system and other activities that it conducts within its competence. The Board shall make available sufficient copies of said report at the Company's Head Office at least 21 (twenty one) days prior to the date set for the General Assembly meeting in order to provide each Shareholder with a copy of said report.
- Ensure that First Milling Company formally sets the purpose, authority and responsibility of the Internal Audit Department to provide and preview the ongoing assessments of the Company's operations and internal control system in coordination with the Executive Management and the Audit Committee.

- Study and review First Milling Company's internal control system and prepare a written report on its opinion regarding the adequacy thereof and other activities that it conducted within its competence. The Board shall make available sufficient copies of said report at First Milling Company's Head Office at least 21 (twenty one) days prior to the date set for the General Assembly meeting in order to provide each Shareholder with a copy of said report, which shall be read during the Assembly.
- Recommend to the Board annual remuneration, performance appraisal and salary adjustment of the Chief Audit Executive in line with the Company's compensation and benefits policy.
- Recommend to the Chairman of the Board the appointment and dismissal of the Chief Audit Executive.
- Oversee the Internal Audit Department and review its charter, scope, efficiency, independence, objectivity, performance and work plan. Review with the Chief Audit Executive the results of the internal audit on a quarterly basis, or as deemed necessary, and view periodical and annual internal audit reports.
- Review the summary of all internal audit reports, including the Management replies and comments and the exceptions noted, and pursue the implementation of corrective measures and procedures.
- Supervise the Company's Internal Audit Department to ensure its effectiveness in executing activities and duties specified by the Board.
- Review and concur on the appointment, replacement or dismissal of the Chief Audit Executive and ensure there are no unjustified restrictions or limitations.
- Review the effectiveness of the Internal Audit Department, including compliance with the Institute of Internal Auditors' International Standards for the Professional Practice of Internal Auditing.
- On a regular basis, meet separately with the Head of the Internal Audit Department to discuss any matters that should be discussed privately.

Board Committees (Continued)

- The Head of the Internal Audit Department shall submit to the Board an annual report that includes the views of the Audit Committee.
- Study and review the internal and financial controls and risk management systems of the Company.
- Review the effectiveness of the internal control system for monitoring and the extent of compliance with laws and regulations, and the results of investigations and follow up (including any disciplinary action) on any instances of non-compliance.
- Have the final authority to review and approve the annual audit plan and all major changes to the plan.
- Assess the matters that fall within its purview and those referred to the Committee by the Board and communicate its recommendations to the Board to issue decisions in connection therewith. The Audit Committee shall make decisions in regard to these matters if delegated by the Board and liable for said decisions.
- Review any other reports issued by the Company related to the Committee's responsibilities.
- Perform other related activities as requested by the Board.
- Review with the Management the status of zakat returns and tax issues.
- Evaluate the Audit Committee's and its members' performance on a regular basis.

D. Risk Management

- Consider any significant findings and recommendations made by the External Auditors and the Internal Audit Department, as well as the Management responses thereto, including consideration of the schedule for implementing recommendations to correct identified weaknesses in security controls and systems, including any significant risks related to key controls.
- Review coordination audit efforts between the Internal Auditor and the External Auditors to ensure the audit includes the main systems controls and risk areas related to IT controls.
- Oversee the Company's risk management framework.

- Support the Board in setting up and monitoring key risk indicators (KRIs) and related threshold levels and regularly review them in light of the Company's risk tolerance.
- Ensure the adoption of a written and comprehensive strategy, policies and procedures for risk management, commensurate in line with the size of the Company's activities, its complexity, structure, business model and risks to which it is exposed, and verify the implementation of said strategy, policies and procedures.
- Ensure the Company's risk management framework is assessed and reviewed annually, or as needed, to ensure that risk management practices, design and outputs are up-to-date and reflect the status quo of the Company.
- Establish an organizational structure for risk management, delegate responsibilities, update them when needed and submit recommendations regarding the same and present them to the Board for approval.
- Ensure the availability of adequate risk management resources and systems.
- Verify the independence of the Risk Management Team from activities that may expose the Company to risk.
- Develop a common language for dealing with risks to ensure all Stakeholders in the Company have an understanding of the common terminology related to risks.
- Ensure continuous communication with all the Company's Stakeholders and conduct a critical assessment of the Company's business strategies and plans from a risk perspective.
- Oversee the implementation and periodical review of risk management processes and ensure the effectiveness of procedures used by the Company to identify, analyze, evaluate and treat risks.
- Review the Company's business continuity plan.
- Provide administrative oversight of all prudential reviews and follow up on any administrative procedures required on the relevant areas of business, as well as ensure there is room for a more comprehensive and broader analysis of future risks, taking into account all trends.
- Refer significant and emerging risks to the Board for consideration as appropriate.

- Prepare detailed reports on the exposure to risks and the recommended measures to manage such risks and present them to the Board.
- The Audit Committee has the power to appoint an independent lawyer and other advisors, as it deems necessary, to perform its functions.
- Establish procedures for the receipt, retention and handling of complaints received by the Company regarding accounting, internal accounting controls or auditing matters, including procedures for the submitting by Company employees of concerns regarding questionable accounting, auditing, or other suspect matters.
- The Audit Committee shall always be available to receive suggestions, questions or recommendations from the External Auditors, Internal Auditor and the Executive Management.

E. IT Systems Audit

- Review and consider the effectiveness of the Company's internal control and financial control systems, including the security and control of information technology systems.
- Consider the effectiveness or weaknesses of the Company's information security controls and system.
- Examine the status and adequacy of management information systems and other information technologies.

F. Compliance

- Review the process for communicating and publishing the Code of Business Conduct to the Company personnel, and for monitoring compliance therewith.
- Ensure First Milling Company's compliance with relevant laws, regulations, policies and instructions and report to the Board any issues in connection with what it deems necessary to take action on and providing recommendations as to the steps that should be taken.
- Review the contracts and proposed related party transactions and provide its recommendations to the Board in connection therewith.
- Obtain regular updates from the Management and the Company's general counsel/advisor regarding compliance matters.

- Raise issues to the Board where action is deemed necessary and make recommendations for the actions to be taken.
- Follow up on material, financial, ethical or legal violations and any grave violations of the Company's policies, regulatory provisions or Professional Code of Ethics violations, as highlighted by the Internal Auditor or any other employee.
- Oversee and direct any special investigations, as needed, concerning matters relating to the Company's financial statements, internal controls, compliance with laws or business ethics.
- Review with the Management and External Auditors, all significant issues within the scope of the Committee's Charter, including any changes in accounting principles, prior to any decision being reached on reporting and practices to be followed by the Company, and report thereon to the Board.
- Prepare and publish its annual report to the Board and the General Assembly of Shareholders, as well as other reports required under relevant laws and regulations.
- Prepare periodic reports to the Board on the activities of the Audit Committee and related issues and submit its recommendations.
- Review and comment on significant additions or changes to existing policies and procedures adopted by the Management.
- Examine the adopted accounting policies and provide opinions and recommendations to the Board.
- Annually review and evaluate the adequacy of the Audit Committee's Charter and suggest the recommendation of the Board to facilitate its General Assembly approval of proposed changes and ensure appropriate disclosure, as required under laws and regulations.
- Confirm annually that all responsibilities outlined in this Charter have been carried out.
- Investigate any issues raised by the Company's CFO or whoever assumed the duties thereof, or the Company's Compliance Officer or External Auditor, etc.
- Respond to the queries of the Company's External Auditor.
- Periodically report to the Board.

Board Committees (Continued)

Audit Committee Members and Meeting Details 2025

Name	Member Position	Type of Membership	First Meeting 12/03	Second Meeting 21/04	Third Meeting 21/07	Fourth Meeting 23/10	Fifth Meeting 25/12	Total
Dr. Abdulrahman Sulaiman Al-Tariqi	Committee Chairman	Independent	✓	✓	✓	✓	✓	5
Bassem Muhammad Bandari	Member	Independent	✓	✓	X	✓	✓	4
Muhammad Abdullah Al-Wabel	Member	Independent	✓	X	✓	✓	✓	4
Murad Ahmed Al-Katib	Member	Independent	✓	✓	✓	✓	X	4

*To view the biographies of the Committee members, you can explore it as part of the Company's offering prospectus.

Executive Management Committee

The Board Executive Committee shall be composed of Non-Executive members of the Board, no fewer than three members and no more than five members. The Board shall appoint the Committee members, and the Committee shall include at least one Independent member. The Chairman of the Board shall be the Committee Chairman if appointed as a member thereof. The functions of the Committee are as follows.

- Assist the Board in fulfilling activities and functions delegated thereto by the Board, to facilitate the workflow of First Milling Company.
- Assist the Company Management in overcoming obstacles to the achievement of the Company's strategies, and ensure the Company is suitably qualified and has the necessary resources and capabilities to implement the strategy approved by the Board.
- Play an important role in planning and studying the Company's annual business, and the budget preparation process, ensuring alignment between business plans, budgets and the Company's vision, mission and strategy.
- Review the Company's annual budget and recommend it to the Board.

- Ensure the business complies with all legislative requirements and adheres to the highest standards of quality, safety and security.
- Assure the Board that the Company is adequately resourced and has the necessary capacity to meet its short, medium and long-term plans.
- Review and submit proposals to the Board regarding any acquisition or exit of shares in other companies.
- Assist the Board and Executive Management in forming or restructuring any joint venture or partnership, including associated expenses, upon approval of the Board.
- Recommend to the Board the establishment of branches, agencies, subsidiaries or new activities.
- Assess the capacity of the business partner in the projects carried out by the Company, if any.
- The CEO provides updates to the Committee regarding investment strategy and investment policies (subject to Board approval).
- Review capital investments and other new proposed ones to facilitate making investment-related decisions, compliance with investment policies and procedures, and refer to the Board for review and approval.

- Review and recommend the five-year business plans, operational plans, capital expenditure (CapEx) programs and other studies or plans that will have a significant impact on the Company's operations.
- Monitor the performance of consultants at First Milling Company (if any) on a regular basis and retain or terminate their services, as the Committee deems appropriate.
- May conduct an investigation or studies on investment issues in First Milling Company, in accordance with the Committee's scope and responsibilities.
- May appoint an independent consultant or other consultants, as the Committee deems necessary, to improve its performance.
- The Chairman of the Executive Management Committee may, after discussion with the Committee members, retain consultants appointed by the Committee to assist First Milling Company in carrying out its

- responsibilities, or terminate the contract with any of these consultants and terminate their services, as it deems appropriate.
- Discuss and make recommendations to the Board on any changes to the "Delegation of Authorities" and internal regulations.
- Discuss and advise the Board on initiating legal proceedings, pursuing judicial proceedings or settling high-risk cases for the Company.
- Review and approve the minutes of previous Committee meetings and follow up on the decisions taken and documented in the minutes of previous Committee meetings in order to ensure all points raised have been addressed.
- Develop an annual plan at the end of each year and a timetable for the Committee's activities in the following year. This shall include the Committee's regular meetings, meetings with the Management and other in light of the Committee's roles and responsibilities, as set out in this Charter.

Executive Management Committee Members and Meeting Details in 2025

Name	Member Position	Type of Membership	2025 meetings attendance record							Attendance Rate
			First Meeting 24/02	Second Meeting 17/04	Third Meeting 20/05	Fourth Meeting 27/05	Fifth Meeting 26/06	Sixth Meeting 07/10	Seventh Meeting 17/12	
Tariq Mutlaq Al-Mutlaq	Committee Chairman	Non-Executive	✓	✓	✓	✓	✓	✓	✓	7
Abdullah Ahmed Al-Shehri	Member	Non-Executive	✓	✓	✓	✓	✓	✓	✓	7
Murad Ahmed Al-Katib	Member	Independent	✓	✓	✓	✓	✓	✓	✓	7

*To view the biographies of the Committee members, you can explore it as part of the Company's offering prospectus.

Executive Management

Eng. Abdullah Abdulaziz Ababtain
Chief Executive Officer

Appointment Date
01/01/2017

Nationality
Saudi



Academic Qualification

- Master's degree, Business Administration, Sulaiman Al Rajhi University, Riyadh, 2021
- Bachelor's degree, Mechanical Engineering, Riyadh College of Technology (RCT), Mechanical Technology Department, Riyadh, 2012
- Certificate in Mill Technology, Operation and Maintenance, National Association of British & Irish Millers (NABIM), 1997

Current and Previous Positions

- Since 2013: member, Saudi Council of Engineers (SCE), a scientific professional authority, operating in the engineering sector
- Since 2012: member, International Association of Operative Millers (IOAM), an international organization, operating in the flour, grain and seeds sector, allied trades representatives and their related companies
- Since 2015: member, Education Committee of the International Association of Operative Millers (IOAM), an international

organization, operating in the flour, grain and seeds sector, allied trades representatives, and their related companies

- 2008-2014: Director, Operations and Maintenance, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sector
- 2012-2014: Manager, Project implementation, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sector
- 2015-2016: Deputy Governor, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sector
- 2009-2014: Chairman, Foreign Employees Interview Committee, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sector.
- 2000-2007: Member, Education Centre Committee, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sector

Michael Joachim Albers
Chief Operating Officer

Appointment Date
02/04/2022

Nationality
German



Academic Qualification

- Milling Technologist, Master in Milling, Deutsche Müllerschule Braunschweig (DMSB), Germany, 2010

Current and Previous Positions

- 2017-2022: Head, Training Centre, Buhler Group, a listed joint stock company, operating in the manufacturing machines used in various businesses sector

Alaaeldin Mohamed Shousha
Chief Financial Officer

Appointment Date
18/08/2024

Nationality
Egyptian



Academic Qualification

- Diploma, Accounting, Generally Accepted Accounting Principles (GAAP) - Financial Academy, Kraft Foods, 2006
- Bachelor's degree, Business Administration, Accounting, Helwan University, Cairo, Egypt, 1998

Current and Previous Positions

- January 2022-August 2024: CFO, Tasheel Holding Group, Jeddah
- April 2021-December 2021: General Manager, Strategy, Investments, Treasury and IT sectors, Sunbulah Group, Jeddah
- August 2015-March 2021: Executive Chief Financial Officer (CFO), Chief Information Officer (CIO), Sunbulah Group, Jeddah
- CFO, Mondelez International, Inc., Switzerland (2011-2015)

Ahmed Abdul Razzaq Al-Zahrani
Chief Sales Officer

Appointment Date
01/07/2024

Nationality
Saudi



Academic Qualification

- Bachelor's degree, Agricultural Economics, King Saud University (KSU), KSA, 1995

Current and Previous Positions

- 2022-2024: General Manager, Sales and Distribution, Head Office, First Milling Company, a closed joint stock company, operating in the food and feed sectors
- 2022: General Manager, Sales Sector, Arabian Mills Company
- 2017-2018: General Manager, Sales Sector, Afia Distribution Company, a Savola Foods Company
- 2009-2017: General Manager, Sales Sector, Gandour Company, Maha Ahmed Al Juffali Establishment

Executive Management (Continued)

Ibrahim Ghormallah Al-Ghamdi
Chief Marketing Officer

Appointment Date
01/09/2024

Nationality
Saudi



Academic Qualification

- Master of Science degree, Marketing, University College Dublin (UCD), Ireland, 2013
- Bachelor's degree, Business Administration, Arab Open University (AOU), 2010

Current and Previous Positions

- December 2021-August 2024: General Manager, Marketing, First Milling Company
- April 2021-November 2021: Marketing Manager, Baja Company.
- July 2019-March 2021: Manager, Marketing, Saudi Goody Products Marketing Company
- May 2014-June 2019: Brand Manager, Savola Foods Company

Thamir Mohammed Al-Sheikh
Chief Human Capital Officer

Appointment Date
01/01/2017

Nationality
Saudi



Academic Qualification

- Master's degree, Business Administration, Alfaisal University, Jeddah, 2023
- Bachelor's degree, Arts and Humanities, King Abdulaziz University (KAU), KSA, 2011
- Diploma in Mechanical Technology and Production, Jeddah College of Technology (JCT), KSA, 2001
- Certified Professional, Human Resources (SHRM), American Human Resources Association (AHRA), KSA, 2022

Current and Previous Positions

- 2025 - Present: Member of the Managers Committee overseeing the management and operations of First Milling Company's subsidiaries
- 2025 - Present: Board member, First National Company (FNRCO), a closed joint stock company
- 2025 - Present: Chairman, Nomination and Remuneration Committee, First National Company (FNRCO)
- 2021-2021: Member, Management Team, participating in the Executive Committee for Business Development, First Milling Company,

a closed joint stock company, operating in the food and feed sectors

- 2018-2020: Director, Human Resources, Headquarters of First Milling Company, a closed joint stock company, operating in the food and feed sectors
- 2017-2018: Head, Human Resources Department, Jeddah Plant, First Milling Company, a branch of a closed joint stock company, operating in the food and feed sectors
- 2014-2016: Head, Maintenance Department, Liaison Officer, Jeddah Plant, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sectors
- 2010-2013: Maintenance Supervisor, Jeddah Plant, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sectors
- 2010-2012: Chairman, Internal and External Procurement Committee, Jeddah Plant, General Food Security Authority (GFSA), a governmental authority, operating in the mills and feed sectors

Remuneration and Compensation Disclosure

Remuneration of Board Members, Committee Members and Senior Executives

Remuneration of Board Members

Name	Position	Annual remuneration (ﷲ)
Tariq Mutlaq Al-Mutlaq	Chairman of the Board	400,000
Abdullah Ahmed Al-Shehri	Vice Chairman	280,000
Rakan Abdullah Abunayyan	Board member	280,000
Essa Abdulla Al-Ghurair	Board member	280,000
Eng. Ahmed Musfer Al-Ghamdi ¹	Board member	85,000
Massimo Ambrosio	Board member	340,000
Murad Ahmed Al-Katib	Board member	340,000
Yazeed Abdullah Al-Othman ²	Board member	255,000

1) Appointed by a decision of the Board of Directors dated on 01/10/2025. Please note that this appointment is not yet officially approved and will be formalized during the Extraordinary General Meeting (EGM).

2) Resigned on 30/09/2025.

Remuneration of Committee Members

Name	Position	Annual remuneration (ﷲ)
Nomination and Remuneration Committee Members		
Massimo Ambrosio	Committee Chairman	220,000
Abdullah Ahmed Al-Shehri	Member	124,000
Rakan Abdullah Abunayyan	Member	124,000
Ahmed Nasr Al-Homoud	Member	160,000
Eng. Ahmed Musfer Al-Ghamdi	Member	160,000
Audit Committee Members		
Abdulrahman Sulaiman Al-Tariqi	Committee Chairman	270,000
Bassem Muhammad Bandari	Member	202,000
Muhammad Abdullah Al-Wabel	Member	202,000
Murad Ahmed Al-Katib	Member	170,000
Executive Committee Members		
Tariq Mutlaq Al-Mutlaq	Chairman of the Board	220,000
Abudllah Ahmed Al-Shehri	Member	124,000
Murad Ahmed Al-Katib	Member	124,000
Advisor to the Executive Committee		
Talal K. El Khalil	Advisor	125,000

Remuneration of Senior Executives

	(ﷲ)
Remuneration paid to top five Senior Executives, including the CEO and CFO	10,473,349.48

Financial Position and Funding

Transactions with Related Parties

Related Party	Nature of Contract	Type of Relation with the Company	Key Contract Terms	Amount of Transactions (ﷲ)	Closing Balance
Almutlaq Group Industrial Investment Company	Expenses incurred on behalf of the Company	Shareholder	Reimbursement at actual cost	82,733.87	85,868

Statutory Payments

Annual Remuneration			Paid (ﷲ)	Due until the End of Financial Period and Unpaid (ﷲ)
Value Added Tax (VAT)			86,801,310.64	3,548,915.41
General Organization for Social Insurance (GOSI)			6,894,512.56	294,757.76
Zakat			6,172,425.72	6,978,402
Withholding Tax			1,466,284.73	58,052.35
Labor Office fees			985,400	Full payment made
Visa and passport costs			598,940.99	Full payment made

Penalties, Sanctions and Legal Cases

Violation Type	Violation Issuer	Violation year	Date of Decision Publication	Financial Impact in 2024	Violation Cause	Final Amount of Violation (ﷲ)	Violation Processing
Financial fine	GFSA	2024	Not yet approved	Remains unresolved	Non-compliance with regulations and bylaws of the Flour Production Milling Law	2,000,000	The Company exercises its right to object to the statement of claim, and the matter remains under review by the competent authorities.

First Milling Company respects all aforementioned decisions and reaffirms its full commitment to all regulations and bylaws issued by the regulatory authorities to preserve the rights of its Shareholders and customers. The Company consistently looks forward to progressing toward achieving its vision of being the premier choice and preferred partner in the food and feed sectors and the trusted source of vital products for the region's markets and communities.

Loans

Detailed statement of Company's total loan value for the last three years (ﷲ)

Description/Year	2025	2024	2023
Long-term loans	778,488,902	848,270,768	936,386,086
Current portion of long-term loans	122,262,474	162,367,151	107,722,374
Short-term loans	40,000,000	—	—
Total	940,751,376	1,010,637,919	1,044,108,460

Detailed statement of loans payable to banks as of 31 December 2025

	Lending entity	Loan principal (ﷲ)	Loan tenor	Paid amounts during the year (ﷲ)	Disbursed amounts during the year (ﷲ)	Loan balance, as of the end of the year (ﷲ)
1	Alinma Bank	1,300,000,000	15 years	92,697,205.44	0	785,054,580.02
2	Saudi Industrial Development Fund (SIDF)	150,000,000	2 years	75,000,000	0	75,000,000
3	SAB	80,000,000	3 months	80,000,000	0	0
4	SAB	40,000,000	3 months	0	0	40,000,000
5	SAB	54,600,000	5 years	0	0	54,600,000

Financial Position and Funding (Continued)

Development of the Company's Financial Statements in five Years

Summary of the Company's financial statements in the last five years

Income Statement (Rp million)

Description	2021	2022	2023	2024	2025
Revenues	801.01	913.65	964.26	1,048.85	1,146.37
Cost of revenue	-469.54	-515.72	-551.12	-591.77	-664.17
Gross profit	331.47	397.93	413.14	457.09	482.20
General and administrative (G&A) expenses	-93.94	-102.34	-78.06	-81.88	-74.97
Selling and distribution expenses	-17.76	-39.30	-47.76	-55.57	-67.82
Operating profit	213.30	255.61	286.96	318.48	339.72
Profit before zakat	203.22	223.71	226.21	257.05	284.75
Zakat expense	-4.74	-6.22	-6.00	-6.14	-6.98
Net profit	198.48	217.48	220.21	250.90	277.40
Earnings per share (Rp)	3.96	4.33	3.97	4.53	4.99

Statement of Financial Position (Rp million)

Description	2021	2022	2023	2024	2025
Current assets	298.65	415.11	379.71	403.76	338.53
Non-current assets	857.77	2,011.24	2,091.01	2,091.77	2,260.41
Total assets	1,156.42	2,426.35	2,470.72	2,495.53	2,598.94
Current liabilities	154.30	337.44	289.36	360.67	397.17
Non-current liabilities	336.93	1,337.95	1,289.22	1,189.81	1,130.45
Total liabilities	491.23	1,675.39	1,578.58	1,550.48	1,527.62
Equity	665.19	750.96	892.14	945.05	1,071.31
Total liabilities and equity	1,156.42	2,426.35	2,470.72	2,495.53	2,598.94
Cash and cash equivalents (CCE)	157.48	215.33	192.11	192.54	93.31
Total loans	0.00	1,170.67	1,044.11	1,010.64	940.75

Cash Flow Statement (Rp million)

Description	2021	2022	2023	2024	2025
Net cash from operating activities	303.22	232.48	307.51	305.94	342.10
Cash flow from investing activities (CFI)	-38.69	-37.10	-119.40	-56.11	-184.17
Cash flow from financing activities (CFF)	-625.80	-219.08	-211.33	-249.39	-258.24

Key Financial Ratios and Indicators

Liquidity Ratios

Description	2021	2022	2023	2024	2025
Working capital (Rp million)	144.35	77.67	90.35	43.09	-58.64
Current ratio (%)	193.55	123.02	131.22	111.95	85.23
Cash ratio (%)	102.06	63.81	66.39	53.38	23.49
Equity ratio (%)	57.52	30.95	36.11	37.87	41.22

Debt Ratio

Description	2021	2022	2023	2024	2025
Total debt ratio (%)	42.48	69.05	63.89	62.13	58.78
Total asset to equity ratio (Times)	1.74	3.23	2.77	2.64	2.43
Total liabilities to equity ratio (%)	73.85	223.10	176.94	164.06	142.59
Total debt to total assets ratio (%)	0.00	48.25	42.26	40.50	36.30

Profitability Ratios

Description	2020	2021	2022	2023	2024	2025
Gross profit margin (%)	36.09	41.38	43.55	42.85	43.58	42.06
Net profit margin (%)	26.63	24.78	23.80	22.84	23.92	24.20
Return on assets (ROA) (%)	12.87	17.16	8.96	8.91	10.05	10.72
Return on equity (ROE) (%)	17.64	29.84	28.96	24.68	26.55	25.98

Annual Change in Main Items of the Income Statement

Most prominent items	2025 (Rp million)	2024 (Rp million)	Change (2025 vs 2024)	Change (%) (2025 vs 2024)
Revenues	1,146.37	1,048.85	97.52	9.3%
Cost of revenue	-664.17	-591.77	72.40	12.2%
Gross profit	482.20	457.09	25.12	5.5%
Operational profit	339.72	318.48	21.24	6.7%
Net profit	277.44	250.90	26.54	10.6%
Earnings per share (Rp)	4.99	4.53	0.46	10.2%

Financial Position and Funding (Continued)

Annual Change in Main Items of the Statement of Financial Position

Key items	2025 (S million)	2024 (S million)	Change (2025 vs 2024)	Change (%) (2025 vs 2024)
Current assets	338.53	403.76	-65.23	-16.16%
Non-current assets	2,260.41	2,091.78	168.63	8.06%
Total assets	2,598.94	2,495.53	103.41	4.14%
Current liabilities	397.17	360.67	36.50	10.12%
Non-current liabilities	1,130.45	1,189.81	-59.36	-4.99%
Total liabilities	1,527.62	1,550.48	-22.86	-1.47%
Equity	1,071.31	945.05	126.26	13.36%
Total liabilities and equity	2,598.94	2,495.53	103.41	4.14%

Capital Structure and Market Information

Treasury Shares

Number of Held Treasury Shares	Share Value (S)	Retention Date	Utilization Details
Number of purchased shares is 300,000 (representing 0.54% of the Company's shares)	Value of Treasury purchased shares S 25,362,390 (as per average purchase price)	Date 04/11/1445H corresponding to 12/05/2024	The shares are allocated for employee Stock Purchase Plan (ESPP) and do not accrue any dividends during the period they are held by the Company. Furthermore, the purchased shares shall not have the right to vote in the Company's General Assemblies of Shareholders.
Average share purchase price	S 84.5413		

First Mills and its Subsidiaries

Name of Subsidiary	Country of Incorporation	Business Activity	Effective Ownership Interest 2025	Share Capital (S)	Number of Shares Issued
First Food Supply Co. Ltd.	Jeddah, Kingdom of Saudi Arabia	Distribution and manufacturing for food products	100%	100,000	100
Al-Manar Feed Company	Jeddah, Kingdom of Saudi Arabia	Feed production	100%	8,200,000	8,200,000
Al-Kenan Al-Arabia Trading Company, a single-person limited liability company	buriydah, Kingdom of Saudi Arabia	Trading and distribution of feed products	60%	100,000	10



Shareholders and Investor Relations

Shareholders General Assemblies and Board Members Attendance Record

Board Members’ Attendance Record at General Assemblies in 2025

Name	Position	Ordinary General Assembly First Meeting 24/06/2025
Tariq Mutlaq Al-Mutlaq	Chairman of the Board	x
Abdullah Ahmed Al-Shehri	Vice Chairman	✓
Rakan Abdullah Abunayyan	Board member	✓
Essa Abdulla Al-Ghurair	Board member	✓
Massimo Ambrosio	Board member	✓
Murad Ahmed Al-Katib	Board member	✓
Yazeed Abdullah Al-Othman	Board member	✓
Total		6

Items and Agenda for the First Meeting

At the Ordinary General Assembly Meeting that was held on Tuesday 24/06/2025 corresponding to 28/12/1446H, Voting Results on the Agenda Items:

1. Approval of the External Auditor’s Report for the fiscal year ended 31/12/2024, after discussing it.

2. The Company’s financial statements for the fiscal year ended 31/12/2024, were reviewed and discussed.

3. The Board of Directors Report for the fiscal year ended 31/12/2024 was reviewed and discussed.

4. Approval on the authorization of the Board of Directors to distribute interim dividends on a semi-annual basis for the financial year ended 31/12/2025.

5. Approval of the discharge of the Board of Directors members for the fiscal year ended 31/12/2024.

6. Approval on the payment of ﷲ 3,085,000 as remuneration to the Board and committee members for the fiscal year ended 31/12/2024.

7. Approval of the appointing of KPMG as an independent auditor for the Company from among the candidates based on the Audit Committee’s recommendation, to review and audit the financial statements for the second, third quarters and the annual financial statements for the fiscal year 2025, as well as the first quarter for the fiscal year 2026, and the total fees of ﷲ 1,155,500.
8. Approval of the business and contracts that have been conducted between the Company and Almutlaq Group Industrial Investment Company, in which Mr. Tariq Mutlaq Al-Mutlaq has an indirect interest in it, which is an expense incurred on behalf of the company, the contract amount is ﷲ 446,619. This approval is valid for one calendar year, renewable annually upon General Assembly approval, without conditions or preferential terms.

9. Approval of the business and contracts that have been concluded between the Company and Ehata Financial Company, in which Mr. Rakan Abdullah Abunayyan has an indirect interest in it, which is financial advisory, the contract amounted ﷲ 36,800. This approval is valid for one calendar year, renewable annually upon General Assembly approval, without conditions or preferential terms.

10. Approval of the business and contracts that have been concluded between the Company and Al Safi Danone Company, in which Mr. Abdullah Ahmed Al-Shehri has an indirect interest in it, which is sales of bran, the contract amounted ﷲ 4,439,337. This approval is valid for one calendar year, renewable annually upon General Assembly approval, without conditions or preferential terms.

11. Approval of the business and contracts that have been concluded between the Company and Al Ghurair Resources, in which Mr. Essa Abdulla Al-Ghurair has an indirect interest in it, which is supply of feed ingredients, the contract amounted ﷲ 25,261,257. This approval is valid for one calendar year, renewable annually upon General Assembly approval, without conditions or preferential terms.

12. Approval of the delegating to the Board of Directors the authorization powers of the Ordinary General Assembly stipulated in paragraph (1) of Article 27 of the Companies Law, for a period of one year starting from the date of the approval by the General Assembly or until the end of the delegated Board of Directors’ term, whichever is earlier, in accordance with the conditions set forth in the Implementing Regulation of the Companies Law for Listed Joint Stock Companies.

13. Approval of the amendment of Appendix 9 of the Corporate Governance Manual relating to (Remuneration Policy).

14. Approval of the addition of Appendix 12 of the Corporate Governance Manual relating to (Board Membership Policy).

15. Approval on the transfer of ﷲ 25,090,172 from the Retained Earnings Account to the General Reserve of the Company.

Shareholders

First Milling Company is committed to protecting the rights of its Shareholders and fostering a sound and constructive relationship with them by providing timely and appropriate information. Ensuring transparency and clarity in information disclosure without modification or delay is paramount, as the Company believes that Shareholders are the cornerstone of its success. The Board must act in a manner that realizes Shareholders’ interests and protects their rights, in accordance with the Companies Law, other laws and regulations issued by CMA, and the Company’s Bylaws.

The Company has intensified its efforts in communicating with Shareholders through various means of communication, in an official manner and by quarterly calls. Furthermore, in cooperation with the Investor Relations (IR) Department, the Executive Management is planning to start

in attending various investment conferences, in addition to holding meetings with investment managers and market and sector financial analysts from inside the Kingdom and abroad. It would be of worth here to note that IR Department welcomes holding meetings in the Company HQ in Jeddah or organizing visits to the Company’s sites and plants.

Mechanisms and Methods Adopted by the Company to Protect and Enhance Shareholder Rights

The Board’s commitment to provide complete, clear and accurate information that would enable Shareholders to fully exercise their rights while providing this information in a regularly updated and timely manner.

IR Team’s submit periodic reports to the Company management on its various activities and consistently kept them informed of Shareholder and investor opinions and inquiries, both through direct communication during conferences and meetings or via the dedicated email.

Holding quarterly earnings conferences and calls with investors following the announcement of quarterly financial results, providing a greater opportunity for investors and financial analysts to learn about all financial and operational updates related to those periods.

Activating IR program which focuses on providing timely and accurate information to all investors, local and international, to keep them informed of all changes and developments related to the Company’s projects and financial results.

Arranging a series of meetings at the Company’s plants by IR Team.

Communicating with Shareholders via various digital means of communication, to facilitate access to information and respond to inquiries.

Providing opportunities to hold meetings and calls with investors and analysts.

Participating in local and international investor conferences, thereby enhancing the Company’s communication with its investors.

Shareholders and Investor Relations (Continued)

Substantial Shareholders at the End of 2025

Owner	Ownership as of 31/12/2025
Almutlaq Group for Industrial Investment Company	30%
Abdullah Abunayyan Trading Corp.	21%
Al Safi Advanced Investment	12%
Essa Al Ghurair Investment	7%
Public	30%
Total	100%

Foreign Ownership

The following table shows the change in the actual percentage of foreign ownership in the Company as of 31/12/2025, compared to the end of 2024, noting that the maximum possible percentage of foreign investors’ ownership at First Milling Company is 49%.

As of 31/12/2025	As of 31/12/2024
2.68%	2.89%

First Milling Stock Performance in 2025

Stock closing price as of 31/12/2025	﷼ 49.00
Highest stock price of the year as of 26/02/2025	﷼ 64.40
Highest stock closing price of the year as of 26/02/2025	﷼ 63.50
Lowest stock price of the year as of 17/12/2025	﷼ 46.10
Lowest stock closing price of the year as of 17/12/2025	﷼ 46.18

Company’s Shareholder Register Requests

Date of Request	Reasons for Request
01/01/2025	For Company’s reporting and internal procedures
02/01/2025	For Company’s reporting and internal procedures
06/02/2025	For Company’s reporting and internal procedures
09/04/2025	For reasons related to accrued dividends
11/06/2025	For General Assembly Meeting procedures
05/08/2025	For reasons related to accrued dividends
18/09/2025	For Company’s reporting and internal procedures
21/09/2025	For Company’s reporting and internal procedures
26/10/2025	For Company’s reporting and internal procedures
30/11/2025	For Company’s reporting and internal procedures

Disclosure and Transparency

The Company’s Disclosure Policy mandates the manner and through acknowledged methods. This commitment to disclose all substantial decisions and information to investors through the Tadawul website and the Investor Relations section of the Company’s website in order to achieve the principles of transparency and fairness. Hence, the Company is fully committed to implement all policies and procedures related to the disclosure of financial statements and performance reports by virtue of the applicable legal requirements, regulatory regulations and instructions issued by the competent authorities.

The Company’s commitment to the Disclosure Policy aims to reinforce Shareholders rights protection and achieve fairness by providing all Shareholders with equal opportunities to access information in a timely manner and through acknowledged methods.

This policy ensures that Shareholders and investors have complete access to any other significant developments that may affect the Company’s financial position and business operations without compromising its competitive edge. The Company provides details on its performance, activities and business all over the year through its annual report and the General Assembly meetings.

First Milling Company is keen on regularly distributing dividends to its entitled Shareholders, and the Company constantly reminds its Shareholders of the importance of updating their personal information and linking their bank accounts to their portfolios in order to avoid any delay in distribution.

First Milling Company Financial Statements and Disclosures

Date of Announcement	Announcement Title
18/02/2025	First Milling Co. announces its estimated financial results for the period ending on 2024-12-31 (twelve months)
13/03/2025	First Milling Co. announces its annual financial results for the period ending on 2024-12-31
13/03/2025	First Milling Co. announces the Board of Directors’ decision to distribute cash dividends for second half of the year 2024
17/03/2025	First Milling Company announces hosting its virtual earnings conference call to Discuss the annual financial results/quarter fourth 2024 with financial analysts and investors
21/04/2025	First Milling Co. announces obtaining a banking shariah compliant facilities
24/04/2025	First Milling Co. announces its interim financial results for the period ending on 2025-03-31 (three months)
29/04/2025	First Milling Company announces hosting its virtual Q1 2025 earnings conference call to discuss the financial results with financial analysts and investors.
03/06/2025	First Milling Co. invites its shareholders to attend the Ordinary General Assembly Meeting (first meeting) through modern technology
11/06/2025	Addendum announcement from First Milling Company regarding invitation of its shareholders to attend the Ordinary General Assembly Meeting (first meeting) via modern technology.
18/06/2025	Correction announcement from First Milling Company regarding attending the Ordinary General Assembly Meeting (the first meeting)
19/06/2025	First Mills Company announces the signing of a financing agreement with Saudi Industrial Development Fund (SIDF)
25/06/2025	First Milling Co. announces the results of the Ordinary General Assembly Meeting (first meeting)

Disclosure and Transparency (Continued)

Date of Announcement	Announcement Title
13/07/2025	Clarification announcement from First Milling Company regarding the wheat supply agreement with the General Food Security Authority.
24/07/2025	First Milling Co. announces its interim financial results for the period ending on 2025-06-30 (six months)
24/07/2025	First Milling Co. announces the Board of Directors' decision to distribute cash dividends for first half of the year 2025
28/07/2025	First Milling Company announces hosting its cirtual Q2/H1 2025 earnings conference call to discuss the financial results with financial analysts and investors
12/08/2025	First Milling Company announces the completion of the acquisition procedures for Al-Manar Feed, a single-person limited liability company
04/09/2025	First Milling Company announces resignation of a Board member
16/09/2025	First Milling Company announces the signing of a Binding Agreement to acquire (60%) in share capital of Al-Kenan Al-Arabia Trading Company, a single-person limited liability company
01/10/2025	First Milling Company announces the appointment of a new Board member to fill a vacancy seat on the Board
28/10/2025	First Milling Co. announces its interim financial results for the period ending on 2025-09-30 (nine months)
28/10/2025	First Milling Co. announces the Board of Director's recommendation to purchase a number of its own shares to allocate them within the Employees' Stock Incentive Plan Long-Term
03/11/2025	First Milling Co. announces organizing a conference call to discuss the financial results for Q3/9M 2025 with investors and financial analysts
02/12/2025	First Milling Company announces the completion of the acquisition of a 60% stake in Al-Kenan Al-Arabia Trading Company
14/12/2025	First Milling Co. announces the Board of Directors' recommendation to increase the number of Board members
14/12/2025	First Milling Co. announces the opening of the nomination period for the Board of Directors' membership for a vacant seat in the current session

Shareholders' Suggestions and Feedback Regarding the Company and its Performance

Following measures are taken by First Milling Company Board to inform its members – especially Non-Executives – of the Shareholders' suggestions and feedback regarding the Company and its performance:

- Board members and Committee Chairmen attend the General Assembly meetings to keep abreast of the Shareholders' feedback and suggestions.
- Quarterly and annual meetings are held with investors and financial analysts to discuss the Company's financial results.

- The Company discussed its financial results. In addition, a dedicated Investor Relations (IR) section has been launched on both the Company's website and mobile application, available in Arabic and English, to facilitate effective communication with investors.
- The Company has a dedicated Investor Relations (IR) Department to keep the Board informed of Shareholder feedback and suggestions.
- It is noted that the Company has not received any proposals in this regard or any topics that Shareholders wish to include on the agenda during the General Assembly meetings.

Dividends Policy and Distributions

Distribution of Dividends

As per the Companies Law, each Shareholder is entitled to the rights associated with his shares, including the right to receive a portion of the declared dividends. The Board recommends the announcement of any dividend payments before they are approved by the Shareholders at the General Assembly meeting.

The Company's Board shall recommend the distribution of any dividends prior to the approval by the Shareholders at the General Assembly meeting. Any decision to distribute dividends depends on a number of factors, including the Company's past and expected profits, cash flows, financing and capital requirements, market conditions and economic factors in general, restrictions on the distribution of dividends under financing and debt agreements, zakat, as well as other legal and regulatory considerations.

Dividend Distribution Policy

The Company's annual net profits shall be distributed as follows:

- As per the Ordinary General Assembly resolution, upon determining the allocation of net profit to shares, a reserve of not more than 10% of profits shall be retained. The said Assembly may also deduct amounts from the net profits to achieve social purposes for the Company's employees.

- The Ordinary General Assembly may, based on a proposal from the Board, decide to disburse this reserve in a manner that benefits the Company or Shareholders in accordance with the controls stipulated in the Implementing Regulations of the Companies Law for Listed Joint Stock Companies.
- The General Assembly may, after deducting the reserve, distribute the remaining net profits to the Shareholders.
- The Ordinary General Assembly may authorize the Board to distribute interim dividends to the Shareholders.

Dividend Entitlement

Shareholders are entitled to their share of the profits in accordance with the General Assembly resolution in this regard. The resolution specifies the maturity date and the distribution date. Dividend entitlement shall be for the Shareholders registered in the Shareholder register at the end of the record date. The Board must implement the General Assembly's resolution regarding the distribution of dividends to Shareholders.

It would be of worth here to mention that the dividend distribution policy may change from time to time, as the Board may resolve, subject to the approval of the Ordinary General Assembly, to pay interim dividends to the Company's Shareholders.

The Company's dividends distribution per share

Year	Dividend per Share for first Half (﷼)	Dividend per Share for second Half (﷼)	Total (﷼)
2025	1.48	1.67	3.15
2024	1.55	1.29	2.84
2023	1.37	1.41	2.78

Total Dividends Distributed to Company Shareholders

Year	Total Distributions for first half of the Year (﷼)	Total Distributions for second half of the Year (﷼)	Total (﷼)
2025	81,696,000	92,184,000	173,880,000
2024	86,025,000	71,595,000	157,620,000
2023	76,035,000	78,255,000	154,290,000

Results of the Annual Review of the Company's Internal Control Procedures

Internal Control

The Board shall approve the internal control system for the Company in order to assess the policies and procedures relating to risk management, implementation of the provisions of the Company's governance rules approved by the Company, and compliance with the relevant laws and regulations. Such a system shall ensure compliance with clear accountability standards at all executive levels in the Company and that related party transactions are implemented in accordance with the relevant provisions and carried out.

In 2025, the Audit and Risk Committee oversaw the adequacy and effectiveness of the internal control environment at First Mills Company. In line with its mandate, several meetings were convened during 2025 with Executive Management, the Internal Auditor and External Auditors.

This report outlines the roles and responsibilities of the Audit and Risk Committee, the Committee formation, a summary of the meetings conducted, highlights key decisions, and presents the Committee's opinion on the internal control environment in the Company.

Roles and responsibilities of the Audit and Risk Committee

The Audit and Risk Committee's mandate ensures adherence to corporate governance principles and implementing the responsibilities delegated to it by the Board of Directors.

The Committee carried out its tasks through holding meetings, discussing relevant topics with the Executive Management, the Internal Auditor and the External Auditors.

Internal Audit and Risk Department Responsibility

- Supporting the Board of Directors in evaluating the adequacy and effectiveness of internal controls, financial and accounting practices, and information systems across the organization.

- Reviewing the work of the Management, the Internal and External Auditors, as well as the Company's financial policies, to ensure a sound and effective internal control system.
- Reviewing the applied accounting policies and standards including any changes or updates, and reporting the Committee's opinion and recommendations to the Board of Directors.
- Reviewing and discussing the financial statements the Executive Management and the External Auditors prior to submission to the Board, and providing opinions and recommendations to ensure transparency and accuracy.
- Recommending the appointment of External Auditors for the Company and their fees, and assessing their effectiveness against their peers.
- Reviewing the adequacy of compliance with the rules and regulations, including corporate governance guidelines, and reviewing the results of any investigation.
- Approving the Internal Audit Charter and the Internal Audit policies and procedures.

Auditing Processes

The auditing reports did not reveal any substantial weakness in the Company's internal controls regarding the financial statements. In fact, most feedback mainly focused on enhancing performance, boosting the work of various departments and sections, and raising the efficiency thereof, completing the authentication process for the sake of strengthening the control system and optimally using available resources.

Internal Auditor's Report

First Milling Company's Internal Audit Department has carried out a number of internal auditing processes during 2025, in accordance with the risk-based internal audit plan approved by the Audit Committee, with a special focus on the high-risk activities and processes in order to achieve the Company's objectives and protect its assets.

In this respect, a number of internal auditing processes have been carried out to determine the adequacy and efficiency of the internal control system. The results were then reported to the relevant departments in order to handle the same and lay down the necessary corrective measures, to follow up the implementation thereof and, in turn, regularly report the results to the Audit Committee.

Audit Committee Opinion

In light of the work performed by the Audit and Risk Committee during its meetings in 2025, the Committee reviewed the reports issued by the Internal Audit Department and met with the External Auditors. The Committee also followed up regularly with Executive Management to ensure actions were taken to resolve pending observations and to verify the implementation of the necessary controls to strengthen the internal control environment.

Based on the aforementioned and noting that no significant issues were observed with regards

to the integrity of the financial statements, the Committee concluded that the internal control environment provides a reasonable level of assurance regarding the adequacy and effectiveness of the control system. This is with the understanding that no internal control system can provide absolute assurance about the integrity and effectiveness of the internal control system, but rather its role is limited to providing reasonable assurance only. Additionally, there were no material discrepancies between the Audit and Risk Committee decisions and recommendations and the decisions of the Board of Directors.

The Audit and Risk Committee confirms the following:

- No findings have come to the Committee's attention that would lead it to believe there is a material deficiency in financial reporting which requires disclosure.
- All observations and recommendations raised by the Internal Audit Department were addressed with the necessary corrective actions.

Social Responsibility

Details of the Company’s Social Contributions

Area	Name	Month	First Mills Bakery 10 kg	First Mills Brown 10 kg	Total Amount
Al-Qassim	Al-Birr Association	February	2,310		16,170
Mecca	Namaa Charitable Society	March	1,000		7,000
Jeddah	Al-Qaswa Waqf	March	500		3,500
Jeddah	Waqaf Lamsuh Hanan Jeddah	March	500		3,500
Jeddah	Sanabel Al Khair	March	500		3,500
Al-Ahsa	Al-Jishah Charitable Society	March	300		2,100
Al-Qassim	King Abdulaziz Women’s Charitable Society	March	500		3,500
Al-Qassim	Al-Badaya Girl’s Association for Social Development (Ra’idah)	March	100	100	1,600
Tabuk	(King Abdulaziz Charitable Society) Afyaa Tabuk Volunteer	March	500		3,500
Jeddah	National Committee for the Care of Prisoners, Released Prisoners and Their Families	April	600		4,200
Tabuk	(King Abdulaziz Charitable Society) Afyaa Tabuk Volunteer	July	500		3,500
Jeddah	Waqaf Lamsuh Hanan Jeddah	August	300		2,100
Jeddah	Sanabel Al Khair	August	500		3,500
Jeddah	National Committee for the Care of Prisoners, Released Prisoners and Their Families	October	600		4,200
Jeddah	National Committee for the Care of Prisoners, Released Prisoners and Their Families	December	600		4,200
Jeddah	Waqaf Lamsuh Hanan Jeddah	December	500		3,500
Jeddah	National Center for the Development of the Non-Profit Sector	December	500		3,500
Total			10,310	100	73,070

Board Declarations

First Milling Company Board hereby declares that:

- The accounting records have been duly updated and prepared.
- The internal control system has been duly made and adequately implemented.
- The Board has no doubts about First Milling Company's ability to continue its activity.
- The consolidated financial statements for the fiscal year ended 31/12/2025 have been prepared in accordance with full IFRS-KSA and with other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants (SOCPA).
- No substantial events have occurred that affect the safety of the Company's financial position following the end of the fiscal year 2025 that need to be disclosed, other than the already available information declared earlier.
- The Company Board did not receive any request from the Auditors calling upon the General Assembly to convene in 2025.
- The Company Board did not receive a request from Shareholders holding (5%) or more of the Company capital claiming upon the General Assembly to convene in 2025.
- No measures have been taken obstructing the rights of Shareholders to vote.
- The Company did not report any normal or legal person who holds (5%) or more of the First Milling Company’s issued shares in 2025.
- The Company did not issue or grant any convertible debt instruments, option rights, subscription rights memos, or similar rights during 2025.
- The subsidiaries hold no equity shares or debt instruments.
- There is no redemption, purchase or cancellation by the Company of any redeemable debt instruments during 2025.
- No arrangements or agreements have been concluded, according to which any of the Company's Board members or Senior Executives have assigned any salaries or remunerations.
- No arrangements or agreements have been concluded, according to which any of the Company's Shareholders have assigned any of their rights in dividends.
- First Milling Company is not party to any agreement in which any of the Board members, CEO, CFO or any related person has had a substantial interest, save for what has been already disclosed in the General Assembly meeting.
- First Milling Company did not offer any cash loans whatsoever to any of its Board members and did not serve as a guarantor for any loan to any third party.
- No option rights or subscription rights are held by any of the Board members, Senior Executives, their spouses or minor children.
- First Milling Company’s External Auditor has expressed its opinion without reservations on the consolidated financial statements of 2025.
- No recommendations have been issued by the Audit Committee that conflict with the Board resolutions or which the Board did not accept regarding the Company’s Auditor appointment, dismissal, remuneration, performance appraisal or the appointment of the Internal Auditor.
- None of the Board members is/was exercising any business activities that are competitive to the Company business or any of the branches thereof.



FIRST **المطاحن**
MILLS **الأولى**

Financial Statements

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First Mills' financial performance is driven by operational efficiency, revenue stability, and a focus on delivering sustainable returns.

6



Independent Auditor’s Report

To the Shareholders of The First Milling Company



KPMG Professional Services Company
Zahrán Business Center
Prince Sultan Street
P. O. Box 55078
Jeddah 21534
Kingdom of Saudi Arabia
Commercial Registration No 4030290792

Headquarters in Riyadh

Opinion

We have audited the consolidated financial statements of The First Milling Company (“the Company”) and its subsidiaries (“the Group”), which comprise the consolidated statement of financial position as at 31 December 2025, the consolidated statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and notes to the consolidated financial statements, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS) that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (SOCPA).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), that is endorsed in the Kingdom of Saudi Arabia, as applicable to audits of the financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with the Code’s requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Independent Auditor’s Report

To the Shareholders of The First Milling Company

Revenue recognition

See note 28 to the consolidated financial statements.

The key audit matter	How the matter was addressed in our audit
During the year ended 31 December 2025, the Group recognized revenue from contract with customers of ﷼ 1,146 million (2024: ﷼ 1,049 million).	Our audit procedures performed included, among other audit procedures, the following:
Revenue from contract with customers is recognised at point in time when control over the goods is transferred to the customer on dispatch or delivery of the goods in accordance with applicable financial reporting framework.	- Assessed the appropriateness of the Group’s accounting policies for revenue recognition in line with the requirements of applicable financial reporting framework; - Obtained an understanding of the Group’s revenue process and assessed the design and implementation of the key controls over the recognition of revenue;
Revenue represents a significant balance in the consolidated financial statements and is one of the important measures of the Group’s operating performance. Given its size and volume of transactions, there is a risk that revenue may be misstated. Accordingly, it was considered as a key audit matter.	- Tested samples of sales transactions recorded during the year and inspected supporting documentation to assess whether revenue was recognized at the appropriate amounts; - Tested year-end sales cut-off on a sample basis to assess whether revenue was recognised in the correct accounting period; and - Assessed the adequacy of the revenue related disclosures in accordance with the requirements of applicable financial reporting framework included in the consolidated financial statements.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the consolidated financial statements and our auditor’s report thereon. The annual report is expected to be made available to us after the date of this auditor’s report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, when made available to us, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA, the applicable requirements of the Regulations for Companies and Company’s By-laws and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Independent Auditor's Report

To the Shareholders of The First Milling Company

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, the Board of Directors, are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. 'Reasonable assurance' is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, then we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Independent Auditor's Report

To the Shareholders of The First Milling Company

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit of **The First Milling Company ("the Company") and its subsidiaries ("the Group")**.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

KPMG Professional Services Company

Ebrahim Oboud Baeshen
Regional Managing Partner - Jeddah
License No. 382



Jeddah, 16 March 2026
Corresponding to 27 Ramadan 1447H

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Consolidated Statement of Financial Position

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

	Notes	31 December 2025	31 December 2024
Assets			
Goodwill	7	1,138,694,626	1,090,669,302
Property, plant and equipment	9	820,277,260	682,102,483
Right-of-use assets	10	288,097,198	299,543,613
Intangible assets	11.1	11,108,663	9,162,686
Margins against letter of guarantees - restricted	35	2,232,315	2,561,809
Derivative financial instrument	12	--	7,727,210
Non-current assets		2,260,410,062	2,091,767,103
Derivative financial instrument	12	7,928,860	19,422,922
Inventories	13.1	162,899,736	161,698,540
Trade receivables	14.1	40,319,907	18,562,782
Prepayments and other current assets	15	34,070,975	11,535,531
Cash and cash equivalents	16	93,307,099	192,540,441
Current assets		338,526,577	403,760,216
Total assets		2,598,936,639	2,495,527,319
Equity and liabilities			
Equity			
Share capital	17	555,000,000	555,000,000
Treasury shares	19.5	(25,318,388)	(25,318,388)
Shareholders' contribution	18	6,751,214	6,751,214
Reserves	19	97,954,514	75,406,576
Retained earnings		433,311,387	333,209,421
Equity attributable to owners of the Company		1,067,698,727	945,048,823
Non-controlling interests		3,613,921	--
Total equity		1,071,312,648	945,048,823
Liabilities			
Long-term loans	22	778,488,902	848,270,768
Lease liabilities	21	301,824,368	309,265,433
Long-term payables	23	42,148,019	23,596,226
Employees' defined benefit obligations	24	7,989,291	8,674,000
Non-current liabilities		1,130,450,580	1,189,806,427
Trade and other payables		73,372,341	60,133,757
Accrued expenses and other current liabilities	26	92,614,094	67,460,513
Current portion of long-term loans	22	122,262,474	162,367,151
Current portion of lease liabilities	21	25,047,877	30,925,951
Current portion of long-term payables	23	16,413,077	9,536,174
Short-term loan	25	40,000,000	--
Advances from customers	27	20,443,714	24,308,746
Due to related parties	37	85,868	3,134
Zakat payable	34.2	6,933,966	5,936,643
Current liabilities		397,173,411	360,672,069
Total liabilities		1,527,623,991	1,550,478,496
Total equity and liabilities		2,598,936,639	2,495,527,319

The accompanying notes from 1 to 40 form an integral part of these consolidated financial statements.


Tariq Mutlaq Abdullah AIMutlaq
Chairman


Abdullah Abdul-Aziz Abdullah Ababtain
CEO


Alaaeldin Mohammed Shousha
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Consolidated Statement of Profit or Loss and Other Comprehensive Income

For the year ended 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

	Notes	2025	2024
Revenue from contracts with customers	28	1,146,373,588	1,048,854,922
Cost of revenue	29	(664,170,563)	(591,767,124)
Gross profit		482,203,025	457,087,798
General and administrative expenses	30	(74,969,451)	(81,875,909)
Selling and distribution expenses	31	(67,822,759)	(55,565,102)
Expected credit reversal/(loss) on trade receivables	14.2	306,187	(314,586)
Gain on disposals of property, plant and equipment		--	(855,570)
Operating profit		339,717,002	318,476,631
Finance costs	32	(81,544,823)	(96,321,172)
Interest income	33	24,816,236	34,754,226
Other income		1,756,775	136,306
Profit before zakat		284,745,190	257,045,991
Zakat expense	34.2	(6,978,402)	(6,144,269)
Profit for the year		277,766,788	250,901,722
Other comprehensive (loss)/income			
Items that will not be reclassified to profit or loss:			
Remeasurements of defined benefit liability	24	652,869	951,201
Items that are or may be reclassified subsequently to profit or loss:			
Cash flow hedge and cost of hedging reserve	12	(14,441,323)	(12,799,977)
Other comprehensive loss for the year		(13,788,454)	(11,848,776)
Total comprehensive income for the year		263,978,334	239,052,946
Profit attributable to:			
Owners of the Company		277,443,269	250,901,722
Non-controlling interests		323,519	--
		277,766,788	250,901,722
Total comprehensive income attributable to:			
Owners of the Company		263,654,815	239,052,946
Non-controlling interests		323,519	--
		263,978,334	239,052,946
Earnings per share for the year attributable to shareholders of the Parent Company (ﷲ):			
Basic	36.1	4.99	4.53
Diluted	36.2	4.97	4.50

The accompanying notes from 1 to 40 form an integral part of these consolidated financial statements.


Tariq Mutlaq Abdullah AIMutlaq
Chairman


Abdullah Abdul-Aziz Abdullah Ababtain
CEO


Alaaeldin Mohammed Shousha
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Consolidated Statement of Changes in Equity

For the year ended 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

Attributable to owners of the Company													
Notes	Share capital	Treasury shares	Shareholders' contribution	Statutory reserve	General reserve	Share based payments reserve	Merger reserve	Cashflow hedge reserve	Total reserves	Retained earnings	Total	Non-controlling interests	Total equity
As at 1 January 2025	555,000,000	(25,318,388)	6,751,214	82,823,399	--	10,165,117	(37,554,503)	19,972,563	75,406,576	333,209,421	945,048,823	--	945,048,823
Total comprehensive income for the year													
Profit for the year	--	--	--	--	--	--	--	--	--	277,443,269	277,443,269	323,519	277,766,788
Other comprehensive loss for the year	--	--	--	--	--	--	--	(14,441,323)	(14,441,323)	652,869	(13,788,454)	--	(13,788,454)
Total comprehensive income for the year	--	--	--	--	--	--	--	(14,441,323)	(14,441,323)	278,096,138	263,654,815	323,519	263,978,334
Transactions with owners of the Company													
Contributions and distributions													
Dividends	20	--	--	--	--	--	--	--	--	(152,904,000)	(152,904,000)	--	(152,904,000)
Equity-settled share-based payment	19.4	--	--	--	--	11,899,089	--	--	11,899,089	--	11,899,089	--	11,899,089
Total contributions and distributions		--	--	--	--	11,899,089	--	--	11,899,089	(152,904,000)	(141,004,911)	--	(141,004,911)
Changes in ownership interests													
Acquisition of subsidiary with NCI	--	--	--	--	--	--	--	--	--	--	--	3,290,402	3,290,402
Total changes in ownership interests	--	--	--	--	--	--	--	--	--	--	--	3,290,402	3,290,402
Total transactions with owners of the Company	--	--	--	--	--	11,899,089	--		11,899,089	(152,904,000)	(141,004,911)	3,290,402	(137,714,509)
Transfer to general reserves	--	--	--	--	25,090,172	--	--	--	25,090,172	(25,090,172)	--	--	--
As at 31 December 2025	555,000,000	(25,318,388)	6,751,214	82,823,399	25,090,172	22,064,206	(37,554,503)	5,531,240	97,954,514	433,311,387	1,067,698,727	3,613,921	1,071,312,648
As at 1 January 2024	555,000,000	--	6,751,214	82,823,399	--	7,313,714	(37,554,503)	32,772,540	85,355,150	245,030,498	892,136,862	--	892,136,862
Total comprehensive income for the year													
Profit for the year	--	--	--	--	--	--	--	--	--	250,901,722	250,901,722	--	250,901,722
Other comprehensive loss for the year	--	--	--	--	--	--	--	(12,799,977)	(12,799,977)	951,201	(11,848,776)	--	(11,848,776)
Total comprehensive income for the year	--	--	--	--	--	--	--	(12,799,977)	(12,799,977)	251,852,923	239,052,946	--	239,052,946
Transactions with owners of the Company													
Contributions and distributions													
Dividends	20	--	--	--	--	--	--	--	--	(163,674,000)	(163,674,000)	--	(163,674,000)
Purchase of treasury shares	19.5	--	(25,318,388)	--	--	--	--	--	--	--	(25,318,388)	--	(25,318,388)
Equity-settled share-based payment	--	--	--	--	--	2,851,403	--	--	2,851,403	--	2,851,403	--	2,851,403
Total transactions with owners of the Company	--	(25,318,388)	--	--	--	2,851,403	--	--	2,851,403	(163,674,000)	(186,140,985)	--	(186,140,985)
As at 31 December 2024	555,000,000	(25,318,388)	6,751,214	82,823,399	--	10,165,117	(37,554,503)	19,972,563	75,406,576	333,209,421	945,048,823	--	945,048,823

The accompanying notes from 1 to 40 form an integral part of these consolidated financial statements.


Tariq Mutlaq Abdullah AIMutlaq
Chairman


Abdullah Abdul-Aziz Abdullah Ababtain
CEO


Alaaeldin Mohammed Shousha
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Consolidated Statement of Cash Flows

For the year ended 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

	Notes	2025	2024
Cash flows from operating activities			
Profit before zakat		284,745,190	257,045,991
Adjustments:			
Depreciation of property, plant and equipment	9.3	45,316,360	39,068,526
Depreciation of right-of-use assets	10.1	15,895,333	15,931,835
Amortisation of intangible assets	11.2	1,237,037	763,621
Finance cost on lease liabilities	32	13,750,360	13,482,184
Interest on loans	32	51,764,710	73,070,444
Interest income	33	(24,816,236)	(34,754,226)
Amortisation of loan transaction cost	32	8,493,046	3,777,174
Finance cost on long-term payable	32	2,172,757	2,773,724
Adjustment for net realizable value for inventories	13.3	(2,578,484)	(2,571,638)
Finance cost on employees' defined benefit obligations	32	584,000	461,000
Provision for employees' defined benefit obligations	24	(410,009)	3,478,000
Employees' share based payments plan expense	19.4	11,899,089	2,851,403
Expected credit (reversal)/loss on trade receivables	14.2	(306,187)	314,586
Amortisation of cost of hedging	32	4,779,950	2,756,736
Exchange loss on long-term payable		--	622,696
Loss on disposal of property, plant and equipment		--	855,570
Loss on termination of lease liability		--	6,802
		412,526,916	379,934,428
Changes in working capital:			
Inventories		2,519,508	(10,778,579)
Trade receivables		(13,051,061)	(13,797,828)
Prepayments and other current assets		(22,192,901)	(2,229,529)
Trade and other payables		(1,050,221)	11,208,325
Accrued expenses and other current liabilities		24,654,213	12,498,737
Advances from customers		(3,865,032)	5,532,241
Due to related parties		(8,388,452)	(683,006)
Cash generated from operating activities		391,152,970	381,684,789
Employees' defined benefit obligations paid	24	(833,131)	(865,799)
Interest paid		(66,866,090)	(102,911,427)
Interest received		24,816,236	34,890,038
Zakat paid	34.2	(6,172,426)	(6,862,509)
Net cash from operating activities		342,097,559	305,935,092
Cash flows from investing activities			
Additions to property, plant and equipment		(81,919,290)	(53,585,113)
Additions to intangible assets	11.1	(3,183,014)	(3,795,986)
Proceeds from disposal of property, plant and equipment		--	1,267,148
Acquisition of subsidiaries		(99,071,474)	--
Net cash used in investing activities		(184,173,778)	(56,113,951)
Cash flows from financing activities			
Dividends paid	20	(152,904,000)	(163,673,904)
Purchase of treasury shares	19.5	--	(25,318,388)
Proceeds from long-term loans		49,050,000	144,450,000
Proceeds from short-term loan		120,000,000	--
Repayment of long-term loans	22	(167,697,206)	(181,697,715)
Repayment of short-term loan		(80,000,000)	--
Repayment of lease liabilities	21.3	(18,377,536)	(13,545,414)
Payment of long-term liabilities		(8,314,122)	(9,601,562)
Net cash used in financing activities		(258,242,864)	(249,386,983)
Net change in cash and cash equivalents during the year		(100,319,083)	434,158
Cash and cash equivalents as at the beginning of the year	16	192,540,441	192,106,283
Effect of movement in exchange rate on cash held		1,085,741	--
Cash and cash equivalents at the end of the year	16	93,307,099	192,540,441

The accompanying notes from 1 to 40 form an integral part of these financial statements.


Tariq Mutlaq Abdullah AIMutlaq
Chairman


Abdullah Abdul-Aziz Abdullah Ababtain
CEO


Alaaeldin Mohammed Shousha
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

1. COMPANY INFORMATION

The First Milling Company (the “Company” or the “Parent Company”) is a Saudi Joint Stock Company incorporated in the Kingdom of Saudi Arabia under unified number 7003698904 and commercial registration number 4030291813 dated 10 November 2016 (corresponding to 10 Safar 1438H).

The Company was established as part of the Kingdom’s flour milling privatization program and was fully acquired by Al Raha Al Safi Food Company on 31 December 2020 (corresponding to 16 Jumada Al Awal 1442H). The Company was listed on the Saudi Exchange (Tadawul) on 22 June 2023 (corresponding to 4 Dhul Hijjah 1444H).

The Company is principally engaged in flour production and related wheat products, feed and bran within the Kingdom of Saudi Arabia. Selling prices for certain flour products (45kg and above) are regulated by General Food Security Authority (“GFSA”).

As at 31 December, the Company holds investments in subsidiaries as disclosed in Note 8.

The registered address of the Company is as follows:

Jeddah Islamic Port
Between Gates 7 and 8
Jeddah 22312
Kingdom of Saudi Arabia

The Company is the ultimate controlling party of the Group. As at 31 December 2025, the Company has an investment in the following subsidiaries:

Subsidiary name	Country of incorporation	Principal business activity	Effective ownership interest (%)	
			31 December 2025	31 December 2024
First Food Supplies Company Limited	Saudi Arabia	Distribution	100	100
Al-Manar Feed Company Limited	Saudi Arabia	Feed Production	100	--
Al-Kenan Arabia Trading Company	Saudi Arabia	Distribution	60	--

These accompanying consolidated financial statements comprise the financial statements of The First Milling Company (the “Company” (or) the “Parent Company”) and its subsidiaries (collectively referred to as the “Group”).

The Group operates through four branches, which are as follows:

Branch Location	Date	Commercial Registration No.
Jeddah	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	4030294014
Qassim	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	1131057624
Al Ahsa	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	2250067938
Tabuk	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	3550038652

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

2. BASIS OF PREPARATION

2.1 Statement of compliance

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards as issued by the International Accounting Standards Board (“IFRS”) that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and professional Accountants (“SOCPA”) collectively referred to as “IFRS as endorsed in the Kingdom of Saudi Arabia”.

2.2 Basis of measurement

These consolidated financial statements have been prepared using accrual basis of accounting, going concern concept and under the historical cost basis, except employees’ defined benefit obligations which are recognised at the present value of future obligation using the Projected Unit Credit Method and derivative financial instrument which are recognised at fair value through other comprehensive income.

2.3 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at and for the year ended 31 December 2025. All subsidiaries have the same reporting date as the Parent Company, being 31 December. The financial statements of the subsidiaries are prepared for the same reporting period as the Company using consistent accounting policies. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Group’s voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary. Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent company and to the non-controlling interests. All intra-group assets and liabilities, equity, income and expenses relating to transactions between members of the Group are eliminated in full on consolidation. A change in ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

- Derecognises the assets (including goodwill) and liabilities of the subsidiary;
- Derecognises the carrying amount of any non-controlling interest;
- Derecognises the cumulative translation differences recorded in equity;
- Recognises the fair value of consideration received;
- Recognises the fair value of any investment retained;
- Recognises any surplus or deficit in profit or loss; and
- Reclassifies the parent’s share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

2.4 Functional and presentation currency

These consolidated financial statements are presented in Saudi Arabian Riyals (ﷲ) which is the functional and presentation currency of the Group. All amounts have been rounded to the nearest ﷲ, unless otherwise stated.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of Group’s consolidated financial statements require management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of revenues, expenses, assets, liabilities and accompanying disclosures. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

3.1 Useful lives and residual value of property, plant and equipment

The Group’s management determines the estimated useful lives of its property, plant and equipment with finite useful lives for calculating depreciation. This estimate is determined after considering the expected usage of the assets or physical wear and tear. Management reviews the residual value, depreciation methods and useful lives annually and future depreciation charges would be adjusted where the management believes the useful lives differ from previous estimates and to ensure that the methods and period of depreciation are consistent with the expected pattern of economic benefits from these assets.

3.2 Determining lease term for leases with termination option - Group as lessee

The Group determines the term of the lease as non-cancellable periods plus any period covered by a renewable option if the Group is reasonably certain to exercise that option.

The Group has several lease contracts that include termination options. The Group decides through its evaluation of the lease whether it is reasonable to exercise the option to terminate the lease. This means that the Group considers all relevant factors that constitute an economic incentive to exercise the option to terminate the lease. After the lease commencement date, the Group reassesses the lease term if there is an event or change in circumstances within the Group’s control that affects the Group’s ability to exercise the option to terminate (such as: making material improvements to the lease or a material restructuring of the lease).

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷼, unless otherwise specified)

3.3 Adjustment for net realizable value of inventories

The management makes an adjustment for net realizable value (NRV) of inventories. Estimates of net realizable value of inventories are based on the most reliable evidence at the time the estimates are made. These estimates take into consideration fluctuations of price or cost directly related to events occurring subsequent to the financial position date to the extent that such events confirm conditions existing at the end of year.

Adjustment for net realizable value of spare parts inventories is made on the basis of the NRV adjustments of the relevant finished goods. Spare parts that are in excess of the Group’s use are written down to their estimated scrap values determined on the basis of the market quotations. The identification of excess spare parts and estimates of their scrap value are based upon historical experience, expected inventory turnover, current condition, and future expectations with respect to its consumption and are reviewed at each reporting date.

3.4 Defined benefit plans

The cost of the employees’ defined benefit obligations and the present value of the employees’ defined benefit obligations are determined based on the Projected Unit Credit Method as defined under IAS-19 “Employee Benefits” using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation and its long term nature, employees’ defined benefit obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

3.5 Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm’s length, for similar assets or observable market prices less incremental costs of disposing of the asset. The value in use calculation is based on discounted cash flow (DCF) model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the performance of the assets of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

3.6 Determination of discount rate for present value calculations

Discount rates represent the current market assessment of the risks specific to each cash flow stream, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Group and is derived from recent market transactions and a market yields overview.

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷼, unless otherwise specified)

4. MATERIAL ACCOUNTING POLICIES

The Group has consistently applied the following accounting policies to all periods presented in these financial statements, except if mentioned otherwise.

4.1 Property, plant and equipment

Property, plant and equipment are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing part of the plant and equipment. When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in consolidated statement of profit or loss and other comprehensive income as incurred. The present value of the expected cost for the decommissioning (if any) of an asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

Depreciation is calculated on a straight-line basis over the estimated useful lives of the assets. The estimated useful lives of the assets for the calculation of depreciation are as follows:

Categories	Useful lives	Categories	Useful lives
Buildings	Shorter of the useful life and lease term (5 - 25 years)	Furniture and fittings	6.67 - 10 years
Plant and machinery	10 - 25 years	Computer equipment	3 - 4 years
Motor vehicles	5 years		

The depreciation of plant is calculated on the useful lives of the components of the principal asset.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the consolidated statement of profit or loss and other comprehensive income as gain or loss on disposal of property, plant and equipment as a part of the operating profit when the asset is derecognised.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Projects under construction are not depreciated and are stated at cost less accumulated impairment losses, if any, and are classified under “Project under progress”. These assets are transferred to property, plant and equipment as and when assets are available for intended use.

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4.2 Leases

4.2.1 Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any re-measurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term. Right-of-use assets are subject to impairment.

4.2.2 Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognized as expense in the year on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is re-measured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

4.3 Goodwill

Goodwill represents the difference between the cost of businesses acquired and the Group's share in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities at the date of acquisition. Goodwill arising on acquisitions is reviewed for impairment annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. Impairment losses on goodwill are not reversed. Goodwill is assessed for impairment at CGU level.

For impairment testing, goodwill acquired through business combination is allocated to four CGUs, which are also the Group's operating and reportable segment

4.4 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

4.4.1 Financial Assets

The Group's financial assets comprise of cash and cash equivalents, trade receivables, margins against letter of guarantees and other current financial assets.

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

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The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. The Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

On initial recognition, a financial asset is classified as measured at:

- Amortized cost;
- Fair value through other comprehensive income (FVOCI) – debt instruments;
- Fair value through other comprehensive income (FVOCI) – equity instruments; or
- Fair value through profit or loss (FVTPL)

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Group changes its business model for managing financial assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash at banks, cash in hand and short-term deposits with a maturity of 90 days and are subject to an insignificant risk of changes in value.

For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash at banks, cash in hand and short-term deposits, as defined above, net of outstanding bank overdrafts, if any, as they are considered an integral part of the Group's cash management.

Trade receivables and other current financial assets

Trade receivables and other current financial assets are measured at amortized cost.

4.4.2 Financial liabilities

Financial liabilities are classified as measured at amortized cost or financial liabilities at fair value through profit or loss FVTPL. A financial liability is classified as at FVTPL if it is classified as held for trading, or it is a derivative or it is designated as such on initial recognition. Financial liabilities are classified as "held for trading" if they are acquired for the purpose of selling in the near future. This category includes derivative financial instruments entered by the Group that are not designated as hedging instruments as stated in IFRS 9. Other financial liabilities are measured at amortized cost using the effective interest method.

The Group's financial liabilities include trade and other payables, certain accrued expenses and other current liabilities, long-term payables, loans, lease liabilities and amounts due to related parties. At 31 December 2025, all of the Group's financial liabilities are classified at amortised cost.

Loans

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate (EIR) method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the consolidated statement of profit or loss and other comprehensive income.

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Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

4.5 Derivative financial instrument and hedge accounting

Derivative financial instrument include profit rate cap that is measured at fair value. For the purpose of hedge accounting, this hedging instrument is classified and designated as cash flow hedge.

Fair value is obtained by reference to quoted market prices and/or valuation models as appropriate.

Hedge accounting

The Group designates certain derivatives as hedging instruments in qualifying hedging relationships to manage exposures to interest rate risk, including exposures arising from highly probable forecast transactions and firm commitments. In order to manage particular risk, the Group applies hedge accounting for transactions that meet specific criteria. The Group is applying the hedge accounting as per the requirements of IFRS 9 for its derivatives.

In order to qualify for hedge accounting, the hedge should be expected to be “highly effective”, i.e., the changes in fair value or cash flows of the hedging instrument should effectively offset corresponding changes in the hedged item and should be reliably measurable. At inception of the hedge, the risk management objective and strategy are documented including the identification of the hedging instrument, the related hedged item, the nature of risk being hedged, and how the Group will assess the effectiveness of the hedging relationship. Subsequently, the hedge is required to be assessed and determined to be an effective hedge on an ongoing basis.

A formal assessment is undertaken by comparing the hedging instrument’s effectiveness in offsetting the changes in fair value or cash flows attributable to the hedged risk in the hedged item, both at inception and at each reporting date.

A hedge is expected to be highly effective if the changes in fair value or cash flows attributable to the hedged risk during the period for which the hedge is designated were offset by the hedging instrument and were expected to achieve such offset in future periods. Hedge ineffectiveness is recognised in the profit or loss. For situations where the hedged item is a forecast transaction, the Group also assesses whether the transaction is highly probable and presents an exposure to variations in cash flows that could ultimately affect the consolidated statement of profit or loss and other comprehensive income.

Cash flow hedges

In relation to cash flow hedges which meet the criteria for hedge accounting, the portion of the gain or loss on the hedging instrument that is determined to be an effective hedge is recognised initially in cash flow hedge reserves under equity through other comprehensive income and the ineffective portion, if any, is recognised in the profit or loss. For cash flow hedges affecting future transactions, the gains or losses recognised in cash flow hedge reserve, are transferred to the profit or loss in the same period in which the hedged transaction affects the profit or loss. However, if the Group expects that all or a portion of a loss recognised in other comprehensive income will not be recovered in one or more future periods, it shall reclassify into the profit or loss as a reclassification adjustment the amount that is not to be recognised.

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Hedge accounting is discontinued when the hedging instrument is expired or sold, terminated or exercised, or no longer qualifies for hedge accounting, or the forecast transaction is no longer expected to occur or the Group revokes the designation then hedge accounting is discontinued prospectively. At that point of time, any cumulative gain or loss on the cash flow hedging instrument that was recognised in cash flow hedge reserve from the period when the hedge was effective is transferred from equity to the profit or loss when the forecasted transaction occurs.

Where the hedged forecasted transaction is no longer expected to occur and affect the profit or loss, the net cumulative gain or loss recognised in cash flow hedge reserve is transferred immediately to the profit or loss.

4.6 Inventories

Inventories are stated at cost or net realizable value, whichever is lower. Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Adjustment for net realizable value of spare parts inventories is made on the basis of the NRV adjustments of the relevant finished goods. Spare parts that are in excess of the Group’s use are written down to their estimated scrap values determined on the basis of the market quotations. The identification of excess spare parts and estimates of their scrap value are based upon historical experience, expected inventory turnover, current condition, and future expectations with respect to its consumption and are reviewed at each reporting date.

The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, shall be recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

4.7 Employees’ defined benefit obligations

Defined benefit plans

The Group has defined benefit plans with General Organization for Social Insurance “GOSI” where the Group and the employees contribute fixed percentage of their salary toward the retirement of its employees. The Group operates defined benefit plans, under the Saudi Arabian Labor Law based on employees’ accumulated periods of service at the consolidated statement of financial position date.

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method.

Re-measurements, comprising of actuarial gains and losses, the effect of the asset ceiling (excluding amounts included in net interest on the net defined benefit liability) and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognized immediately in the consolidated statement of financial position with a corresponding debit or credit to retained earnings through OCI in the year end in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

Past service costs are recognized in income at the earlier of:

- The date of the plan amendment or curtailment; and
- The date on which the Group recognizes related restructuring costs.

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Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The Group recognizes the changes in the net defined benefit obligation for service costs that comprises current service costs, past-service costs, gains and losses on curtailments and non-routine settlements under “general and administrative expenses” and for net interest expense or income under “finance costs” in the consolidated statement of profit or loss and other comprehensive income.

Share based payments plan

The Group maintains an equity-settled share based payments plan for its key management. The grant-date fair value of such share based payments arrangement granted to employees is recognised as an expense, with a corresponding increase in equity, over the vesting period of the awards. The amount recognised as an expense is adjusted to reflect the number of awards for which the related service and non-market performance conditions are expected to be met, such that the amount ultimately recognised is based on the number of awards that meet the related service and non-market performance conditions at the vesting date.

The Group acquired its own shares in connection with the anticipated grant of shares to the key management in future. Until such time as the beneficial ownership of such shares in the Group passes to the employees, the unallocated / non-vested shares will be treated as treasury shares.

4.8 Treasury shares

Own equity instruments that are reacquired (treasury shares), with the aim of allocating to the Group’s employees within the employee share programs, are recognized at cost and presented as a deduction from equity. No gain or loss is recognized in the consolidated statement of profit or loss and other comprehensive income on the purchase of the Group’s own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in retained earnings.

4.9 Impairment of non-financial assets

The Group assesses at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset’s recoverable amount. An asset’s recoverable amount is the higher of an assets or CGU’s fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-zakat discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

Impairment losses of continuing operations are recognised in the consolidated statement of profit or loss and other comprehensive income in expense categories consistent with the function of the impaired asset.

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For assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Group estimates the asset’s or CGU’s recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset’s recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the consolidated statement of profit or loss and other comprehensive income unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

4.10 Revenue from contracts with customers

The Group is involved in manufacturing of flour, feed, bran (by-product) and other related products.

Under IFRS 15 Revenue from Contracts with Customers, the Group recognises revenue when (or as) a performance obligation is satisfied, i.e. when ‘control’ of the goods or services underlying the particular performance obligation is transferred to the customer.

Revenue is measured at the transaction price, being the amount of consideration to which the Group expects to be entitled in exchange for transferring the promised goods, excluding amounts collected on behalf of third parties.

Revenue from the sale of goods is recognised at a point in time, based on the terms of the contract with the customer. Control is generally transferred either upon dispatch of the goods from the Group’s warehouse depending on the agreed shipping terms.

The Group has concluded that it acts as principal in its revenue arrangements, as it controls the goods before transfer to the customer and is primarily responsible for fulfilling the promise to provide the goods.

Variable consideration mainly includes discounts and rebates granted to customers. The Group estimates its provision for discounts and rebates based on current contractual terms and conditions as well as historical experience, changes to business practices and credit terms. The Group continually monitors the provisions for discounts and rebates and makes adjustments when it believes that actual discounts may differ from established reserves. All discounts are recognised in the period in which the underlying sales are recognised as a reduction of revenue.

4.11 Zakat

Zakat provision is calculated and recorded based on the zakat base according to the regulations of the Zakat, Tax and Customs Authority (“ZATCA “). The expense relating to a provision is charged to the consolidated statement of profit or loss and other comprehensive income.

4.12 Operating profit

Operating profit is the result generated from the continuing principal revenue producing activities of the Group as well as other income and expenses related to operating activities. Operating profit excludes finance costs, finance income and zakat expense.

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4.13 Selling, distribution, general and administrative expenses

Selling, distribution, general and administrative expenses include direct and indirect costs not specifically part of cost of revenue. Allocations between cost of revenue, selling and distribution, and general and administrative expenses, when required, are made on a consistent basis.

4.14 Finance costs

Finance costs comprise of interest on loans, amortisation of loan transaction cost, finance cost on lease liabilities, interest cost on employees’ defined benefit obligations, ineffective portion of changes in fair value of cash flow hedge, amortization of cost of cash flow hedge reserve and financing charges as and when incurred by the Group.

5. NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS

5.1 Standards, interpretations and amendments adopted

Several amendments and interpretations apply for the first time in 2025, which are effective for annual periods beginning on or after 1 January 2025 which do not have a material effect on these consolidated financial statements.

Standards / Interpretations and amendments	Description	Effective from periods beginning on or after the following date
IAS 21	Lack of Exchangeability (Amendments to IAS 21)	1 January 2025

5.2 Standards, interpretations and amendments issued but not yet effective

The standards, interpretations and amendments issued, but not yet effective up to the date of issuance of the consolidated financial statements are disclosed below. The Group intends to adopt these standards, where applicable, when they become effective.

The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Standards / Interpretations and amendments	Description	Effective from periods beginning on or after the following date
IFRS 9 and IFRS 7	Classification and measurement of financial instruments – disclosures (amendments to IFRS 9 and IFRS 7)	1 January 2026
IFRS 9 and IFRS 7	Contracts referencing nature-dependent electricity (amendments to IFRS 9 and IFRS 7)	1 January 2026
Volume 11	Annual improvements to IFRS accounting standards	1 January 2026
IFRS 18	Presentation and disclosure in financial statements	1 January 2027
IFRS 19	Subsidiaries without public accountability - disclosures	1 January 2027
IFRS 10 and IAS 28	Sale or contribution of assets between investor and its associate or joint venture (amendments to IFRS 10 and IAS 28)	Available for optional adoption / effective date deferred indefinitely

The Group is currently assessing the implications for other above- mentioned standards, interpretations and amendments on the Group’s consolidated financial statements on adoption.

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6. SEGMENT INFORMATION

The Group operates in four regions in the Kingdom of Saudi Arabia, which are its reportable segments. These regions are identified as a separate reportable segment because the Group managed them separately.

The management has identified these business units based on their geographical locations. The following summary describes the operations of each reportable segment.

Reportable segments	Operations
Jeddah	Production of flour, feed and bran
Qassim	Production of flour, feed and bran
Tabuk	Production of flour and bran
Al Ahsa	Production of flour and bran

The management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on income and is measured consistently in the financial statements.

Transfer prices between operating segments are on cost and any transmission and distribution costs are recovered from the segments in a manner similar to transactions with third parties.

The Group’s executive committee of the Board of Directors reviews the internal management reports for each segment at least quarterly.

The selected financial information for these business units is set out below. All unallocated amounts are related to the head office and are not allocatable to the operating segments. Segment profit before zakat is used to measure performance because management believes that this information is the most relevant in evaluating the results of the respective segments relative to other entities that operate in the same industries.

For the year ended 31 December 2025	Jeddah	Qassim	Tabuk	Al Ahsa	Total segments
Total revenue	532,436,868	364,040,301	125,724,244	124,172,175	1,146,373,588
Cost of inventories	(215,641,735)	(180,939,154)	(44,257,866)	(41,893,742)	(482,732,497)
Salaries and other benefits	(31,340,849)	(20,162,864)	(11,561,379)	(11,953,736)	(75,018,828)
Depreciation and amortization	(31,661,267)	(6,050,292)	(5,808,646)	(15,851,115)	(59,371,320)
Other expenses	(43,857,794)	(25,293,217)	(12,720,807)	(11,969,408)	(93,841,226)
Finance costs	(8,139,776)	(1,886,298)	(127,053)	(1,692,438)	(11,845,565)
Segment profit	201,795,447	129,708,476	51,248,493	40,811,736	423,564,152

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For the year ended 31 December 2024	Jeddah	Qassim	Tabuk	Al Ahsa	Total segments
Total revenue	472,406,954	329,599,798	117,850,617	128,997,553	1,048,854,922
Cost of inventories	(185,975,814)	(153,539,920)	(39,575,772)	(42,970,959)	(422,062,465)
Salaries and other benefits	(30,425,437)	(16,670,643)	(12,932,711)	(13,363,720)	(73,392,511)
Depreciation and amortization	(25,508,370)	(5,793,526)	(5,878,610)	(15,979,858)	(53,160,364)
Other expenses	(37,701,507)	(22,700,145)	(10,632,595)	(10,631,234)	(81,665,481)
Finance costs	(9,611,126)	(1,947,430)	(131,102)	(1,752,385)	(13,442,043)
Loss on disposal of property, plant and equipment	(847,675)	--	--	(7,895)	(855,570)
Segment profit	182,337,025	128,948,134	48,699,827	44,291,502	404,276,488

At 31 December 2025	Jeddah	Qassim	Tabuk	Al Ahsa	Total segments
Total assets	683,380,514	252,624,362	114,764,263	262,169,239	1,312,938,378
Total liabilities	298,981,044	162,140,771	16,657,835	57,411,494	535,191,144
Other disclosures:					
Property, plant and equipment with right-of-use assets	556,197,030	161,800,907	99,813,577	253,539,088	1,071,350,602
Inventories	99,785,065	40,706,505	11,313,186	11,094,980	162,899,736
Intangible assets	459,425	794,705	--	--	1,254,130

At 31 December 2024	Jeddah	Qassim	Tabuk	Al Ahsa	Total Segments
Total assets	598,545,350	164,572,300	123,495,995	282,505,336	1,169,118,981
Total liabilities	349,356,190	92,019,947	21,339,831	72,678,704	535,394,672
Other disclosures:					
Property, plant and equipment with right-of-use assets	493,071,177	99,241,375	105,835,431	267,902,411	966,050,394
Inventories	81,720,832	54,441,270	12,734,472	12,801,966	161,698,540
Intangible assets	3,948	919,964	3,048	255	927,215

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6.1 Reconciliations of information on reportable segments to the amounts reported in the consolidated financial statements

Profit before zakat

	31 December 2025	31 December 2024
Total profit before zakat for reportable segments	423,564,152	404,276,488
Unallocated amounts		
Salaries and other benefits	(58,339,104)	(58,849,864)
Depreciation and amortization	(3,077,410)	(2,603,618)
Other expenses	(34,582,388)	(37,473,832)
Finance costs	(69,699,258)	(82,879,129)
Other income	1,756,775	136,306
Interest income	24,816,236	34,754,226
Expected credit reversal/(loss) on trade receivables	306,187	(314,586)
	284,745,190	257,045,991

i) Total assets

	31 December 2025	31 December 2024
Total assets for reportable segments	1,312,938,378	1,169,118,981
Unallocated amounts	1,285,998,261	1,326,408,338
	2,598,936,639	2,495,527,319

ii) Total liabilities

	31 December 2025	31 December 2024
Total liabilities for reportable segments	535,191,144	535,394,672
Unallocated amounts	992,432,847	1,015,083,824
	1,527,623,991	1,550,478,496

All revenue is generated from external customers. Revenue from one customer of the Group's Jeddah and Qassim segments represented approximately ﷲ 264.13 million (2024: ﷲ 188.14 million) which represents 23.04% (2024: 17.93%) of the Group's total revenues.

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7. GOODWILL

7.1 The movement in goodwill is as follows:

	Notes	31 December 2025	31 December 2024
At the beginning of the year		1,090,669,302	1,090,669,302
Acquisitions during the year	8	48,025,324	--
At end of the year		1,138,694,626	1,090,669,302

Pursuant to privatization programme by the GFSA, the Former Parent Company entered into an agreement with NCP and Public-Private Partnership (PPP) on 17 September 2020 (corresponding to 29 Muharram 1442H) to acquire 100% equity stake in the Company. The transaction was completed by 31 December 2020 (corresponding to 16 Jumada Al-Awwal 1442H).

The Former Parent Company paid a consideration of ﷲ 2,198 million to acquire the Company with book value of net assets of ﷲ 1,081 million. The Former Parent Company completed the purchase price allocation (“PPA”) to net assets within a measurement period of one year after the date of acquisition in which the Former Parent Company identify and measure the identifiable assets and liabilities assumed as of the acquisition date in accordance with the requirements of IFRS 3 Business Combination. The following adjustment was recorded by the Former Parent Company:

- Net uplift of ﷲ 22.4 million to property, plant and equipment; and
- Uplift of ﷲ 4.54 million to spare parts under inventories.

Break-up of net assets of the Company at the time of acquisition was as follows:

	ﷲ
Property, plant and equipment with right of use assets	830,433,309
Intangible assets	285,860
Inventories	118,803,883
Trade receivables	20,292
Prepayments and other current assets	13,319,205
Bank balances	518,754,365
Lease liabilities – non-current liabilities	(321,815,636)
Employees’ defined benefit obligations	(772,931)
Trade payables and other current liabilities	(49,647,333)
Lease liabilities – current liabilities	(9,767,397)
Advances from customers	(18,362,771)
	1,081,250,846

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For impairment testing, goodwill acquired through business combination is allocated to four CGUs, which are also the Group’s operating and reportable segments. The amount of goodwill allocated to each CGU is as follows:

	Amount (in ﷲ)
Jeddah	544,889,445
Qassim	338,689,341
Tabuk	88,155,123
Al-Ahsa	118,935,393
	1,090,669,302

The Group has performed its impairment test for goodwill on 31 December 2025 and 31 December 2024. The Group considers the relationship between its market capitalisation and its book value, among other factors, when reviewing for indicators of impairment. As of 31 December 2025, the market capitalisation of the Group is above book value of its equity.

The recoverable amount of the CGUs is ﷲ 3,357.36 million for Jeddah, ﷲ 2,016.25 million for Qassim, ﷲ 836.27 million for Tabuk and ﷲ 712.31 million for Al Ahsa, totalling ﷲ 6,922.20 million as at 31 December 2025, which has been determined based on a value-in-use calculation using cash flow projections from financial budgets reviewed by senior management covering a five-year period. The post-zakat discount rate applied to cash flow projections is 8.87%. As at 31 December 2025, the value-in-use of all the CGUs was higher than the net assets value of the Group, indicating no impairment of goodwill. As a result of this analysis, there is headroom of ﷲ 2,153.60 million for Jeddah, ﷲ 1,438.63 million for Qassim, ﷲ 628.14 million for Tabuk and ﷲ 310.60 million for Al Ahsa, totalling ﷲ 4,530.97 million as at 31 December 2025, and management did not identify impairment.

Key assumptions used in value in use calculations and sensitivity to changes in assumptions

The calculation of value in use is most sensitive to the following assumptions:

Earnings before interest, tax, depreciation and amortization (EBITDA)

Management has identified that a reasonably possible change in EBITDA margins by 54.68% for Jeddah, 66.41% for Qassim, 66.07% for Tabuk and 31.49% for Al-Ahsa would result in estimated recoverable amount to be equal to the carrying amount.

Discount rates

Discount rates represent the current market assessment of the risks specific to each CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation also takes into account the specific circumstances of the CGU and is derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity.

A rise in the discount rate by 13.01% for Jeddah, 18.55% for Qassim, 22.84% for Tabuk and 5.45% for Al-Ahsa would result in estimated recoverable amount to be equal to the carrying amount.

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Growth rates used to extrapolate cash flows beyond the forecast period

Rates are based on detailed value creation plan with external consultant reflecting the market growth and the projection of the Company for coming years. The Group has assumed the terminal value growth rate (TVGR) of 2% to extrapolate cash flows beyond the forecast period. 1% increase in TVGR will increase the recoverable amount of Jeddah by ﷲ 439.62 million, Qassim by ﷲ 263.97 million, Tabuk by ﷲ 109.59 million and Al Ahsa by ﷲ 93.39 million. 1% decrease in TVGR will decrease the recoverable amount of Jeddah by ﷲ 327.95 million, Qassim by ﷲ 196.91 million, Tabuk by ﷲ 81.75 million and Al Ahsa by ﷲ 69.67 million.

As management does not expect new entrant in the market till 31 December 2030, management build the growth plan based on the value creation plan focusing on key enablers to gain market share in retails segment while expanding the base by on-boarding new industrial consumer.

8. ACQUISITION OF SUBSIDIARIES

During the year, the Group announced and completed the acquisition of the following entities:

8.1 Al-Manar Feed Company Limited (AMFC)

During the year, on 3 February 2025 (corresponding to 12 Sha’ban 1446H), the Board of Directors approved and entered into a preliminary binding agreement for the proposed acquisition of 100% of the shares in Al-Manar Feed Company, a single-person limited liability company based in Jeddah. Subsequently, after the fulfilment of the conditions stipulated in the preliminary agreement, the final Share Purchase Agreement (SPA) was signed on 11 August 2025 (corresponding to 17 Safar 1447H).

On 18 September 2025 (corresponding to 26 Rabi Al-Awal 1447), the Group acquired 100% shares and voting interests in Al-Manar Feed Company. The Commercial Registration and Articles of Association of Al-Manar Feed Company was updated and registered in the name of The First Milling Company.

Al-Manar Feed Company is principally engaged in the production of feed in MODON Industrial Area in Jeddah and its acquisition aligns with the Group’s strategy and marks significant progress in strengthening its feed production capabilities.

The acquisition aims to meet the growing demand of feed in local and regional markets, broaden the Group’s geographical presence, diversify its income streams, and enhance its product portfolio, thereby creating greater value for its shareholders.

For the year ended 31 December 2025, AMFC generated revenue of ﷲ 3.34 million, which was fully eliminated on consolidation and a loss of ﷲ 0.24 million to the Group’s results. If the acquisition had taken place on 1 January 2025, management estimates that consolidated revenue would have remained NIL, while the consolidated loss for the year would have been ﷲ 1.13 million. In calculating these amounts, management has assumed that the provisional fair value adjustments recognized on the acquisition date would have been the same had the acquisition occurred on 1 January 2025.

8.1.1 Consideration transferred

The Parent Company acquired Al-Manar Feed Company for a total consideration of ﷲ 77 million.

8.1.2 Acquisition related costs

The Group incurred acquisition-related costs of ﷲ 2.96 million relating to external professional fees and due diligence costs. These costs have been included in ‘general and administrative expenses’ in the consolidated statement of profit or loss and other comprehensive income.

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8.1.3 Identifiable assets acquired and liabilities assumed

The following table summarises the recognised amounts of assets acquired and liabilities assumed at the date of acquisition.

	Amount in ﷲ
Property, plant and equipment	60,663,000
Right-of-use assets	679,374
Lease liabilities	(679,374)
Other liabilities	(623,928)
Total identifiable net assets acquired	60,039,072

The above amounts have been measured on a provisional basis. If new information obtained within one year of the date of acquisition about facts and circumstances that existed at the date of acquisition identifies adjustments to the above amounts, or any additional provisions that existed at the date of acquisition, then the accounting for the acquisition will be revised.

8.1.4 Goodwill

Goodwill arising from the acquisition has been recognised as follows:

	Amount
Consideration transferred	77,000,000
Fair value of identifiable net assets	(60,039,072)
Goodwill	16,960,928

8.2 Al-Kenan Arabia for Trading Company (AATC)

During the year, on 15 September 2025 (corresponding to 23 Rabi ul Awal 1447H), the Board of Directors approved and entered into a share purchase agreement for the proposed acquisition of 60% of the shares in Al-Kenan Arabia for Trading Company, a single-person limited liability company based in Buraydah (Al-Qassim). Subsequently, after the fulfilment of the conditions stipulated in the agreement, the acquisition was completed on 1 December 2025 (corresponding to 10 Jumada Al-Akhirah 1447H). Accordingly, the Commercial Registration and Articles of Association of Al-Kenan Arabia for Trading Company was updated and registered in the name of The First Milling Company.

Al-Kenan Arabia for Trading Company is principally engaged in the distribution of feed and bran in Buraydah (Al-Qassim). The acquisition is consistent with the Group’s strategic objectives and is expected to enhance its operational footprint and distribution capabilities within the Kingdom of Saudi Arabia.

From the acquisition date to 31 December 2025, AATC contributed revenue of ﷲ 2.36 million and a profit of ﷲ 0.81 million to the Group’s results. If the acquisition had taken place on 1 January 2025, management estimates that consolidated revenue would have been equal to ﷲ 16.88 million, while the consolidated profit for the year would have been ﷲ 8.90 million. In calculating these amounts, management has assumed that the provisional fair value adjustments recognized on the acquisition date would have been the same had the acquisition occurred on 1 January 2025.

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8.2.1 Consideration transferred

The Parent Company acquired Al-Kenan Arabia for Trading Company for a net consideration of ﷲ 36,000,000 of which ﷲ 13,928,526 is payable within one year from the acquisition date.

8.2.2 Acquisition related costs

The Group incurred acquisition-related costs of ﷲ 1.88 million relating to external professional fees and due diligence costs. These costs have been included in ‘general and administrative expenses’ in the consolidated statement of profit or loss and other comprehensive income.

8.2.3 Identifiable assets acquired and liabilities assumed

The following table summarises the recognised amounts of assets acquired and liabilities assumed at the date of acquisition.

	Amount in ﷲ
Property, plant and equipment	1,539,942
Inventories	2,513,552
Trade receivables	8,399,878
Due from related party	5,928,526
Cash and cash equivalents	5,285,141
Trade payables	(14,288,808)
Other liabilities	(1,152,225)
Total identifiable net assets acquired	8,226,006

The above amounts have been measured on a provisional basis. If new information obtained within one year of the date of acquisition about facts and circumstances that existed at the date of acquisition identifies adjustments to the above amounts, or any additional provisions that existed at the date of acquisition, then the accounting for the acquisition will be revised.

8.2.4 Goodwill

Goodwill arising from the acquisition has been recognised as follows:

	Amount
Consideration	36,000,000
Fair value of identifiable net assets	(8,226,006)
NCI, based on their proportionate interest in the recognised amounts of the assets and liabilities of AATC	3,290,402
Goodwill	31,064,396

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9. PROPERTY, PLANT AND EQUIPMENT

	Buildings	Plant and equipment	Furniture and fittings	Computer equipment	Motor vehicles	Projects under progress	Total
Cost							
At 1 January 2024	390,897,460	382,975,659	1,780,440	4,008,869	12,505,778	57,131,965	849,300,171
Additions during the year	--	--	--	132,115	580,000	52,872,998	53,585,113
Disposals during the year	(55,002)	(3,045,128)	--	--	(461,000)	--	(3,561,130)
Transfers during the year	15,796,193	51,082,063	--	--	--	(66,878,256)	--
Transfers to intangible assets	--	-	--	--	--	(1,057,343)	(1,057,343)
At 31 December 2024	406,638,651	431,012,594	1,780,440	4,140,984	12,624,778	42,069,364	898,266,811
At 1 January 2025	406,638,651	431,012,594	1,780,440	4,140,984	12,624,778	42,069,364	898,266,811
Acquisitions through business combinations	28,669,248	32,318,817	149,290	164,642	1,087,937	--	62,389,934
Additions during the year	--	3,915,586	--	120,516	--	111,681,365	115,717,467
Transfers from inventories	--	7,059,858	--	--	--	--	7,059,858
Transfers during the year	8,329,084	3,974,168	2,550,117	--	--	(14,853,369)	--
At 31 December 2025	443,636,983	478,281,023	4,479,847	4,426,142	13,712,715	138,897,360	1,083,434,070
Accumulated depreciation							
At 1 January 2024	67,572,858	101,015,370	1,463,394	2,553,026	5,929,566	--	178,534,214
Charge for the year	17,051,668	19,470,412	62,827	607,992	1,875,627	--	39,068,526
Disposals during the year	(16,042)	(1,291,829)	--	--	(130,541)	--	(1,438,412)
At 31 December 2024	84,608,484	119,193,953	1,526,221	3,161,018	7,674,652	--	216,164,328
At 1 January 2025	84,608,484	119,193,953	1,526,221	3,161,018	7,674,652	--	216,164,328
Accumulated depreciation related to business combinations	16,557	15,167	4,243	9,053	141,972	--	186,992
Transfers from inventories	--	1,489,130	--	--	--	--	1,489,130
Charge for the year	18,860,714	24,208,800	132,650	613,312	1,500,884	--	45,316,360
At 31 December 2025	103,485,755	144,907,050	1,663,114	3,783,383	9,317,508	--	263,156,810
Carrying amounts							
At 31 December 2025	340,151,228	333,373,973	2,816,733	642,759	4,395,207	138,897,360	820,277,260
At 31 December 2024	322,030,167	311,818,641	254,219	979,966	4,950,126	42,069,364	682,102,483

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9.1 The buildings are built on land leased from the GFSA with an annual rental of ﷲ 8.39 million. The lease term is twenty-five calendar years commenced from 1 January 2017 (corresponding to 3 Rabee Thani 1438H) and is renewable for a similar period. In 2020, the lease term was extended by an additional three years.

9.2 As at 31 December 2025, projects under progress mainly consists of the following projects:

- i) Upgrading of Mill A in Jeddah
- ii) New Mill C in Qassim

Capital commitments relating to these projects amount to ﷲ 48.9 million (31 December 2024: ﷲ 49.70 million)

9.3 The depreciation charge on property, plant and equipment for the year has been allocated as follows:

	2025	2024
Cost of revenue (note 29)	40,322,809	33,759,474
General and administrative expenses (note 30)	3,790,872	4,078,102
Selling and distribution expenses (note 31)	1,202,679	1,230,950
	45,316,360	39,068,526

10. RIGHT-OF-USE ASSETS

The Group leases silos, lands, buildings, warehouses and equipment. Silos and lands are leased from the GFSA with a lease term of twenty-five calendar years commenced from 1 January 2017 (corresponding to 3 Rabi Al Thani 1438H) and is renewable for a similar period. In 2020, the lease term was extended by an additional three years. Other leases typically run for a period of 3 to 18 years, with an option to renew the lease after that date. For leases, the Group is restricted from entering into any sub-lease arrangements.

During the year, the Parent Company has entered into two new lease arrangements for lands located in Modon Industrial Area for a period of twenty years each.

During the year, the Group has recognized leasehold lands of Al-Manar Feed Company as part of the acquisition. The lease agreements are for a period of 14 years and are renewable upon agreement of new terms and conditions.

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The Group leases warehouses with contract terms of one year. These leases are short term leases. The Group has elected not to recognise right-of-use assets and lease liabilities for these leases.

	Silos	Lands	Buildings and warehouses	Equipment	Total
Cost					
At 1 January 2024	262,147,500	110,595,477	19,267,315	1,561,840	393,572,132
Impact of modification	--	11,625,464	--	--	11,625,464
Disposals during the year	--	--	(348,073)	--	(348,073)
At 31 December 2024	262,147,500	122,220,941	18,919,242	1,561,840	404,849,523
At 1 January 2025	262,147,500	122,220,941	18,919,242	1,561,840	404,849,523
Additions during the year	--	3,769,544	--	--	3,769,544
Acquisition through business combinations	--	679,374	--	--	679,374
At 31 December 2025	262,147,500	126,669,859	18,919,242	1,561,840	409,298,441
Accumulated depreciation					
At 1 January 2024	61,416,283	19,309,907	7,720,852	1,159,402	89,606,444
Charge for the year	9,577,318	4,802,561	1,149,518	402,438	15,931,835
Disposals during the year	--	--	(232,369)	--	(232,369)
At 31 December 2024	70,993,601	24,112,468	8,638,001	1,561,840	105,305,910
At 1 January 2025	70,993,601	24,112,468	8,638,001	1,561,840	105,305,910
Charge for the year	9,578,748	5,109,509	1,207,076	--	15,895,333
At 31 December 2025	80,572,349	29,221,977	9,845,077	1,561,840	121,201,243
Carrying amounts					
At 31 December 2025	181,575,151	97,447,882	9,074,165	--	288,097,198
At 31 December 2024	191,153,899	98,108,473	10,281,241	--	299,543,613

10.1 The depreciation charge on right-of-use assets for the year has been allocated as follows:

	2025	2024
Cost of revenue (note 29)	15,212,109	15,288,266
General and administrative expenses (note 30)	632,902	594,379
Selling and distribution expenses (note 31)	50,322	49,190
	15,895,333	15,931,835

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11. INTANGIBLE ASSETS

11.1 Intangible assets include computer programmes and software. Movement in intangible assets is as follows:

	Computer software	Projects under progress	Total
Cost:			
At 1 January 2024	6,898,484	--	6,898,484
Transfers from property, plant and equipment	--	1,057,343	1,057,343
Additions during the year	--	3,795,986	3,795,986
Transfers during the year	506,000	(506,000)	--
At 31 December 2024	7,404,484	4,347,329	11,751,813
At 1 January 2025	7,404,484	4,347,329	11,751,813
Additions during the year	--	3,183,014	3,183,014
Transfers during the year	7,070,918	(7,070,918)	--
At 31 December 2025	14,475,402	459,425	14,934,827
Accumulated amortization:			
At 1 January 2024	1,825,506	--	1,825,506
Charge for the year	763,621	--	763,621
At 31 December 2024	2,589,127	--	2,589,127
At 1 January 2025	2,589,127	--	2,589,127
Charge for the year	1,237,037	--	1,237,037
At 31 December 2025	3,826,164	--	3,826,164
Carrying amounts			
At 31 December 2025	10,649,238	459,425	11,108,663
At 31 December 2024	4,815,357	4,347,329	9,162,686

11.2 The amortisation charge on intangible assets for the year has been allocated as follows:

	2025	2024
Cost of revenue (note 29)	117,733	117,733
General and administrative expenses (note 30)	1,013,748	563,339
Selling and distribution expenses (note 31)	105,556	82,549
	1,237,037	763,621

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12. DERIVATIVE FINANCIAL INSTRUMENT

To hedge the variability in interest rate on Term Murabaha facility with a maturity date of 31 December 2035, the Group entered into a profit rate cap agreement with Gulf International Bank.

The profit rate cap agreement requires the Group to pay floating rate of SAIBOR until it reaches to 2%, post which the Group will pay only the cap rate of 2%. The maturity date of the agreement is 30 June 2026.

For the purpose of hedge accounting, profit rate cap has been designated into cash flow hedge. The fair value and notional amount of the profit rate cap derivative is as follows:

	31 December 2025	31 December 2024
Profit Rate Cap		
Notional amount	622,582,778	684,101,823
Positive fair value		
Current	7,928,860	19,422,922
Non-current	--	7,727,210
	7,928,860	27,150,132

The hedge has been assessed to be effective and as at 31 December 2025, net un-realised loss of ﷲ 14.44 million (31 December 2024: ﷲ 12.79 million) has been included in the other comprehensive income.

The components of other comprehensive income are as follows:

	31 December 2025	31 December 2024
Cash flow hedge – effective portion of changes in fair value	19,221,227	15,531,148
Cash flow hedge – reclassified to profit or loss	--	90
Cost of hedging reserve – changes in fair value	46	25,475
Cost of hedging reserve – reclassified to profit or loss	(4,779,950)	(2,756,736)
	14,441,323	12,799,977

The amount of ﷲ 5.53 million shown as cash flow hedging reserve in the consolidated statement of financial position as at 31 December 2025 is expected to affect the profit or loss in forthcoming years.

The table below summaries the maturity profile of the derivative financial instrument based on contractual undiscounted payments.

	Maturity		
	Less than 12 months	1 – 5 years	Total
31 December 2025	8,079,889	--	8,079,889
31 December 2024	20,095,829	8,310,854	28,406,683

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13. INVENTORIES

13.1 Inventories comprise of the following:

	31 December 2025	31 December 2024
Spare parts	73,864,690	79,472,822
Raw materials	85,488,098	55,455,904
Finished goods	19,051,616	18,839,216
Goods in transit	272,256	29,159,057
Others	354,921	591,913
Less: adjustment for net realizable value of inventories	(16,131,845)	(21,820,372)
	162,899,736	161,698,540

13.2 Spare parts amounting to ﷲ 10.01 million (31 December 2024: ﷲ 10.06 million) consumed during the year is included in the raw material consumed under cost of revenue. Cost of raw materials, packing materials and finished goods recognized during the year are disclosed in note 29.

13.3 Movement of adjustment for net realizable value of inventories during the year is as follows:

	31 December 2025	31 December 2024
At the beginning of the year	21,820,372	24,392,010
Transfer to property, plant and equipment	(1,489,130)	--
Write off during the year	(1,620,913)	--
Reversal during the year	(2,578,484)	(2,571,638)
At end of the year	16,131,845	21,820,372

13.4 During the year ended 31 December 2025, the Group has recognized reversal for net realizable value of inventories amounting to ﷲ 2.58 million (31 December 2024: reversal for the year amounting to ﷲ 2.57 million). The amount is included in the cost of revenue.

14. TRADE RECEIVABLES

14.1 Trade receivables comprise of the following:

	31 December 2025	31 December 2024
Trade receivables	41,625,930	20,174,992
Allowance for expected credit loss on trade receivables	(1,306,023)	(1,612,210)
	40,319,907	18,562,782

The settlement period of these trade receivables is 30 – 75 days and the Group holds no security against these receivables.

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14.2 The movement of allowance for expected credit losses during the year is as follows:

	31 December 2025	31 December 2024
At the beginning of the year	1,612,210	1,297,624
(Reversal)/provision during the year	(306,187)	314,586
At the end of the year	1,306,023	1,612,210

15. PREPAYMENTS AND OTHER CURRENT ASSETS

	31 December 2025	31 December 2024
Advances to contractors	21,036,340	7,160,683
Other receivables	5,938,948	3,483
Prepayments (note 15.1)	3,228,211	4,371,365
VAT receivable	3,449,136	--
Margins against letter of guarantees -restricted (note 35)	329,494	--
Security deposits	88,846	--
	34,070,975	11,535,531

15.1 Prepayments mainly includes prepaid rent, medical insurance and others.

16. CASH AND CASH EQUIVALENTS

	31 December 2025	31 December 2024
Cash at banks	93,129,887	65,540,441
Cash in hand	177,212	--
Short-term deposits	--	127,000,000
	93,307,099	192,540,441

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17. SHARE CAPITAL

The authorized, issued and fully paid-up share capital of the Parent Company as at 31 December 2025 amounted to ﷲ 555,000,000 (31 December 2024: ﷲ 555,000,000) consists of 55,500,000 shares (31 December 2024: 55,500,000 shares) at ﷲ 10 each share.

The shareholding pattern as of 31 December 2025 and 31 December 2024 is as follows:

	Percentage	No. of shares	Amount
Abdullah Abunayyan Trading Company	21	11,655,000	116,550,000
Al Mutlaq Group Industrial Investment Company	30	16,650,000	166,500,000
Al Safi Advanced Investments	12	6,660,000	66,600,000
Essa Al Ghurair Investments	7	3,885,000	38,850,000
Treasury shares (note 19.5)	0.54	300,000	3,000,000
General public	29.46	16,350,000	163,500,000
	100	55,500,000	555,000,000

18. SHAREHOLDERS’ CONTRIBUTION

The amount of ﷲ 6,751,214 (31 December 2024: ﷲ 6,751,214) represents the Parent Company’s share of IPO costs that have been collected from the shareholders.

19. RESERVES

19.1 Merger reserve

The balance of ﷲ 37,554,503 merger reserve on 31 December 2025 and 31 December 2024 was resulted from the merger of Raha Al Safi Food Company into The First Milling Company. (note 1).

19.2 Statutory reserve

In accordance with the previous By-laws of the Parent Company, the Parent Company transfers 10% of its net income each year as a statutory reserve until such reserve reaches 30% of the share capital. This statutory reserve is not required in accordance with the new Companies Law and amended By-laws of the Parent Company.

The Group is in the process of obtaining approvals from the relevant authorities and extra ordinary general assembly transfer this balance of statutory reserve to the retained earnings as on the date of approval of these consolidated financial statements.

19.3 General reserve

In accordance with the By-laws of the Parent Company, the Parent Company is required to transfer an amount not exceeding 10% of the Company’s profit, into the general reserve.

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19.4 Employees’ share based payments reserve

The Parent Company has established a share based compensation scheme for its key management that entitles them to the shares of the Parent Company subject to successfully meeting certain service and performance conditions. Under the share based remuneration scheme, the Group has only one outstanding plan which is matured during the year. Significant features of the scheme are as follows:

Nature of plan	Equity based long term bonus plan
Grant date	10 January 2024
Maturity date	31 December 2025
Vesting period	25 months (1 December 2023 – 31 December 2025)
Method of settlement	Equity-settled transaction
Fair value per share on grant date	ﷲ 75.1

The shareholders of the Parent Company through Extraordinary General Assembly Meeting held on 10 January 2024 (corresponding to 28 Jumada Al-Thani 1445H), approved the purchase of a number of shares which shall not exceed 300,000 shares for the purpose of allocating such shares to employees as part of the employee share scheme which shall be financed through the funds present in the Company, and on authorizing the Board to complete the purchase within a period not exceeding twelve months from the date of the extraordinary general assembly’s resolution.

The grant date for the year ended 31 December 2023 was determined as the date of approval of the scheme from the shareholders of the Parent Company. The provision was recognized for services provided by the employees in those financial statements based on the fair value of shares on 31 December 2023. The Group has revised the estimate of expense for the year ended 31 December 2023 with an amount of ﷲ 9,521 based on the fair value of shares on grant date of 10 January 2024.

These shares are granted only under a service/performance condition with no market condition associated with them.

Total amount of expense recognized in the consolidated statement of profit or loss and other comprehensive income during the year ended 31 December 2025 in respect of this scheme is ﷲ 11.89 million (31 December 2024: ﷲ 2.85 million) for 269,666 shares (31 December 2024: 284,296 shares) granted during the year at a weighted average price of ﷲ 74.3 per share (31 December 2024: ﷲ 74.3 per share).

The movement in the number of shares granted is as follows:

	31 December 2025	31 December 2024
At the beginning of the year	284,296	292,159
Granted during the year	6,694	51,126
Forfeited during the year	(21,324)	(58,989)
At the end of the year	269,666	284,296

19.5 Treasury shares

The Parent Company has buy-back its 300,000 shares as treasury shares at an average price of ﷲ 84.54 during the year ended 31 December 2024.

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20. DIVIDENDS PAYABLE

20.1 On 23 July 2025 (corresponding to 28 Muharram 1447H), and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 24 June 2025 (corresponding to 28 Dhul Hijjah 1446H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2025, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the first six months of 2025 ended on 30 June 2025 (corresponding to 5 Muharram 1447H), with a total amount of ﷲ 81,696,000 at ﷲ 1.48 per share of the nominal capital. The dividends were distributed on 20 August 2025 (corresponding to 26 Safar 1447H).

20.2 On 12 March 2025 (corresponding to 12 Ramadan 1446H), and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 10 January 2025 (corresponding to 28 Jumada Al Thani 1445H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2024, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the last six months of 2024 ended on 31 December 2024 (corresponding to 30 Jumada Al Thani 1446H), with a total amount of ﷲ 71,595,000 at ﷲ 1.29 per share of the nominal capital. The dividends were distributed on 22 April 2025 (corresponding to 24 Shawwal 1446H).

20.3 On 22 July 2024 (corresponding to 16 Muharram 1446H) and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 10 January 2024 (corresponding to 28 Jumada Al-Thani 1445H) regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2024, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the first six months of 2024 ended on 30 June 2024, with a total amount of ﷲ 86,025,000 at ﷲ 1.55 per share or (15.5%) of the nominal capital. The dividends were distributed on 13 August 2024 (corresponding to 9 Safar 1446H).

20.4 On 10 March 2024 (corresponding to 29 Shaban 1445H), and based on the resolution of the Ordinary General Assembly of the Parent Company held on 6 March 2024 (corresponding to 25 Shaban 1445H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2023, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the last six months of 2023 ended on 31 December 2023 (corresponding to 18 Jumada Al Thani 1445H), with a total amount of ﷲ 78,255,000 at ﷲ 1.41 per share of the nominal capital. The dividends were distributed on 23 April 2024 (corresponding to 14 Shawwal 1445H).

20.5 Movement in dividends payable is as follows:

	31 December 2025	31 December 2024
At the beginning of the year	19,907	19,811
Declared during the year	153,735,000	164,280,000
Paid during the year	(152,904,000)	(163,673,904)
Dividends on treasury shares	(831,000)	(606,000)
At the end of the year	19,907	19,907

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21. LEASE LIABILITIES

21.1 Movement in lease liabilities during the year is as follows:

	31 December 2025	31 December 2024
At the beginning of the year	340,191,384	338,090,038
Additions during the year	3,769,544	--
Acquisition through business combinations	679,374	--
Impact of modification	--	11,625,464
Disposals during the year	--	(108,902)
Finance charges on lease liabilities	13,750,360	13,482,184
Repayment of lease liabilities	(18,377,536)	(13,545,414)
Finance cost paid on lease	(13,140,881)	(9,351,986)
At the end of the year	326,872,245	340,191,384
Current portion	25,047,877	30,925,951
Non – Current portion	301,824,368	309,265,433
	326,872,245	340,191,384

21.2 Amounts recognised in consolidated statements of profit or loss

	2025	2024
Finance cost on lease liabilities	13,750,360	13,482,184
Expenses relating to short-term leases and low-value assets	3,863,385	3,758,065

21.3 Amounts recognised in consolidated statement of cash flows

	2025	2024
Repayment of lease liabilities	18,377,536	13,545,414
Finance cost paid on lease	13,140,881	9,351,986
	31,518,417	22,897,400

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22. LONG-TERM LOANS

	31 December 2025	31 December 2024
Term murabaha facility	785,054,580	877,751,786
Long-term loan – SIDF	75,000,000	150,000,000
Long-term loan – SAB	54,600,000	--
Accrued interest	267,616	--
Less: unamortised loan transaction cost	(14,170,820)	(17,113,867)
	900,751,376	1,010,637,919
Current portion	122,262,474	162,367,151
Non-current portion	778,488,902	848,270,768
	900,751,376	1,010,637,919

The Group has a term Murabaha facility with Alinma Bank amounting to ﷲ 1,371 million, of which ﷲ 1,300 million was utilised as at 31 December 2025. The facility carries interest at SAIBOR plus a margin, is subject to financial covenants, and is secured by promissory notes and certain pledged assets. The utilised amount is repayable in 30 unequal instalments commencing from 30 June 2021.

During the year ended 31 December 2024, the Group obtained an interest-free loan from the Saudi Industrial Development Fund (SIDF) amounting to ﷲ 150 million to finance working capital requirements. The loan is subject to financial covenants and secured by promissory notes. It is repayable in four equal instalments of ﷲ 37.5 million over 24 months from the date of first disbursement (5 August 2024).

During the year, the Group obtained a term finance facility from Saudi Awwal Bank (SAB) amounting to ﷲ 630 million, of which ﷲ 54.6 million was utilized. The utilized portion is subject to financial covenants and is repayable in ten unequal semi-annual instalments commencing from 21 June 2026. The Group's financing arrangements with SAB include financial covenant requirements relating to certain liquidity ratios. As at 31 December 2025, the current ratio was below the minimum threshold specified in the facility agreement. However, subsequent to the year end, a formal waiver was obtained, confirming continuation of the facility under its existing terms and repayment schedule.

Movement in loan balance as on 31 December 2025 is as follows:

	Term Murabaha Facility	SIDF Loan	SAB Loan	Total
At the beginning of the year	877,751,786	150,000,000	--	1,027,751,786
Acquired during the year	--	--	54,600,000	54,600,000
Paid during the year	(92,697,206)	(75,000,000)	--	(167,697,206)
At the end of the year	785,054,580	75,000,000	54,600,000	914,654,580

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Movement in loan balance as on 31 December 2024 is as follows:

	Term Murabaha Facility	SIDF Loan	Total
At the beginning of the year	1,059,449,501	--	1,059,449,501
Acquired during the year	--	150,000,000	150,000,000
Paid during the year	(181,697,715)	--	(181,697,715)
At the end of the year	877,751,786	150,000,000	1,027,751,786

Maturity analysis–contractual cash flows

	31 December 2025	31 December 2024
Within one year	216,709,249	224,604,722
One to five year	579,997,430	610,145,311
More than five year	438,693,357	558,892,360
	1,235,400,036	1,393,642,393

23. LONG-TERM PAYABLES

	31 December 2025	31 December 2024
Current portion	16,413,077	9,536,174
Non-current portion	42,148,019	23,596,226
	58,561,096	33,132,400

Long-term payables represent the amounts payable to Buhler AG for the purchase of machinery and equipment in ten equal semi-annual instalments.

During the year, an amount of ﷲ 33.59 million (CHF 7,958,892) was recognized in respect of machinery and equipment purchased for the new Flour Mill C project in Al-Qassim and the new Pesa Mill.

Maturity analysis–contractual undiscounted cash flow

	31 December 2025	31 December 2024
Within one year	18,326,041	10,813,862
One to five years	46,269,507	27,034,655
	64,595,548	37,848,517

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24. EMPLOYEES’ DEFINED BENEFIT OBLIGATIONS

	31 December 2025	31 December 2024
Present value of defined benefit obligation	7,989,291	8,674,000

ACTUARIAL ASSUMPTIONS

The major financial assumptions used to calculate the defined benefit obligation are as follows:

	31 December 2025	31 December 2024
Discount rate	4.90%	5.00%
Salary increase rate	2.00%	2.00%
Mortality Table	Saudi Life Table	Saudi Life Table
Employee turnover (withdrawal) rate	1%-25%	1%-25%
Expected retirement age	60 Years	60 Years

At 31 December 2025, the weighted-average duration of the defined benefit obligation was 6 years (31 December 2024: 4 years).

AMOUNT CHARGED TO CONSOLIDATED PROFIT OR LOSS

	2025	2024
Service (income)/cost	(410,009)	3,478,000
Net interest amount charged on the net defined benefit liability	584,000	461,000
The total amount charged to profit or loss	173,991	3,939,000

AMOUNT CHARGED TO CONSOLIDATED OTHER COMPREHENSIVE INCOME

	2025	2024
(Loss)/gain resulting from the change in financial assumptions	(43,000)	74,000
Gain resulting from experience adjustments	695,869	877,201
Actuarial gain	652,869	951,201

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NET DEFINED BENEFIT OBLIGATION

	31 December 2025	31 December 2024
Net defined benefit obligation at the beginning of the year	8,674,000	6,552,000
Acquisition through business combinations	627,300	--
Current service cost	3,369,991	3,478,000
Past service cost	(3,780,000)	--
Interest expense	584,000	461,000
Paid during the year	(833,131)	(865,799)
Remeasurement of the net defined benefit liability	(652,869)	(951,201)
Present value of the defined benefit obligation at the end of the year	7,989,291	8,674,000

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions for 31 December 2025 is:

	Increase / (Decrease)		
	Original	%	Amount (ﷲ)
Discount rate	7,989,291	+ 1%	(413,000)
		- 1%	467,000
Salary increase rate	7,989,291	+ 1%	477,000
		- 1%	(428,000)
Employee turnover rate	7,989,291	+1%	(76,000)
		- 1%	72,000

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions for 31 December 2024 is:

	Increase / (Decrease)		
	Original	%	Amount (ﷲ)
Discount rate	8,674,000	+ 1%	(353,000)
		- 1%	395,000
Salary increase rate	8,674,000	+ 1%	404,000
		- 1%	(366,000)
Employee turnover rate	8,674,000	+1%	(21,000)
		- 1%	27,000

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The undiscounted maturity profile of the defined benefit obligation is as follows:

	31 December 2025	31 December 2024
Current portion	1,036,000	2,353,000
Between 1 and 2 years	1,595,000	2,175,000
Between 2 and 5 years	4,065,000	5,541,000
Beyond 5 years	26,333,000	24,143,000
	33,029,000	34,212,000

25. SHORT-TERM LOAN

	31 December 2025	31 December 2024
Short-term loan	40,000,000	--

Short-term loan comprises of revolving finance facility for a period of one year, repayable in 90 days from the date of drawdown, to finance the working capital needs of the Group. The total facility amount is ﷲ 40,000,000 that was temporarily extended to ﷲ 80,000,000 for a period of three months (note 22). The facility carries interest at SAIBOR plus 1 % margin.

26. ACCRUED EXPENSES AND OTHER CURRENT LIABILITIES

	31 December 2025	31 December 2024
Accrued expenses (note 26.1 and 26.2)	77,965,620	61,926,564
VAT payable	--	4,585,332
Other payables (note 26.2)	14,628,567	928,710
Dividends payable (note 20)	19,907	19,907
	92,614,094	67,460,513

26.1 Accrued expenses mainly comprise of accrued electricity, rent, professional services charges and employee related expenses.

26.2 This includes ﷲ 13.93 million consideration payable in relation to acquisition of Al-Kenan Arabia Trading Company.

26.3 This includes fines and penalties relating to a claim received from GFSA on 17 December 2024 following an inspection conducted on 19 October 2024 concerning compliance with applicable regulatory requirements. Management has submitted its response in consultation with an independent expert. As the matter remains under review, a provision of ﷲ 2 million has been recognised in the consolidated financial statements (31 December 2024: ﷲ 2 million)

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27. ADVANCES FROM CUSTOMERS

Advances from customers primarily relates to the advance consideration received from customers for the sale of goods. Advances from customers amounting to ﷲ 24.31 million as at 31 December 2024 has been recognised as revenue in the consolidated statement of profit or loss and other comprehensive income for the year ended 31 December 2025 (31 December 2024: ﷲ 18.77 million). The Group expects to recognise advances from customers amounting to ﷲ 20.44 million as revenue for the year ending 31 December 2026.

28. REVENUE FROM CONTRACTS WITH CUSTOMERS

	2025	2024
Sale of goods	1,146,373,588	1,048,854,922

The Group generates revenue primarily from the sale of flour, feed and bran.

28.1 Disaggregation of revenue from sales of goods

Revenue is disaggregated by type of goods as shown below:

Type of goods	2025	2024
Flour	651,839,323	599,124,549
Feed	351,680,135	311,901,736
Bran	142,854,130	137,828,637
	1,146,373,588	1,048,854,922

Revenue from flour includes semolina and flour mixes.

29. COST OF REVENUE

Cost of revenue comprises the following:

	2025	2024
Raw materials consumed	480,431,345	427,456,572
Salaries and other benefits	62,409,747	59,129,648
Fuel and power	31,029,729	27,894,326
Depreciation of property, plant and equipment (note 9.3)	40,322,809	33,759,474
Depreciation of right-of-use assets (note 10.1)	15,212,109	15,288,266
Other expenses	19,070,506	17,333,484
Transportation and distribution	6,646,883	6,400,375
Adjustment for net realizable value of inventories	(2,578,484)	(2,571,638)
Maintenance	4,718,338	7,629,670
Professional and consulting fees	661,956	1,121,256
Short-term lease rentals	3,826,740	3,602,065
Amortization of intangible assets (note 11.2)	117,733	117,733
	661,869,411	597,161,231
Finished goods inventory at the beginning of the year	18,839,216	13,445,109
Finished goods inventory acquired through business combination	2,513,552	--
Finished goods available for sale during the year	683,222,179	610,606,340
Finished goods inventory at the end of the year	(19,051,616)	(18,839,216)
	664,170,563	591,767,124

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30. GENERAL AND ADMINISTRATIVE EXPENSES

General and administrative expenses comprise the following:

	2025	2024
Salaries and other benefits	41,778,790	49,273,132
Other expenses	13,053,997	13,252,598
Professional and consulting fees	8,738,686	9,418,917
Depreciation of property, plant and equipment (note 9.3)	3,790,872	4,078,102
Board and committees' expenses, rewards and allowances (note 37)	4,753,000	3,063,959
Fuel and power	694,000	621,663
Material and supplies	294,467	562,911
Amortization of intangible assets (note 11.2)	1,013,748	563,339
Depreciation of right-of-use assets (note 10.1)	632,902	594,379
Maintenance	182,344	392,891
Short-term lease rentals	36,645	54,018
	74,969,451	81,875,909

31. SELLING AND DISTRIBUTION EXPENSES

Selling and distribution expenses comprise the following:

	2025	2024
Advertising and marketing	13,619,639	18,072,266
Salaries and other benefits	24,416,395	20,775,636
Transportation and distribution	25,123,331	13,644,256
Other expenses	2,751,429	1,149,130
Depreciation of property, plant and equipment (note 9.3)	1,202,679	1,230,950
Short-term lease rentals	--	101,982
Fuel and power	440,212	434,133
Material and supplies	113,196	25,010
Depreciation of right-of-use assets (note 10.1)	50,322	49,190
Amortization of intangible assets (note 11.2)	105,556	82,549
	67,822,759	55,565,102

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32. FINANCE COSTS

Finance costs comprise the following:

	2025	2024
Interest on loans	51,764,710	73,070,444
Finance cost on lease liabilities	13,750,360	13,482,184
Amortisation of loan transaction cost	8,493,046	3,777,174
Finance cost on long-term payables	2,172,757	2,773,724
Finance cost on employees' defined benefit obligations	584,000	461,000
Ineffective portion of changes in fair value of cash flow hedge	--	(90)
Amortisation of cost of hedging (note 12)	4,779,950	2,756,736
	81,544,823	96,321,172

33. INTEREST INCOME

	2025	2024
Interest income on cash flow hedge (Profit rate cap)	22,041,942	28,927,427
Interest income on bank deposits	2,774,294	5,826,799
	24,816,236	34,754,226

34. ZAKAT

34.1 Components of Zakat base

The significant components of the Zakat base of the Group under zakat regulations are as follows:

	31 December 2025	31 December 2024
Equity at the beginning of the year	945,048,823	892,136,862
Opening allowances and other adjustments	--	(509,130)
Book value of long-term assets	2,258,038,652	2,169,183,354
Zakat base excluding the zakat able income	(1,048,991,054)	(168,892,763)
Zakat able income for the year	270,622,511	237,888,753
Adjusted zakat base for the year	270,622,511	237,888,753

34.2 Movement in provision for Zakat during the year is as follows:

	31 December 2025	31 December 2024
At the beginning of the year	5,936,643	6,654,883
Charged during the year	6,978,402	6,144,269
Acquisition through business combinations	191,347	--
Paid during the year	(6,172,426)	(6,862,509)
At end of the year	6,933,966	5,936,643

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34.3 Zakat Status

The Parent Company has filed its Zakat returns for the years up to 31 December 2024. Zakat assessments for the years up to 31 December 2023 have been finalised with no additional liabilities.

During the year, ZATCA issued an initial assessment for the year ended 31 December 2024, resulting in additional Zakat of ﷲ 0.35 million and withholding tax (WHT) of ﷲ 0.16 million. The Group has settled the WHT of ﷲ 0.16 million, while the Zakat assessment remains under review.

35. CAPITAL COMMITMENTS AND CONTINGENCIES

35.1 Contingencies

- The Parent Company has provided bank guarantees, issued by Banque Saudi Fransi, amounting to ﷲ 2,232,315 in favour of GFSA for lease of silos in Jeddah, Qassim and Al-Ahsa. These guarantees are valid up to 31 December 2041 (corresponding to 7 Muharram 1464H).
- The Parent Company has provided bank guarantees, issued by Banque Saudi Fransi, amounting to ﷲ 329,494 in favour of GFSA for lease of lands in Qassim, Tabuk and Al-Ahsa. These guarantees are valid up to 22 June 2026 (corresponding to 7 Muharram 1448H).
- The Parent Company has provided bank guarantees, issued by Saudi Awwal Bank, amounting to ﷲ 69,400,000 in favour of SIDF as a condition precedent for the proposed loan. These guarantees are valid up to 18 June 2026 (corresponding to 3 Muharram 1448H).
- The Parent Company has provided bank guarantees, issued by Saudi Awwal Bank, amounting to ﷲ 329,494 in favor of GFSA for lease of lands in Qassim, Tabuk and Al-Ahsa. These guarantees are valid up to 22 June 2026 (corresponding to 7 Muharram 1448H).

35.2 Commitments

The following LCs are outstanding as at 31 December 2025:

- Import LC amounting to ﷲ 60,451,599 (CHF 12,750,543) with an outstanding amount of ﷲ 54,511,430 (CHF 11,497,634) in favour of Buhler AG for supply of machines and equipment for five projects in Jeddah. The LC will remain valid till 28 February 2028 (corresponding to 3 Shawwal 1449H).
- Import LC amounting to ﷲ 62,371,664 (CHF 13,155,526) and fully outstanding balance in favour of Buhler AG for upgrade of Mill A and Mill B. The LC will remain valid till 16 August 2031 (corresponding to 17 Rabi Al-Akhar 1453H).
- Import LC amounting to ﷲ 2,147,012 (CHF 452,851) with an outstanding amount of ﷲ 214,696 (CHF 45,284) in favour of Buhler + Scherler AG for purchase of supply of electrical cables with accessories for (Mill C and Pesa Mill) in Jeddah. The LC will remain valid till 21 March 2026 (corresponding to 2 Shawwal 1447H).

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36. EARNINGS PER SHARE

36.1 Basic earnings per share

The calculation of basic earnings per share has been based on the distributable earnings attributable to shareholders of ordinary shares and the weighted average number of ordinary shares outstanding at the date of the consolidated financial statements.

	2025	2024
Profit attributable to the owners of the Company	277,443,269	250,901,722
Weighted average number of ordinary shares for basic EPS	55,500,000	55,440,325
Earnings per share – basic	4.99	4.53

36.2 Diluted earnings per share

The calculation of diluted earnings per share has been based on the earnings attributable to shareholders of ordinary shares and the weighted-average number of ordinary shares outstanding after adjustment for the effects of all dilutive potential ordinary shares if any. The diluted earnings per share is adjusted with the impact of the employees' share based payments plan.

	2025	2024
Profit attributable to the owners of the Company	277,443,269	250,901,722
Weighted average number of ordinary shares for diluted EPS	55,769,666	55,724,621
Earnings per share – diluted	4.97	4.50

37. RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent the shareholders with significant influence, key management personnel of the Group, and entities controlled or significantly influenced by such parties. The terms of the transactions with related parties are approved by the Group's management. Transactions with related parties are on the basis of contractual arrangements made with them.

TRANSACTIONS WITH KEY MANAGEMENT PERSONNEL

For the purposes of the disclosure requirements contained in IAS 24 Disclosures Related to Related Parties, the phrase “key management personnel” (i.e., those persons who have the authority and responsibility to plan, direct and control the activities of the Group) refers to the board of directors, chief executive officer and other executives of the Group.

The compensation of the senior management personnel includes salaries and other benefits. The amounts disclosed in the table represent the amounts recognised as an expense during the financial year in respect of key management personnel.

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Compensation of key management personnel of the Group for the year ended 31 December:

	2025	2024
Short-term employee benefits	12,564,165	11,837,835
Post-employment benefits	1,090,223	797,557
Share-based payments	4,003,295	3,815,038
Total compensation paid to key management personnel	17,657,683	16,450,430

Short term employee benefits include ﷲ 4.75 million (31 December 2024: ﷲ 3.06 million) board and committees’ fees, rewards and allowances.

OTHER RELATED PARTY TRANSACTIONS

Transactions with related parties arise mainly from services provided/received and payments made on behalf of each other and are undertaken at mutually agreed terms. Due to related parties are the balances payable on demand, interest free and unsecured.

The aggregate value of related parties’ transactions and outstanding balances including those related to key management personnel, and entities over which they have control or significant influence are as follows:

			Amount of transactions		Closing balance	
Name	Relationship	Nature of transactions	2025	2024	2025	2024
Due to related parties						
Al Mutlaq Group Industrial Investment Company	Shareholder	Expenses incurred on behalf of the Company	82,734	446,619	85,868	3,134
					85,868	3,134

38. FINANCIAL INSTRUMENTS

Set out below is an overview of financial assets held by the Group:

	31 December 2025	31 December 2024
Financial assets at amortised cost:		
Bank balances and short-term deposits	93,129,887	192,540,441
Trade receivables	40,319,907	18,562,782
Margins against letter of guarantees	2,561,809	2,561,809
Other current financial assets	5,938,948	3,483
	141,950,551	213,668,515

	31 December 2025	31 December 2024
Financial assets at fair value – hedging instruments:		
Derivative financial instrument	7,928,860	27,150,132

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Set out below is an overview of financial liabilities held by the Group:

	31 December 2025	31 December 2024
Financial liabilities at amortised cost:		
Trade and other payables	73,372,341	60,133,757
Accrued expenses and other current liabilities	14,648,474	948,617
Long-term loans	914,922,196	1,027,751,786
Short-term loan	40,000,000	--
Lease liabilities	326,872,245	340,191,384
Long-term payables	58,561,096	33,132,400
Due to related parties	85,868	3,134
	1,428,462,220	1,462,161,078

Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Financial instruments comprise of financial assets and financial liabilities. The Group ’s financial assets consist of bank balances and short-term deposits, trade receivables, margins against letter of guarantees, and other current assets. Its financial liabilities consist of trade and other payables, certain accrued expense and other current liabilities, long-term loans, short-term, loan, obligations under finance lease, long-term payables and amounts due to related parties.

The management assessed that fair value of bank balances and short-term deposits, trade receivables, margins against letter of guarantees, other current assets, trade and other payables, certain accrued expense and other current liabilities, long-term loans, short-term loan, obligations under finance lease, long-term payables and amounts due to related parties approximate their carrying amounts, largely due to the short-term maturities of these instruments except for the long-term loans which carries floating rate based on the market terms.

All financial instruments for which fair value is recognised or disclosed are categorised within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement as a whole, as follows:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; or
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

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For assets and liabilities that are recognised at fair value on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

31 December 2025				
	Level 1	Level 2	Level 3	Total
Financial asset				
Derivative Financial Instrument	--	7,928,860	--	7,928,860

31 December 2024				
	Level 1	Level 2	Level 3	Total
Financial asset				
Derivative Financial Instrument	--	27,150,132	--	27,150,132

Derivative financial instrument has been valued using the present value technique under income approach as per IFRS 13. The fair value of the hedge instrument has been calculated as the present value of the intrinsic value that has been treated based on the difference between implied SAIBOR 3-months curve and cap rate as at 31st December in order to reflect the market conditions as at the date.

There were no transfers between levels of fair value measurements in 2025 and 2024. No transfers between any levels of the fair value hierarchy took place in the equivalent comparative period.

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The main purpose of the Group 's financial instruments is to raise finances for the Group 's operations.

The Group 's activities expose it to a variety of financial risks that include credit risk, liquidity risk, and market risk. These financial risks are actively managed by the Group 's Finance Department under strict policies and guidelines approved by the Board of Directors. The Group 's Finance Department actively monitors market conditions minimising the volatility of the funding costs of the Group.

There were no changes in the policies for managing these risks.

Credit risk

Credit risk is the risk that one party will fail to discharge an obligation and will cause the other party to incur a financial loss. The Group 's exposure to credit risk is influenced mainly by the individual characteristics of each customer which the Group seeks to manage its credit risk with respect to customers by setting credit limits for individual customers and by monitoring outstanding receivables. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customers operate. Owing to nature of the Group's business, significant portion of revenue is collected in cash due to which the Group is not significantly exposed to credit risks.

Excessive risk concentration:

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions.

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Concentrations indicate the relative sensitivity of the Group's performance to developments affecting a particular industry. In order to avoid excessive concentrations of risk, the Group's policies and procedures include specific guidelines to focus on the maintenance of a diversified portfolio. Identified concentrations of credit risks are controlled and managed accordingly.

The Group is exposed to credit risk on its bank balances and short-term deposits, trade receivables, margins against letter of guarantees and other current financial assets as follows:

	31 December 2025	31 December 2024
Financial assets at amortised cost:		
Bank balances and short-term deposits	93,129,887	192,540,441
Trade receivables	40,319,907	18,562,782
Margins against letter of guarantees	2,561,809	2,561,809
Other current financial assets	5,938,948	3,483
	141,950,551	213,668,515

The carrying amount of financial assets represent the maximum credit exposure. Credit risk on balances with banks, short-term deposits and margins against letter of guarantees is limited as:

Cash balances, short-term deposits and margins are held with banks with sound credit ratings as below:

Banks	Rating		Rating agency	Nature of financial asset	31 December 2025	31 December 2024
	Short-term	Long-term				
Gulf International Bank	P-1	A-2	Moody's	Cash balance	5,732,730	6,340,978
Banque Saudi Fransi	P-1	A-1	Moody's	Cash balance	10,204,373	10,259,865
				Margins against LGs	2,561,809	2,561,809
Alinma Bank	P-1	A-2	Moody's	Cash balance	43,180,199	44,035,967
				Short-term deposit	--	127,000,000
Saudi National Bank	P-1	Aa-3	Moody's	Cash balance	761,662	4,903,631
Saudi Awwal Bank	P-1	A-1	Moody's	Cash balance	18,353,166	--
Al Rajhi Bank	P-1	Aa-3	Moody's	Cash balance	14,897,757	--
					95,691,696	195,102,250

Ratings of Prime-1 (P-1) reflect a superior ability to repay short-term obligations (Aaa – A3).

Ratings of Prime-2 (P-2) reflect a strong ability to repay short-term obligations (A2 – Baa2).

Expected credit losses:

The Group considers that its cash and cash equivalents and margins against letter of guarantees have low credit risk based on the external credit ratings (long-term) of the respective counterparties.

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Trade receivables

The Group ‘s exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customers operate.

The Group manages its exposure to credit risk from trade receivables by largely operating under advance payment or cash-based arrangements with customers. In most cases, payment is received prior to the delivery of goods, which significantly reduces the level of outstanding receivables. While a portion of sales is conducted on credit terms, management monitors receivable balances closely and applies established credit controls to mitigate the related credit risk.

Expected credit loss assessment for accounts and other receivables

As per IFRS 9, the simplified approach is used to measure expected credit losses which uses a lifetime expected loss allowance for all financial assets measured at amortised cost and contract assets.

The expected loss rates are based on the payment profiles of receivables over a suitable period and corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified GDP of Kingdom of Saudi Arabia (the country in which it renders the services) to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

The Group assessed the concentration of risk with respect to trade receivables and concluded it to be low.

The following table provides information about the exposure to credit risk and ECLs for trade receivables as at 31 December 2025.

Trade receivables	Loss rate	Gross carrying amount	Loss allowance	Credit-impaired
Current (not past due)	0.41%	36,210,590	148,289	No
0 – 90 days past due	1.10%	4,090,032	45,764	No
91 – 180 days past due	4.87%	41,040	2,000	No
181 – 360 days past due	23.43%	317,467	74,394	Yes

The following table provides information about the exposure to credit risk and ECLs for trade receivables as at 31 December 2024.

Trade receivables	Loss rate	Gross carrying amount	Loss allowance	Credit-impaired
Current (not past due)	0.61%	16,031,020	97,680	No
0 – 90 days past due	2.83%	2,251,980	63,621	No
91 – 180 days past due	7.98%	148,403	11,846	No
181 – 360 days past due	20.22%	44,988	9,099	Yes
More than 360 days past due	100.00%	213,725	213,724	Yes

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Liquidity risk

Liquidity risk is the risk that the Group will be unable to meet its payment obligations as they fall due. The Group seeks to manage its liquidity risk to be able to meet its operating cash flow requirements, finance capital expenditures and service maturing debts. The Group ‘s approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group’s reputation. The Group’s liquidity position is also supported by committed financing facilities and the scheduled maturity profile of its borrowings, which extends beyond one year for the majority of its debt obligations.

The table below summarises the maturities of the Group’s financial liabilities as 31 December 2025 and 31 December 2024 based on contractual payment dates and current market interest rates as following.

31 December 2025

Non derivative financial liabilities	Carrying amounts	Contractual amounts			Total contractual amounts
		1 year or less	1 to 5 years	More than 5 years	
Trade and other payables	73,372,341	73,372,341	--	--	73,372,341
Accrued expenses and other current liabilities	14,648,474	14,648,474	--	--	14,648,474
Long-term loans	914,922,196	216,709,249	579,997,430	438,693,357	1,235,400,036
Short-term loan	40,000,000	40,206,950	--	--	40,206,950
Lease liabilities	326,872,245	25,008,585	98,344,983	344,534,419	467,887,987
Long-term payables	58,561,096	18,326,041	46,269,507	--	64,595,548
Due to related parties	85,868	85,868	--	--	85,868
	1,428,462,220	388,357,508	724,611,920	783,227,776	1,896,197,204

31 December 2024

Non derivative financial liabilities	Carrying amounts	Contractual amounts			Total contractual amounts
		1 year or less	1 to 5 years	More than 5 years	
Trade and other payables	60,133,757	60,133,757	--	--	60,133,757
Accrued expenses and other current liabilities	948,617	948,617	--	--	948,617
Long-term loans	1,027,751,786	224,604,722	610,145,311	558,892,360	1,393,642,393
Lease liabilities	340,191,384	25,011,275	97,455,359	364,474,695	486,941,329
Long-term payable	33,132,400	10,813,862	27,034,655	--	37,848,517
Due to related parties	3,134	3,134	--	--	3,134
	1,462,161,078	321,515,367	734,635,325	923,367,055	1,979,517,747

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Market risk

Market risk is the risk that changes in market prices - such as foreign exchange rates, interest rates and equity prices - will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the return. Market risk is the risk that the fair value or the future cash flows of a financial instrument may fluctuate as a result of changes in market profit rates or the market prices of securities due to change in credit rating of the issuer or the instrument, change in market sentiments, speculative activities, supply and demand of securities and liquidity in the market.

Market risk comprises of three types of risk: foreign currency risk, interest rate risk and other price risks.

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Group 's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when revenue or expense is denominated in a foreign currency). However, as the Group primarily deals in USD, CHF and EURO, with CHF and EURO being immaterial and the majority being in USD, which is pegged with ﷲ, the Group's exposure to foreign currency risk is immaterial. No sensitivity for foreign currency risk is presented due to its minimal effect on the consolidated financial statements.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group 's exposure to the risk of changes in market interest rates relates primarily to the Group 's long-term debt obligations with floating interest rates.

The Group manages its interest rate risk by entering into hedging contracts for its floating rate long-term loans. The Group hedges long term interest rate sensitivities through hedge strategies, including use of derivative financial instrument and regularly monitors market special commission rates. The Group does not account for any fixed special commission rate bearing financial assets or financial liabilities at fair value and therefore, a change in special commission rates at the reporting date would not have any effect on the financial statements relating to these financial instruments. The Group continuously monitors benchmark rate developments and assesses the cost-benefit of further hedging strategies in light of its financing structure and market expectations.

Sensitivity analysis

A reasonably possible change of 100 basis points in interest rates at the reporting date would have increased (decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

Floating rate financial liabilities

	Impact on profit or loss	
	31 December 2025	31 December 2024
100 bps increase	9,546,546	10,106,379
100 bps decrease	(9,546,546)	(10,106,379)

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Financial derivatives

	Impact on net equity	
	31 December 2025	31 December 2024
100 bps increase	1,428,299	6,850,000
100 bps decrease	(1,442,752)	(7,011,000)

Capital Risk Management

For the purpose of the Group's management, capital includes issued share capital, and all other equity reserves attributable to the equity holders. The primary objective of the Group's capital management is to maximize the shareholders' value.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions. The Group monitors capital using a gearing ratio, which is 'net debt' divided by total capital plus net debt. The Group includes within net debt, loans and borrowings, lease liabilities, long-term payables, employees' defined benefit obligations, zakat payable, less cash and cash equivalents. The gearing ratio as at 31 December 2025 and 31 December 2024 is as follows:

	31 December 2025	31 December 2024
Loans and borrowings	940,751,376	1,010,637,919
Lease liabilities	326,872,245	340,191,384
Long-term payables	58,561,096	33,132,400
Employees' defined benefit obligations	7,989,291	8,674,000
Zakat payable	6,933,966	5,936,643
Less: Cash and cash equivalents	(93,307,099)	(189,275,430)
Net debt	1,247,800,875	1,209,296,916
Share capital	555,000,000	555,000,000
Shareholders' contributions	6,751,214	6,751,214
Statutory reserve	82,823,399	82,823,399
Retained earnings	433,311,387	333,209,421
Equity	1,077,886,000	977,784,034
Capital and net debt	2,325,686,875	2,187,080,950
Gearing ratio	53.65%	55.29%

39. SUBSEQUENT EVENTS

39.1 Subsequent to the reporting date, the Middle East region has witnessed heightened geopolitical and security developments, resulting in increased uncertainty in certain regional markets. Management has evaluated these developments in accordance with IAS 10, Events after the Reporting Period, and determined that they constitute non-adjusting events, as they relate to conditions that arose after 31 December 2025. Accordingly, no adjustments have been made to the amounts recognized in these financial statements. Based on the information available up to the date of authorization of these financial statements, management has not identified any impact from these developments that would affect the Group's ability to continue its operations. However, due to evolving nature of the geopolitical developments, the management continues to monitor the situation and will assess the need for any future actions, as appropriate.

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39.2 On 08 March 2026 (corresponding to 19 Ramadan 1447H), and based on the resolution of the Extraordinary General Assembly of the Parent Company held on 24 June 2025 (corresponding to 28 Dhul Hijjah 1446H), regarding the authorization given to the Board of Directors to distribute the interim dividends for the year 2025, the Board of Directors resolved and approved the distribution of the interim (half yearly) dividends to shareholders for the period of the last six months of 2025 ended on 31 December 2025 (corresponding to 11 Rajab 1447H), with a total amount of ﷲ 92,184,000 at ﷲ 1.67 per share of the nominal capital. The distribution date will be on 20 April 2026 (corresponding to 3 Dhul Qadah 1447H).

39.3 No other matter has occurred up to and including the date of the approval of these consolidated financial statements by the Board of Directors which could materially affect these consolidated financial statements and the related disclosures for the year ended 31 December 2025.

40. APPROVAL OF THE CONSOLIDATED FINANCIAL STATEMENTS

These consolidated financial statements were approved and authorised for issuance by the Group’s Board of Directors on 09 March 2026 (corresponding to 20 Ramadan 1447H).



Tariq Mutlaq Abdullah AlMutlaq
Chairman



Abdullah Abdul-Aziz Abdullah Ababtain
CEO



Alaaeldin Mohammed Shousha
CFO



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